Organizational Behavior
MGT502

Table of content

MGT - 502
ORGANIZATIONAL BEHAVIOR

Lesson 1

OVERVIEW OF COURSE

This subject/course is designed to teach the basic language of organizational behavior to diverse audience/students, including those who are studying this as a supporting subject for their bachelor degree program. This course is designed to provide you the foundations of organizational behavior whether you intend to work in any field of interest.

Organizational behavior offers both challenges and opportunities for managers. It recognizes differences and helps managers to see the value of workforce diversity and practices that may need to be changed when managing in different countries. It can help improve quality and employee productivity by showing managers how to empower their people as well as how to design and implement change programs. It offers specific insights to improve a manager's people skills. In times of rapid and ongoing change, faced by most managers today, OB can help managers cope in a world of "temporariness" and learn ways to stimulate innovation. Finally, OB can offer managers guidance in creating an ethically healthy work climate.

Managers need to develop their interpersonal or people skills if they are going to be effective in their jobs. Organizational behavior (OB) is a field of study that investigates the impact that individuals, groups, and structure have on behavior within an organization, and then applies that knowledge to make organizations work more effectively. Specifically, OB focuses on how to improve productivity, reduce absenteeism and turnover, and increase employee citizenship and job satisfaction.

OB studies three determinants of behavior in organizations: individuals, groups, and structure. OB applies the knowledge gained about individuals, groups, and the effect of structure on behavior in order to make organizations work more effectively. OB is concerned with the study of what people do in an organization and how that behavior affects the performance of the organization. There is increasing agreement as to the components of OB, but there is still considerable debate as to the relative importance of each: motivation, leader behavior and power, interpersonal communication, group structure and processes, learning, attitude development and perception, change processes, conflict, work design, and work stress. Organizational behavior is a developing field of study, presenting new challenges to a manager's understanding of work behavior and the ability to manage it effectively. This course addresses the following points:

- Organizational behavior studies the factors that impact individual and group behavior in organizations and how organizations manage their environments. Organizational behavior provides a set of tools—theories and concepts—to understand, analyze, describe, and manage attitudes and behavior in organizations.
- The study of organizational can improve and change individual, group, and organizational behavior to attain individual, group, and organizational goals.
- Organizational behavior can be analyzed at three levels: the individual, the group, and the organization as a whole. A full understanding must include an examination of behavioral factors at each level.
- A manager's job is to use the tools of organizational behavior to increase effectiveness, an organization's ability to achieve its goal. $\boxed{\text{Management}}$ is the process of planning, organizing, leading, and controlling an organization's human, financial, material, and other resources to increase its effectiveness.

Managers of organizational behavior face five challenges: using information technology to enhance creativity and organizational learning, using human resources to gain a competitive advantage, developing an ethical organization, managing a diverse workforce, and managing organizational behavior internationally.

What Is Organizational Behavior?

> *Organizational Behavior is a field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness.*

An organization is a collection of people who work together to achieve a wide variety of goals, both goals of the various individuals in the organization and goals of the organization as a whole. Organizations exist to provide goods and services that people want. These goods and services are the products of the behaviors of workers.

Organizational behavior is the study of the many factors that have an impact on how individuals and groups respond to and act in organizations and how organizations manage their environments.

Although many people assume that understanding human behavior in organizations is intuitive, many commonly held beliefs about behavior in organizations, such as the idea that a "happy worker is a productive worker," are either entirely false or true only in specific situations. The study of organizational behavior provides a set of tools—concepts and theories—that help people understand, analyze, and describe what goes on in organizations and why. How do the characteristics of individuals, groups, work situations, and the organization itself affect how members feel about their organization?

The ability to use the tools of organizational behavior to understand behavior in organizations is one reason for studying this subject. A second reason is to learn how to apply these concepts, theories, and techniques to improve behavior in organizations so that individuals, groups, and organizations can achieve their goals. Managers are challenged to find new ways to motivate and coordinate employees to ensure that their goals are aligned with organizational goals.

Forces Reshaping the Process of Management

An understanding of organizational behavior is important to managers, who have the responsibility of improving organizational effectiveness, the ability of an organization to achieve goals. A goal is a desired future outcome that an organization seeks to achieve.

In the last 10 years, the challenges facing managers in effectively utilizing human resources and managing organizational behavior have increased. These challenges stem from changing forces in the technological, global, and social or cultural environments.

Organizations can obtain a competitive advantage, a way of outperforming other organizations providing similar goods and services. They can pursue any or all of the following goals: increase efficiency, increase quality; increase innovation and creativity; and increase responsiveness to customers.

Quiz →
Organizational efficiency is increased by reducing the amount of resources, such as people or raw materials, needed to produce a quantity of goods or services. Organizations try to find better ways to utilize and increase the skills and abilities of their workforce. Cross training workers to perform different tasks and finding new ways of organizing workers to use their skills more efficiently improve efficiency. The global competitive challenge facing organizations is to invest in the skills of the workers because better-trained workers make better use of technology. Increased competition has also put pressure on companies to increase the quality of the goods and services they provide. One approach to increasing quality is called Total Quality Management (TQM), a technique borrowed from the Japanese. TQM involves a whole new philosophy of managing behavior in organizations and includes elements like giving workers the responsibility for finding ways to do their jobs more efficiently and ways to improve quality.

An organization's ethics are rules, beliefs, and values that outline ways in which managers and workers should behave when confronted with a situation that may help or harm other people inside or outside an organization. Ethical behavior enhances the well-being (the happiness, health, and prosperity) of individuals, groups, organizations, and the organizational environment. Ethics establish the goals and behaviors appropriate to the organization. Many organizations have the goal of making a profit, to be able to pay workers, suppliers, and shareholders. Ethics specifies what actions an organization should take to make a profit and what limits should be put on organizations and their managers to prevent harm.

The challenge of managing a diverse workforce increases as organizations expand their operations internationally. There are several issues that arise in the international arena. First, managers must understand cultural differences to interact with workers and associates in foreign countries. Understanding the differences between national cultures is important in any attempt to manage behavior in global organizations to increase performance.

Second, the management functions of planning, organizing, leading, and controlling become more complex in a global environment. Planning requires coordination between managers in the home country and those abroad. Organizing, the allocation of decision-making authority and responsibility between headquarters and the foreign country is a significant function of global managers. Leading requires managers to tailor their leadership styles to suit differences in the attitudes and values of foreign workers. Controlling involves establishing the evaluation, reward, and promotion policies of the organization and training and developing a globally diverse workforce.

Why Do We Study OB?

Following are the reasons to study organizational behavior:

- To learn about yourself and how to deal with others
- You are part of an organization now, and will continue to be a part of various organizations
- Organizations are increasingly expecting individuals to be able to work in teams, at least some of the time
- Some of you may want to be managers or entrepreneurs

The importance of studying organizational behavior (OB)

OB applies the knowledge gained about individuals, groups, and the effect of structure on behavior in order to make organizations work more effectively. It is concerned with the study of what people do in an organization and how that behavior affects the performance of the organization. There is increasing agreement as to the components of OB, but there is still considerable debate as to the relative importance of each: motivation, leader behavior and power, interpersonal communication, group structure and processes, learning, attitude development and perception, change processes, conflict, work design, and work stress. It is also important because it focus on the following areas.

- OB is a way of thinking.
- OB is multidisciplinary.
- There is a distinctly humanistic orientation with OB.
- The field of OB is performance oriented.
- The external environment is seen as having significant impact on OB.

IMP **Contributing Disciplines to the OB Field**

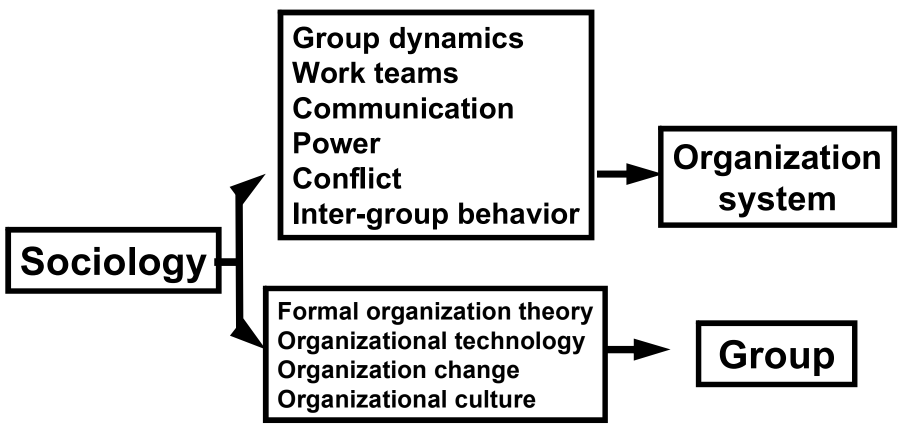
Organizational behavior is an applied behavioral science that is built upon contributions from a number of behavioral disciplines. The predominant areas are psychology, sociology, social psychology, anthropology, and political science.

Psychology:

Psychology is the science that seeks to measure, explain, and sometimes change the behavior of humans and other animals.

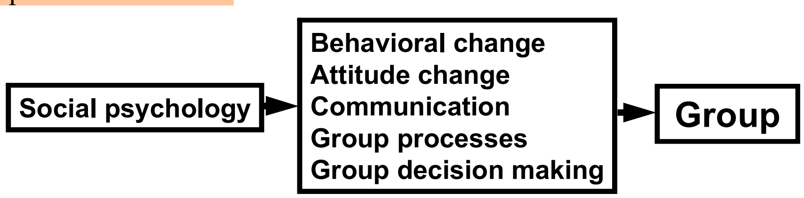
Sociology

Sociologists study the social system in which individuals fill their roles; that is, sociology studies people in relation to their fellow human beings.



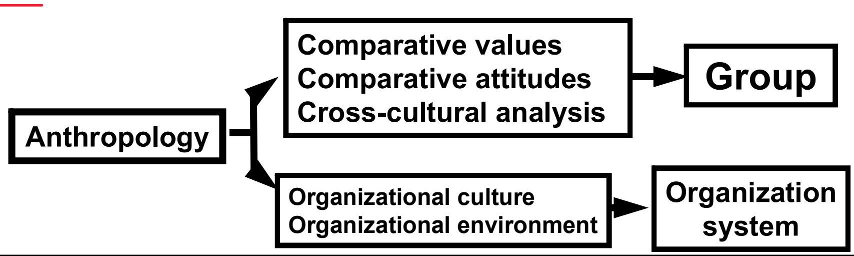
Social Psychology

An area within psychology that blends concepts from psychology and sociology and that focuses on the influence of people on one another.



Anthropology

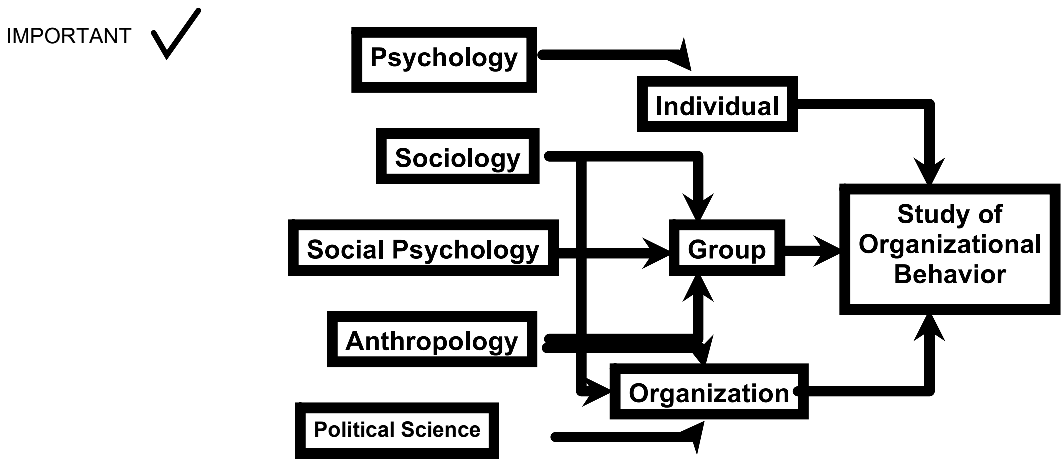
The study of societies to learn about human beings and their activities



Political Science

The study of the behavior of individuals and groups within a political environment

Organization Behavior



Lesson 2

ORGANIZATIONAL BEHAVIOR

Overview

In last lecture we tried to understand the term of organizational behavior its need and its impact on the organization. The focus in this discussion is to have concept of about different core concepts of the organizational behavior and the increasingly important role of this subject in the ever-changing domestic and global business environment Today we will be covering following topics:

Course Structure of OB

- ***Basic OB model***
- **What managers do**
- **Management Functions**
- **New management Functions**
- **Management Roles**

Course Structure of OB

We will cover following topics in our coming lectures:

Part I: The Individual ✓

- Ability & Learning
- Values, Attitudes and Job Satisfaction
- Personality & Emotions
- Perception & Individual Decision Making
- Basic Motivation Concepts
- Motivation and its Applications

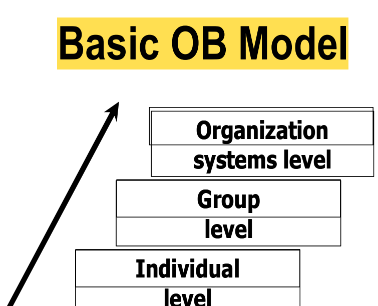
Part-II The Group ✓

- Foundation of Group Behavior
- Group and Team Work
- Functions of Communication
- Basic Approaches to Leadership
- Contemporary Issues in Leadership
- Power and Politics
- Conflict and Negotiation

Part-III The Organization System ✓

- Organizational Structure
- Work design and Technology
- HR Policies and Practices
- Organizational Culture
- Organizational Change
- Stress Management

Model of OB



Organizational behavior tools to understand and alter behavior can be examined at three levels of analysis—individual, group, and organizational.

These factors include personality and ability, attitudes and values, perception and attribution, learning, motivation, stress, and work/life linkages.

Individual differences can be divided into personality and ability differences. Understanding the nature, determinants, and consequences of individual differences is essential for managing organizational behavior. An appreciation of the nature of individual differences is necessary to understand why people behave in certain ways in an organization.

Group: **group** is defined as a collection of two or more people who interact together to achieve their goals. A **team** is a group in which members work together intensively to achieve a common goal.
Work groups are the basic building blocks of an organization. Work groups use roles, rules, and norms to control their members' behavior, and they use several socialization tactics to turn newcomers into effective group members. Groups contribute to organizational effectiveness when group goals are aligned with organizational goals.

Organization. Organizational structure and culture affect performance and how the changing global environment, technology, and ethics impact work attitudes and behavior.
Organizational structure and culture affect how people and groups behave in an organization. Together they provide a framework that shapes attitudes, behaviors, and performance. Organizations need to create a structure and culture that allow them to manage individuals and inter-group relations effectively.

What Managers Do?

An understanding of organizational behavior is important to managers, who have the responsibility of improving organizational effectiveness, the ability of an organization to achieve goals. A goal is a desired future outcome that an organization seeks to achieve.

Quiz
A **manager** supervises one or more subordinates. Managers include CEOs, who head *top-management teams* of high-ranking executives responsible for planning strategy to achieve top-level managers might be responsible for thousands of workers. But managers are also found throughout the lower levels of organizations and often are in charge of just a few subordinates. All managers face the challenge of helping the organization achieve its goals. Knowledge of organizational behavior increases effectiveness by providing managers with a set of tools. Managers can raise a worker's self-esteem and increase worker productivity by changing the reward system or the job design.
Top-level managers might be responsible for thousands of workers. But managers are also found throughout the lower levels of organizations and often are in charge of just a few subordinates. All managers face the challenge of helping the organization achieve its goals. Knowledge of organizational behavior increases effectiveness by providing managers with a set of tools. Managers can raise a worker's self-esteem and increase worker productivity by changing the reward system or the job design.

Management Functions

Management is the process of planning, organizing, leading, and controlling an organization's human, financial, and material resources to increase its effectiveness.
In **planning**, managers establish their organization's strategy, in other words, how best to allocate and use resources to achieve organizational goals. Much uncertainty and risk surround the decisions of managers during planning, and an understanding of organizational behavior can improve the quality of decision making, increase success, and lower risk.

In **organizing**, managers establish a structure of relationships that dictate how members of an organization work together to achieve organizational goals. Organizing involves grouping workers into departments, groups, and teams based on the tasks they perform. Organizational behavior offers guidelines on how to organize employees to make the best use of their capabilities and enhance communication and coordination.

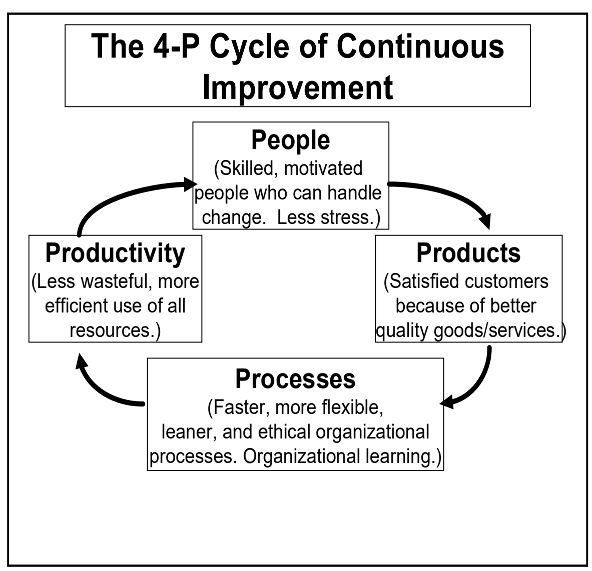
When **leading**, managers encourage workers to do a good job and coordinate individual and groups so that all organizational members are working toward organizational goals. The study of different leadership methods and how to match leadership styles to the characteristics of the organization is a major concern of organizational behavior.

When **controlling,** managers monitor and evaluate individual, group, and organizational performance to see whether organizational goals are being achieved. Knowledge of organizational behavior allows managers to understand and accurately diagnose work situations and pinpoint the need for corrective action or strive to maintain and improve performance. Several processes at the individual or group levels (e.g., personality conflicts, poor job design) may cause poor performance.
Managers perform their four functions by assuming a number of roles in organizations. A **role** is a set of behaviors or tasks a person is expected to perform because of the position she or he holds in a group or organization.

New Management Functions

Organizational efficiency is increased by reducing the amount of resources, such as people or raw materials, needed to produce a quantity of goods or services. Organizations try to find better ways to utilize and increase the skills and abilities of their workforce. Cross training workers to perform different tasks and finding new ways of organizing workers to use their skills more efficiently improve efficiency. The global competitive challenge facing organizations is to invest in the skills of the workers because better-trained workers make better use of technology. Global pressures have forced organizations to find new ways to increase efficiency.
Increased competition has also put pressure on companies to increase the quality of the goods and services they provide. One approach to increasing quality is called Total Quality Management (TQM), a technique borrowed from the Japanese. TQM involves a whole new philosophy of managing behavior in organizations and includes elements like giving workers the responsibility for finding ways to do their jobs more efficiently and ways to improve quality.

Companies have historically shown the most innovation, defined "as the process of bringing any new problem-solving ideas into use." Ideas for reorganizing, cutting costs, putting in new budgeting systems, improving communications, or assembling products in teams are also innovations. Understanding how to manage innovation and creativity is challenging to managers face because creative people are difficult to manage. To encourage innovation, the manager must allow workers freedom (e.g., the use of independent teams) and foster a culture that rewards risk taking. Although all organizations compete for customers, service organizations in particular need to be responsive to customer needs. Because the economy is becoming more and more service based, this is an increasingly important issue.



Management Roles

Managers can use their understanding of organizational behavior to improve their management skills. A **skill** is an ability to act in a way that allows a person to perform highly in her or his role. Managers need three types of skills: **conceptual skills** to analyze and diagnose a situation to distinguish between cause and effect; **human skills** to understand, work with, lead, and control the behavior of individuals and groups; and **technical skills**, job-specific knowledge and techniques required to perform an organizational role.

Effective managers need all three types of skills—conceptual, human, and technical. For example, entrepreneurs often are technically skilled but lack conceptual and human skills. Scientists who become managers have technical expertise, but low levels of human skills.
The ten roles can be grouped as being primarily concerned with interpersonal relationships, the transfer of information, and decision making.

1. **Interpersonal roles** IMPORTANT

- Figurehead—duties that are ceremonial and symbolic in nature
- Leadership—hire, train, motivate, and discipline employees
- Liaison—contact outsiders who provide the manager with information. These may be individuals or groups inside or outside the organization.

2. **Informational Roles** IMPORTANT

   - Monitor—collect information from organizations and institutions outside their own
   - Disseminator—a conduit to transmit information to organizational members
   - Spokesperson—represent the organization to outsiders

3. **Decisional Roles** IMPORTANT

   - Entrepreneur—managers initiate and oversee new projects that will improve their organization's performance
   - Disturbance handlers—take corrective action in response to unforeseen problems
   - Resource allocators—responsible for allocating human, physical, and monetary resources
   - Negotiator role—discuss issues and bargain with other units to gain advantages for their own unit

Management Skills

Robert Katz has identified three essential management skills: technical, human, and conceptual.

1. **Technical Skills**
   - The ability to apply specialized knowledge or expertise. All jobs require some specialized expertise, and many people develop their technical skills on the job.
2. **Human Skills**
   - The ability to work with, understand, and motivate other people, both individually and in groups, describes human skills.
     Many people are technically proficient but interpersonally incompetent
3. **Conceptual Skills**
   1. The mental ability to analyze and diagnose complex situations
   2. Decision making, for example, requires managers to spot problems, identify alternatives that can correct them, evaluate those alternatives, and select the best one.

Skills Exhibited by an Effective Manager

1. Clarifies goals and objectives for everyone involved
2. Encourages participation, upward communication, and suggestions
3. Plans and organizes for an orderly work flow
4. Has technical and administrative expertise to answer organization-related questions
5. Facilitates work through team building, training, coaching and support

6. Provides feedback honestly and constructively
7. Keeps things moving by relying on schedules, deadlines, and helpful reminders
8. Controls details without being over-bearing
9. Applies reasonable pressure for goal accomplishment
10. Empowers and delegates key duties to others while maintaining goal clarity and commitment
11. Recognizes good performance with rewards and positive reinforcement

Evolution of the 21st-Century Manager IMPORTANT

	Past Managers	Today's Managers
• **Primary Role**	Order giver, privileged elite, manipulator, controller	Facilitator, team member, teacher, advocate, sponsor
• **Learning & Knowledge**	Periodic learning, narrow specialist	Continuous life-long learning, generalist with multiple specialties
• Compensation Criteria	Time, effort, rank	Skills, results
• **Cultural Orientation**	Monocultural, monolingual	Multicultural, multilingual

Lesson 3

ORGANIZATIONS: THE IMPORTANT COMPONENT

Overview

- Organizational structure and culture affect how people and groups behave in an organization. Together they provide a framework that shapes attitudes, behaviors, and performance. Organizations need to create a structure and culture that allow them to manage individuals and inter-group relations effectively.

- Organizational structure is the formal system of task and reporting relationships that controls, coordinates, and motivates employees so that they cooperate and work together to achieve an organization's goals. Differentiation and integration are the basic building blocks of organizational structure.

- The main structures that organizations use to differentiate their activities and to group people into functions or divisions are functional, product, market, geographic, matrix, network, and virtual structures. Each of these is suited to a particular purpose and has specific coordination and motivation advantages and disadvantages.

- As organizations grow and differentiate, problems of integrating activities between functions and divisions arise. Organizations can use the hierarchy of authority, mutual adjustment, standardization, and new information technology to increase integration.
- To integrate their activities, organizations develop a hierarchy of authority and decide how to allocate decision-making responsibility. Two important choices are how many levels to have in the hierarchy and how much authority to decentralize to managers throughout the hierarchy and how much to retain at the top.

- To promote integration, organizations develop mechanisms for promoting mutual adjustment (the ongoing informal communication and interaction among people and functions). Mechanisms that facilitate mutual adjustment include direct contact, liaison roles, teams and task forces, cross-functional teams and cross-functional team structures, integrating roles, and matrix structures.

- Organizations that use standardization to integrate their activities develop performance programs that specify how individuals and functions are to coordinate their actions to accomplish organizational objectives. Organizations can standardize their input, throughput, and output activities.
- Organizational culture is the set of informal values and norms that control the way individuals and groups interact with each other and with people outside the organization. Organizational cultures are collections of two kinds of values: terminal and instrumental. Norms encourage members to help adopt organizational values and behave in certain ways as they pursue organizational goals.

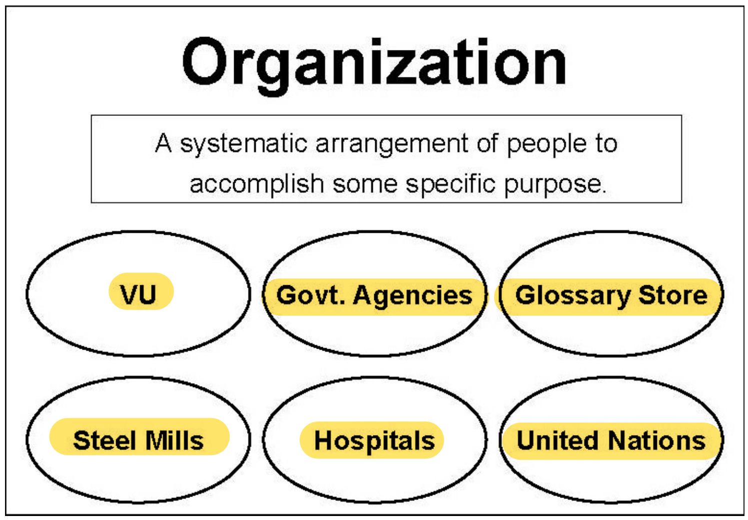
- The values of the founder of the organization and the ethical values the organization develops to inform its employees about appropriate ways to behave have a significant impact on organizational culture. Strong cultures have cohesive sets of values and norms that bind organizational members together and foster commitment from employees to achieve organizational goals. Strong cultures can be built through an organization's socialization process and from the informal ceremonies, rites, stories, and language that develop in an organization over time.

What is organization?

A consciously coordinated social unit composed of two or more people, those functions on a relatively continuous basis to achieve a common goal or set of goals. Organizational structure is used manage individuals and inter-group relations effectively, particularly between different functions and divisions. It describes how managers group people and resources, integrate people and groups to stimulate them to work together, and how organizational values and norms influence inter-group relationships and organizational effectiveness.

Managers try to: encourage employees to work hard, develop supportive work attitudes, and allow people and groups to cooperate and work together effectively. An organization's structure and culture affect the way people and groups behave. Organizational structure is the formal system of task and reporting relationships that controls, coordinates, and motivates employees so they cooperate and work together to achieve organizational goals. Organizations are

Social entities
Goal oriented
Deliberately structured
Linked to the external environment



Components of an Organization

The environment influences organizational design. When uncertainty exists, the ability to respond quickly and creatively is important; when the environment is stable, an organization improves performance by making attitudes and behaviors predictable. Creativity and predictability are fostered by certain structures and cultures.

Task -	an organization's mission, purpose, or goal for existing
People -	the human resources of the organization
Structure -	the manner in which an organization's work is designed at the micro level; how departments, divisions, & the overall organization are designed at the macro level
Technology -	the intellectual and mechanical processes used by an organization to transform inputs into products or services that meet

Formal vs. Informal Organization

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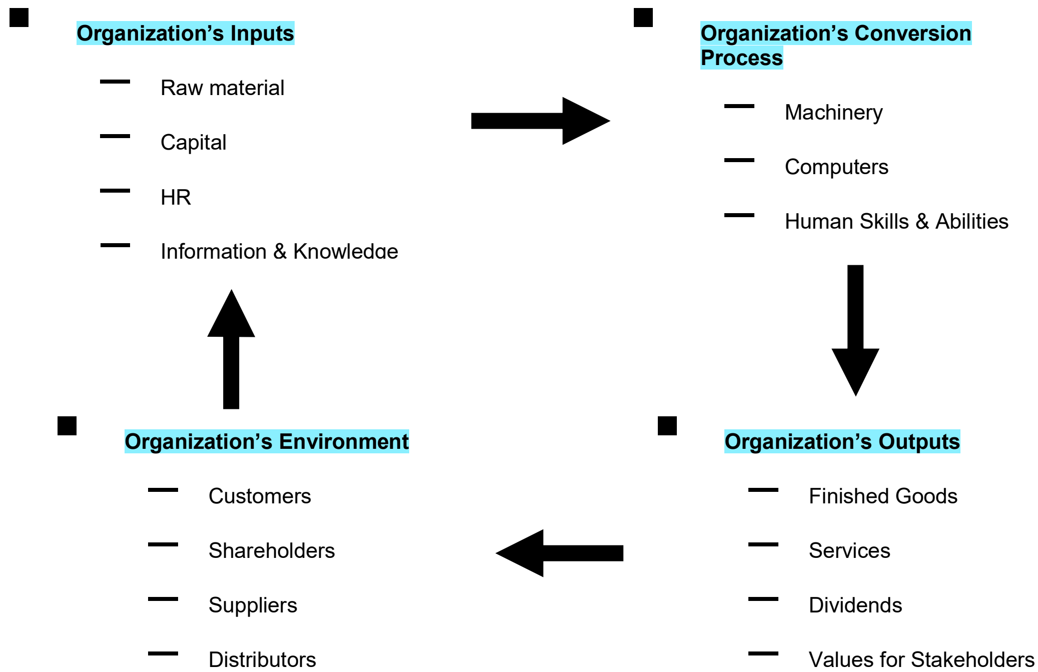
Formal Organization -	the part of the organization that has legitimacy and official recognition
Informal Organization -	the unofficial part of the organization

How does an Organization Create Value?



Why do Organizations Exist?

- To increase specialization and division of labor
- Use large-scale technology
- Manage the external environment
- Economize on transaction costs
- Exert power and control

Factors Affecting Organizations

- Organizational Environment
- Technological Environment

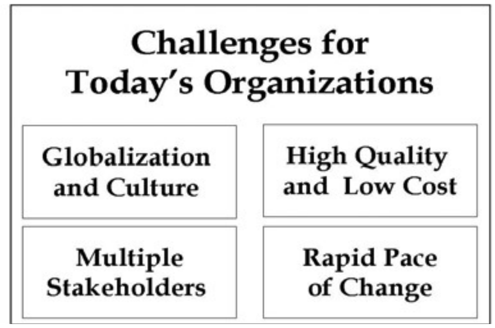
Organizational Process

The organizational environment is the set of resources surrounding an organization, including inputs (e.g., raw materials and skilled employees); resources to transform inputs (e.g., computers, buildings, and machinery); and resources (e.g., customers) Organizations compete for the scarce, needed resources. There is much uncertainty about obtaining needed resources. Organizations design their structures and cultures in ways to secure and protect needed resources. Technology is the second design contingency an organization faces. Technology refers to the combination of human resources (skills, knowledge abilities, and techniques) and raw materials and equipment (machines, computers, and tools) that workers use to convert raw materials into goods and services. Each job is part of an organization's technology. An organization must design its structure and culture to allow for the operation of technology. Organizational processes develop plans of actions for competing successfully by obtaining resources and outperforming competitors. These plans of actions are strategies. To attract customers, for example, organizations can pursue the following strategies.

Organizational change

Organizational change is an ongoing process that has important implications for organizational performance and for the well-being of an organization's members. An organization and its members must be constantly on the alert for changes from within the organization and from the outside environment and they must learn how to adjust to change quickly and effectively. Often, the revolutionary types of change that result from restructuring and reengineering are necessary only because an organization and its managers ignored or were unaware of changes in the environment and did not make incremental changes as needed. The more an organization changes, the easier and more effective the change process becomes. Developing and managing a plan for change are vital to an organization's success.

Globalization and Culture



Understanding and managing global organizational behavior begins with understanding the nature of the differences between national cultures and then tailoring an organization's strategy and structure so that the organization can manage its activities as it expands abroad. To succeed, global companies must help their managers develop skills that allow them to work effectively in foreign contexts and deal with differences in national culture. A global organization is an organization that produces or sells goods or services in more than one country. Global companies treat the world as one large market. The presence of organizations in countries other than their home country is so common that local people assume they are domestic companies. Organizations expand globally to gain access to resources as inputs and to sell outputs. Labor costs are lower in many other countries, and raw materials can be obtained more cheaply, due to lower labor costs. Companies seek the expertise found in other countries (e.g., the design skills of Italian automakers or the engineering skills of German companies). Customers are a resource that motivates companies to expand globally. To operate abroad, to obtain inputs or customers, an organization must understand differences in national cultures. A national culture is a set of economic, political, and social values in a particular nation. People who move to a foreign country feel confused and bewildered by the country's customs and will have difficulty adapting. This is known as culture shock. Culture shock can include homesickness, and citizens living abroad tend to buy national newspapers or frequent stores or restaurants similar to those in the home country.
High Quality and Low Cost Technology is changing people's jobs and their work behavior. Quality management and its emphasis on continuous process improvement can increase employee stress as individuals find that performance expectations are constantly being increased. Process reengineering is eliminating millions of jobs and completely reshaping the jobs of those who remain, and mass customization requires employees to learn new skills.

The e-organization, with its heavy reliance on the Internet, increases potential workplace distractions. Managers need to be particularly alert to the negative effects of cyber-loafing. In addition, the e-org will rely less on individual decision making and more on virtual-team decision making. Probably the most significant influence of the e-organization is that it is rewriting the rules of communication. Traditional barriers are coming down, replaced by networks that cut across vertical levels and horizontal units.

An understanding of work design can help managers design jobs that positively affect employee motivation. For instance, jobs that score high in motivating potential increase an employee's control over key elements in his or her work. Therefore, jobs that offer autonomy, feedback, and similar complex task characteristics help to satisfy the individual goals of employees who desire greater control over their work. Of course, consistent with the social information-processing model, the perception that task characteristics are complex is probably more important in influencing an employee's motivation than the objective task characteristics themselves. The key, then, is to provide employees with cues that suggest that their jobs score high on factors such as skill variety, task identity, autonomy, and feedback. Workspace design variables such as size, arrangement, and privacy have implications for communication, status, socializing, satisfaction, and productivity. For instance, an enclosed office typically conveys more status than an open cubicle, so employees with a high need for status might find an enclosed office increases their job satisfaction.

Multiple Stakeholders

Organizations expand globally to gain access to the valuable resources found throughout the world. Global expansion also provides an enlarged customer base and the opportunity for greater profit. As to the effect of culture on the decision where to expand, organizations tend to expand into countries with a similar national culture. This results in the least amount of conflict. The cost of expansion is an important factor and may ultimately drive the decision-making process. The ability to compromise in terms of culture is important. Organizations can make use of electronic communication media, global networks, and global teams to develop and transmit a strong global culture. Technologies assist in the communication of norms and values while global networks (and teams) socialize managers into these values and norms. Transferring managers between subsidiaries enables them to internalize norms and values. Organizations need strong and clear top-management norms and values, communicated from the top down. Managing global organizations shares some of the challenges inherent in managing domestic operations. Differences in cultures add to the difficulty of managing global organizations. Given today's increasingly global environment, most managers will need to enter the global environment where they will experience these additional challenges.

Rapid Pace of Change

The need for change has been implied throughout this text. "A casual reflection on change should indicate that it encompasses almost all our concepts in the organizational behavior literature. Think about leadership, motivation, organizational environment, and roles. It is impossible to think about these and other concepts without inquiring about change."

If environments were perfectly static, if employees' skills and abilities were always up to date and incapable of deteriorating, and if tomorrow were always exactly the same as today, organizational change would have little or no relevance to managers. The real world, however, is turbulent, requiring organizations and their members to undergo dynamic change if they are to perform at competitive levels.

Managers are the primary change agents in most organizations. By the decisions they make and their role-modeling behaviors, they shape the organization's change culture. For instance, management decisions related to structural design, cultural factors, and human resource policies largely determine the level of innovation within the organization. Similarly, management decisions, policies, and practices will determine the degree to which the organization learns and adapts to changing environmental factors.

We found that the existence of work stress, in and of itself, need not imply lower performance. The evidence indicates that stress can be either a positive or negative influence on employee performance. For many people, low to moderate amounts of stress enable them to perform their jobs better by increasing their work intensity, alertness, and ability to react. However, a high level of stress, or even a moderate amount sustained over a long period of time, eventually takes its toll and performance declines. The impact of stress on satisfaction is far more straightforward. Job-related tension tends to decrease general job satisfaction. Even though low to moderate levels of stress may improve job performance, employees find stress dissatisfying.

Lesson 4

UNDERSTANDING THE BASICS OF HUMAN BEHAVIOR

Overview

- Organizational behavior is not a designated function or area. Rather, it is a perspective or set of tools that all managers can use to carry out their jobs more effectively.

- The ability to use the tools of organizational behavior to understand behavior in organizations is one reason for studying this topic. A second reason is to learn how to apply these concepts, theories, and techniques to improve behavior in organizations so that individuals, groups, and organizations can achieve their goals. Managers are challenged to find new ways to motivate and coordinate employees to ensure that their goals are aligned with organizational goals.

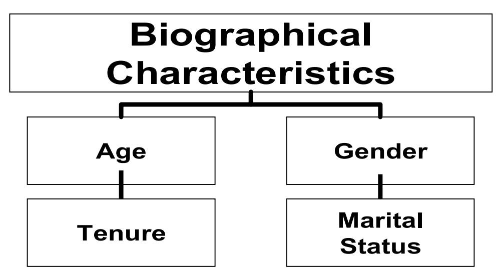
- A manager supervises one or more subordinates. Managers include CEOs, who head top-management teams of high-ranking executives responsible for planning strategy to achieve top-level managers might be responsible for thousands of workers. But managers are also found throughout the lower levels of organizations and often are in charge of just a few subordinates. All managers face the challenge of helping the organization achieve its goals. Knowledge of organizational behavior increases effectiveness by providing managers with a set of tools. Managers can raise a worker's self-esteem and increase worker productivity by changing the reward system or the job design.

Understanding the Basics of Human Behavior

An organization's human resource policies and practices represent important forces for shaping employee behavior and attitudes. In this chapter, we specifically discussed the influence of selection practices, training and development programs, performance evaluation systems, and the existence of a union. Human resource policies and practice influence organizational effectiveness. Human resource management includes: employee selection, training performance management, and union-management relations and how they influence organizations effectiveness.

Biographical Characteristics

1. Finding and analyzing the variables that have an impact on employee productivity, absence, turnover, and satisfaction is often complicated.
2. Many of the concepts—motivation, or power, politics or organizational culture—are hard to assess.
3. Other factors are more easily definable and readily available—data that can be obtained from an employee's personnel file and would include characteristics such as:
   - Age
   - Gender
   - Marital status
   - Length of service, etc.



A. Age

1. The relationship between age and job performance is increasing in importance.
   - First, there is a widespread belief that job performance declines with increasing age.
   - Second, the workforce is aging; workers over 55 are the fastest growing sector of the workforce.
2. Employers' perceptions are mixed.
   - They see a number of positive qualities that older workers bring to their jobs, specifically experience, judgment, a strong work ethic, and commitment to quality.
   - Older workers are also perceived as lacking flexibility and as being resistant to new technology.

- Some believe that the older you get, the less likely you are to quit your job. That conclusion is based on studies of the age-turnover relationship.

3. It is tempting to assume that age is also inversely related to absenteeism.
   - Most studies do show an inverse relationship, but close examination finds that the age-absence relationship is partially a function of whether the absence is avoidable or unavoidable.
   - In general, older employees have lower rates of avoidable absence. However, they have higher rates of unavoidable absence, probably due to their poorer health associated with aging and longer recovery periods when injured.
4. There is a widespread belief that productivity declines with age and that individual skills decay over time.
   - Reviews of the research find that age and job performance are unrelated.
   - This seems to be true for almost all types of jobs, professional and nonprofessional.
5. The relationship between age and job satisfaction is mixed.
   - Most studies indicate a positive association between age and satisfaction, at least up to age 60.
   - Other studies, however, have found a U-shaped relationship. When professional and nonprofessional employees are separated, satisfaction tends to continually increase among professionals as they age, whereas it falls among nonprofessionals during middle age and then rises again in the later years.

B. Gender

1. There are few, if any, important differences between men and women that will affect their job performance, including the areas of:
   - Problem-solving
   - Analytical skills
   - Competitive drive
   - Motivation
   - Sociability
   - Learning ability
2. Women are more willing to conform to authority, and men are more aggressive and more likely than women to have expectations of success, but those differences are minor.
3. There is no evidence indicating that an employee's gender affects job satisfaction.
4. There is a difference between men and women in terms of preference for work schedules.
   - Mothers of preschool children are more likely to prefer part-time work, flexible work schedules, and telecommuting in order to accommodate their family responsibilities.
5. Absence and turnover rates
   - Women's quit rates are similar to men's.
   - The research on absence consistently indicates that women have higher rates of absenteeism.
   - The logical explanation: cultural expectation that has historically placed home and family responsibilities on the woman.

C. Marital Status

1. There are not enough studies to draw any conclusions about the effect of marital status on job productivity.
2. Research consistently indicates that married employees have fewer absences, undergo fewer turnovers, and are more satisfied with their jobs than are their unmarried coworkers.
3. More research needs to be done on the other statuses besides single or married, such as divorce, domestic partnering, etc..

D. Tenure

1. The issue of the impact of job seniority on job performance has been subject to misconceptions and speculations.

2. Extensive reviews of the seniority-productivity relationship have been conducted:
   - There is a positive relationship between tenure and job productivity.
   - There is a negative relationship between tenure to absence.
   - Tenure is also a potent variable in explaining turnover.
   - Tenure has consistently been found to be negatively related to turnover and has been suggested as one of the single best predictors of turnover.
   - The evidence indicates that tenure and satisfaction are positively related.

Individual differences can be divided into personality and ability differences. Understanding the nature, determinants, and consequences of individual differences is essential for managing organizational behavior. An appreciation of the nature of individual differences is necessary to understand why people behave in certain ways in an organization.

1. Organizational outcomes predicted by personality include job satisfaction, work stress, and leadership effectiveness. Personality is not a useful predictor of organizational outcomes when there are strong situational constraints. Because personality tends to be stable over time, managers should not expect to change personality in the short run. Managers should accept workers' personalities as they are and develop effective ways to deal with people.
2. Feelings, thoughts, attitudes, and behaviors in an organization are determined by the interaction of personality and situation.
3. The Big Five personality traits are extraversion (positive affectivity), neuroticism (negative affectivity), agreeableness, conscientiousness, and openness to experience. Other personality traits particularly relevant to organizational behavior include locus of control, self-monitoring, self-esteem, Type A and Type B personality, and the needs for achievement, affiliation, and power.
4. In addition to possessing different personalities, workers also differ in their abilities, or capabilities. The two major types of ability are cognitive and physical ability.
5. Types of cognitive ability can be arranged in a hierarchy with general intelligence at the top. Specific types of cognitive include: verbal, numerical, reasoning, deductive, ability to see relationships, memory, spatial, and perceptual.
6. There are two types of physical ability: motor skills (the ability to manipulate objects) and physical skills (a person's fitness and strength).
7. Both nature and nurture contribute to determining physical and cognitive ability. A third, recently identified, ability is emotional intelligence.
8. In organizations, ability can be managed by selecting individuals who have the abilities needed to accomplish tasks, placing workers in jobs that capitalize on their abilities, and training workers to enhance their ability levels.

The Ability-Job Fit

1. Employee performance is enhanced when there is a high ability-job fit.
2. The specific intellectual or physical abilities required depend on the ability requirements of the job. For example, pilots need strong spatial-visualization abilities.
3. Directing attention at only the employee's abilities, or only the ability requirements of the job, ignores the fact that employee performance depends on the interaction of the two.
4. When the fit is poor employees are likely to fail.
5. When the ability-job fit is out of sync because the employee has abilities that far exceed the requirements of the job, performance is likely to be adequate, but there will be organizational inefficiencies and possible declines in employee satisfaction.
6. Abilities significantly above those required can also reduce the employee's job satisfaction when the employee's desire to use his or her abilities is particularly strong and is frustrated by the limitations of the job.

Lesson 5

INDIVIDUAL DIFFERENCES: ABILITIES AND PERFORMANCE

Overview

Understanding and managing global organizational behavior begins with understanding the nature of the differences between national cultures and then tailoring an organization's strategy and structure so that the organization can manage its activities as it expands abroad. To succeed, global companies must help their managers develop skills that allow them to work effectively in foreign contexts and deal with differences in national culture.

- A global organization is an organization that produces or sells goods or services in more than one country.
- To exploit the advantages of the global environment, an organization has to manage activities at the raw-materials, intermediate-manufacturing, assembly, distribution, and final-customer stages. Methods an organization can use to control these activities include exporting, licensing, joint ventures, and wholly owned foreign subsidiaries.
- Global learning is learning how to manage suppliers and distributors and to respond to the needs of customers all over the world.
- There are three principal strategies that global organizations can use to manage global expansion, each of which is associated with a type of global organizational structure: an international strategy and international divisional structure, and a transnational strategy and global matrix structure. The more complex the strategy, the greater is the need to integrate the global organizational structure, and the stronger the global culture needs to be.
- All the challenges associated with understanding and managing individual and group behavior that are found at a domestic level, such as motivating and leading workers and managing groups and teams, are found at a global level. Expatriate managers must adapt their management styles to suit differences in national culture if they are to be effective.

Implications of globalization:

Following are the implications of globalizations:

- New organizational structures
- Different forms of communication
- More competition, change, mergers, downsizing, stress
- Need more sensitivity to cultural differences

Organizations expand globally to gain access to resources as inputs and to sell outputs. Labor costs are lower in many other countries, and raw materials can be obtained more cheaply, due to lower labor costs. Companies seek the expertise found in other countries (e.g., the design skills of Italian automakers or the engineering skills of German companies). Customers are a resource that motivates companies to expand globally.

To operate abroad, to obtain inputs or customers, an organization must understand differences in national cultures. A national culture is a set of economic, political, and social values in a particular nation. Global organizations must recognize expressions of cultural values, such as ceremonies, stories, and symbols or face the wrath of local people. People from different countries have nonverbal communication difficulties because of different traditions.

Competition is everywhere in today's global environment. Organizations compete with foreign competitors at home and abroad. The world is viewed as a single market, with countries as subparts of that market. Organizations must develop strategies, structures, and cultures to compete successfully in a global environment.

The challenge of managing a diverse workforce increases as organizations expand their operations internationally. There are several issues that arise in the international arena. First, managers must understand cultural differences to interact with workers and associates in foreign countries. Americans have an individualistic orientation, whereas the Japanese have a collectivist orientation. Understanding the differences between national cultures is important in any attempt to manage behavior in global organizations to increase performance.

Managing a Diverse Workforce

The workforce has become increasingly diverse, with higher percentages of women and minorities entering and advancing in organizations. By the year 2005, African Americans and Hispanics will compose over 25 percent of the workforce whereas the percentage of white males will decrease from 51 percent to 44 percent of the workforce. Increasing diversity, or differences resulting from age, gender, race ethnicity, religion, sexual orientation, and socioeconomic background, represents a major challenge for managers. Members of a group who are very diverse are likely to have different experiences, assumptions, and values, and could respond to work situations in very different ways. Managers face three challenges as a result of increased workforce diversity: fairness and justice, decision making and performance, and flexibility.

Following and the challenges for the organization by Increasing Diversity in today's organizations:

- Changing workforce demographics
- Competitive pressures
- Rapid growth in International business
- More women in workforce and professions
- Diversity has advantages, but firms need to adjust through:
    - cultural awareness
    - family-friendly
    - empowerment

Technology

Technology is changing people's jobs and their work behavior. Quality management and its emphasis on continuous process improvement can increase employee stress as individuals find that performance expectations are constantly being increased. Process reengineering is eliminating millions of jobs and completely reshaping the jobs of those who remain, and mass customization requires employees to learn new skills. We defined the term *technology* earlier to mean "how an organization transfers its inputs into outputs." Today it is also widely used to describe machinery and equipment that use sophisticated electronics and computers to produce those outputs. The common theme of these technologies is that they substitute for human labor in the transformation of inputs into outputs. This has been happening since the mid 1800s. We are concerned about the behavior of people at work—it is important to discuss how recent advances in technology are changing the work place and the work lives of employees.

Ethics

Moral principles/values -- determines whether actions are right/wrong and outcomes are good/bad.

Ethical behavior

- **"Good" and "right" as opposed to "bad" or "wrong" in a particular setting.**

An organization's ethics are rules, beliefs, and values that outline ways in which managers and workers should behave when confronted with a situation that may help or harm other people inside or outside an organization. Ethical behavior enhances the well-being (the happiness, health, and prosperity) of individuals, groups, organizations, and the organizational environment.

Ethics establish the goals and behaviors appropriate to the organization. Many organizations have the goal of making a profit, to be able to pay workers, suppliers, and shareholders. Ethics specifies what actions an organization should take to make a profit and what limits should be put on organizations and their managers to prevent harm.

Ethics can also define an organization's social responsibility, moral responsibility toward individuals or groups outside the organization that are directly affected by its actions. Different organizations have different views about social responsibility. Being socially responsible means performing any action as long as it is legal. Others do more than law requires and work to advance the well-being of their employees, customers, and society in general. Ben & Jerry's Homemade, Inc. contributes a percent of profits to charities and community needs. Green Mountain Coffee Roasters seeks out coffee growers who do not use herbicides and pesticides and control soil erosion. All organizations need codes of conduct that spell out fair and equitable behavior to avoid doing harm.

Ethical dilemmas occur in relationships with:

- Superiors.
- Subordinates.
- Customers.
- Competitors.
- Suppliers.
- Regulators.

Ability

"**Mental and physical capabilities to perform various tasks**"

Intellectual Abilities: The capacity to do mental activities

- Number aptitude
- Verbal comprehension
- Perceptual speed
- Inductive reasoning
- Deductive reasoning
- Spatial visualization
- Memory ability

Emotional intelligence

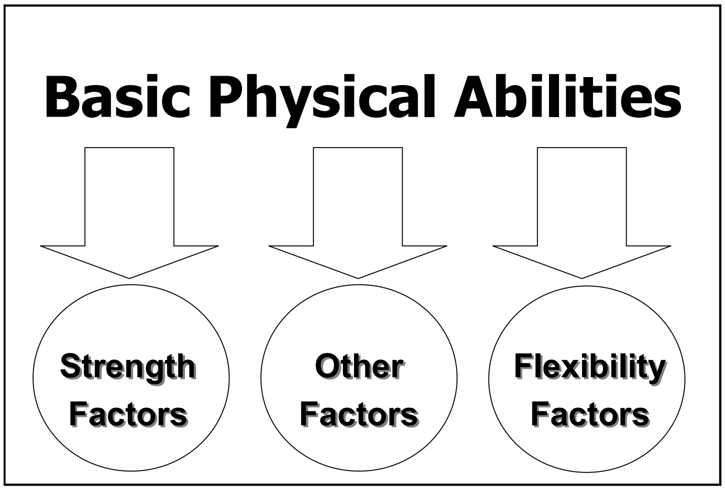
Emotional intelligence is the ability to understand and manage one's own feelings and emotions and the feelings and emotions of others. Research on emotional intelligence is in its early stages. However, it is plausible that emotional intelligence may facilitate job performance in a number of ways, and a low level of emotional intelligence may actually impair performance. Emotional intelligence is important for managers and people in leadership positions who must understand how others feel and manage these feelings.

Physical Ability:

"The capacity to do tasks demanding stamina, strength and similar characteristics"

For some jobs, physical ability is important. Physical ability consists primarily of motor skill, the ability to manipulate objects in an environment physically, and physical skill, a person's fitness and strength. According to Fleishman, there are 11 types of motor skills (e.g., reaction time, manual dexterity, speed of arm movement) and 9 types of physical skills (e.g., static strength, which includes the ability to lift weights and stamina).

Physical abilities are typically measured by using physical tasks, such as lifting weights, to determine an individual's level of strength. In addition to ensuring that employees have the abilities to perform at high level, organizations should provide employees with the opportunity to use their abilities on the job.



For managers, the key issue regarding ability is to assure that workers have the abilities needed to perform their jobs effectively. There are three fundamental ways to manage ability by matching it to the job: selection, placement, and training.

Learning

"A relatively permanent change in the behavior occurring as a result of experience"

Two approaches to learning are offered by operant conditioning and social learning theory. Organizational learning complements these approaches by stressing the importance of commitment to learning throughout an organization.
Organizational members, especially newcomers, must learn how to perform new tasks. Experienced employees must learn how to use new equipment and technology or how to follow new policies and procedures. Learning is a fundamental process in organizations. This chapter discusses principles of learning that managers can promote to maintain desired organizational behaviors such as good customer service or manufacturing high-quality products.
Learning consists of a relatively permanent change in knowledge or behaviors that result from practice or experience. This definition has three key elements: (1) permanent, (2) change, and (3) through practice. A temporary change in behavior or knowledge is not characteristic of learning. Learning takes place through practice, or the experience of watching others, although it is tempting to take shortcuts. Theories of learning, operant conditioning, and social learning theory emphasize different ways of learning.

Methods of Shaping Behavior

Reinforcement is the process that increases the probability that desired behaviors occur by applying consequences. Managers use reinforcement to increase the likelihood of higher sales, better attendance, or observing safety procedures.
Reinforcement begins by selecting a behavior to be encouraged. Correctly identifying the behavior is important, or reinforcement will not lead to the desired response. A manager must decide if attendance at meetings is the desired behavior or attendance *and* participation. The manager would need to reinforce both behaviors if both are desired.

Positive reinforcement increases the probability that a behavior will occur by administering positive consequences (called positive reinforces) following the behavior. Managers determine what consequences a worker considers positive. Potential reinforces include rewards such as pay, bonuses, promotions, job titles,

interesting work, and verbal praise. Rewards are positive reinforcements if a worker acts in the desired manner to obtain them.
Workers differ in what they consider to be a positive reinforce. For some, titles are rewards, for others it is vacation time. Once the desired behavior is determined, reinforces must follow to increase reoccurrence. Organizations use reinforcement to promote the learning and performance of many behaviors. Some organizations use positive reinforcement for diversity efforts and to retain valuable employees.

Negative reinforcement increases the probability that a desired behavior, then occur by removing a negative consequence (or negative reinforce) when a worker performs the behavior. The negative consequence is faced until a worker performs the desired behavior, then the consequence is removed. A manager's nagging is a negative reinforcement, if the nagging stops when worker performs a task correctly. Negative reinforces differ for various individuals. Nagging may not affect some subordinates. They will not perform the desired behavior, even if the nagging stops.
When using negative and positive reinforcement, the magnitude of the consequences must fit the desired behavior. A small bonus may not be sufficient to cause a worker to perform a time-consuming or difficult task.

Extinction: According to operant conditioning, both good and bad behaviors are controlled by reinforced consequences. Identifying behavioral reinforces and removing them can decrease a behavior. An undesired behavior without reinforcement can diminishes until it no longer occurs. This process is called **extinction**.
Extinction can modify the behavior of a worker who spends much time talking or telling jokes. The attention of coworkers reinforces this behavior. If coworkers stop talking and laughing, the worker is likely to stop telling jokes. Although extinction is useful, it takes time to eliminate the undesired behavior. When behaviors need to stop immediately, managers may resort to *punishment*.

Punishment consists of administering a negative consequence when the undesired behavior occurs. Punishment is *not* the same as negative reinforcement. It decreases a behavior, whereas negative reinforcement increases the frequency of a behavior. Punishment administers a negative consequence, whereas negative reinforcement removes a negative consequence.

Lesson 6

UNDERSTANDING THE VALUES

Overview

Work values, attitudes, and moods have important effects on organizational behavior. Work values (a worker's personal convictions about the outcomes one should expect from work and how one should behave at work) are an important determinant of on-the-job behavior. Job satisfaction and organizational commitment are two key work attitudes with important implications for understanding and managing behaviors such as organizational citizenship behavior, absenteeism, and turnover. Work moods are also important determinants of behavior in organizations. This chapter makes the following points:

- Work values are people's personal convictions about what one should expect to obtain from working and how one should behave at work. Work attitudes, more specific and less long lasting that values, are collections of feelings, beliefs, and thoughts that people have about how to behave in their current jobs and organizations. Work moods, more transitory than both values and attitudes, are people's feelings at the time they actually perform their jobs. Work values, attitudes, and moods all have the potential to influence each other.

- There are two types of work values. Intrinsic work values are values related to the work itself, such as doing something interesting and challenging or having a sense of accomplishment. Extrinsic work values are values related to the consequences of work, such as having family security or status in the community.

- Two important work attitudes are job satisfaction and organizational commitment. Job satisfaction is the collection of feelings and beliefs that people have about their organization as a whole. Work attitudes have three components: an affective component (how a person feels about a job), a cognitive component (what a person thinks about a job), and a behavioral component (what a person thinks about how to behave on the job).

- People experience many different moods at work. These moods can be categorized generally as positive or negative. When workers are in positive moods, they feel exited, enthusiastic, active, strong, peppy, or elated. When workers are in negative moods, they feel distressed, fearful, scornful, hostile, jittery, or nervous. Workers also experience less intense moods at work, such as feeling sleepy or calm. Work moods are determined by both personality and situation and have the potential to influence organizational behaviors ranging from absence to being helpful to customers and coworkers to creativity to leadership.

- Job satisfaction is one of the most important and well-researched attitudes in organizational behavior. Job satisfaction is determined by personality, values, the work situation, and social influence. Facet, discrepancy, and steady-state models of job satisfaction are useful for understanding and managing this important attitude.

- Job satisfaction is not strongly related to job performance because workers are often not free to vary their levels of job performance and because sometimes job satisfaction is not relevant to job performance. Job satisfaction has a weak negative relationship to absenteeism. Job satisfaction influences turnover; workers who are satisfied with their jobs are less likely to quit. Furthermore, workers who are satisfied with their jobs are more likely to perform voluntary behaviors, known as organizational citizenship behavior that contributes to organizational effectiveness. Job satisfaction also has a positive effect on worker well-being.

- Organizational commitment is the collection of feelings and beliefs that people have about their organization as a whole. Affective commitment exists when workers are happy to be members of an organization and believe in it. Continuance commitment exists when workers are committed to the organization because it is too costly for them to leave. Affective commitment has more positive consequences for organizations and their members than continuance commitment. Affective commitment is more likely when organizations are socially responsible and demonstrate that they are committed to workers. Workers with high levels of affective commitment are less likely to quit and may be more likely to perform organizational citizenship behavior.

Values Values are general ideas about what is good or bad and what people should aim for in their actions or goals.

- Values are broad preferences concerning appropriate courses of action or outcomes.
- Values influence behavior and attitudes.

Basic convictions: "A specific mode of conduct or end-state of existence is personally or socially preferable to an opposite or converse mode of conduct or end-state of existence."

- They contain a judgmental element in that they carry the individual's idea of what is right, good, or desirable.
- **Value System --** a hierarchy based on a ranking of an individual's values in terms of their intensity.

Sources of values

- Parents.
- Friends.
- Teachers.
- Role models.
- External reference groups.

Types of values

- Terminal values. Preferences about the goals to be achieved.
  - Preferences concerning the ends to be achieved.
- Instrumental values. Preferences for the methods to be used in reaching desired goals.
  - Preferences for the means to be used in achieving desired ends.

Work Values

- Achievement (career advancement)
- Concern for others (compassionate behavior)
- Honesty (provision of accurate information)
- Fairness (impartiality)

The thoughts and feelings people have about work range from being broad and long-lasting attitudes about the nature of work in general, called *work values*, to more specific thoughts and feelings about a current job or organization, called *work attitudes*, to more moment-to-moment experiences, called *work moods.*

Work values are a worker's personal beliefs about what should happen at work and how people should behave at work.

Work values are a worker's personal convictions about expected outcomes work and behavior at work. Outcomes might include a comfortable existence with family security, a sense of accomplishment and self-respect, or social recognition, and an exciting lifestyle. Appropriate work behaviors at work include being ambitious, imaginative, obedient, self-controlled, and respectful. Work values guide ethical behavior at work—honesty, trustworthiness, and helpfulness.

Work moods, how people feel when they perform their jobs, are more transitory than values and attitudes, changing from day to day, hour to hour, or minute to minute. Moods are categorized as either *positive* or *negative*. Positive moods include feeling excited, enthusiastic, active, strong, peppy, or elated. Negative moods include feeling distressed, fearful, scornful, hostile, jittery, or nervous. Moods can also be less intense. A worker might simply feel drowsy, sluggish, calm, placid, and relaxed.

Experiencing different moods depends on a worker's personality and the situation. Workers high on the trait of *positive affectivity* experience positive moods at work, whereas those high on the trait of *negative affectivity* experience negative moods. Both major and minor situational factors, such as receiving a promotion or coming to work in bad weather, can influence a worker's mood.

Mood has importance consequences for organizational behavior. Research suggests that positive moods promote creativity, result in helpfulness to coworkers and customers, and increase the performance of subordinates. Negative moods result in more accurate judgments (e.g., a performance appraisal). Both positive and negative moods influence decision making. Because managers can do many things to promote positive moods, work moods are receiving additional attention from researchers.

Values Across Cultures

- Power Distance
- Individualism or Collectivism
- Quantity or Quality of Life
- Uncertainty Avoidance
- Long-Term or Short-Term

Power distance

Power distance is about how much people in a society accept authority and unequal distribution of power.

- The degree to which people in a country accept that power in institutions and organizations is distributed unequally.

Individualism is how much people in a country prefer to do things on their own rather than as part of a group.

1. Individualism versus collectivism:

- Individualism is the degree to which people in a country prefer to act as individuals rather than as members of groups.
  - Collectivism equals low individualism.

Collectivism is when people in a society prefer to work together as part of a group rather than focusing mainly on individual goals.

2. Quantity of life versus quality of life: IMPORTANT

Quality of life means how good someone's life is, like how happy and healthy they feel. Quantity of life is how long someone lives.

- Quantity of life is the degree to which values such as assertiveness, the acquisition of money and material goods, and competition prevail.
- Quality of life is the degree to which people value relationships and show sensitivity and concern for the welfare of others.

Quantity of life is about how much people focus on things like making money and being competitive. Quality of life is about how much people care about relationships and being kind to others.

3. Uncertainty avoidance:

Uncertainty avoidance is how much people in a country like to have clear rules and structure rather than dealing with unclear or unpredictable situations.

- The degree to which people in a country prefer structured over unstructured situations.

4. Long-term versus short-term orientation: IMPORTANT

- Long-term orientations look to the future and value thrift and persistence.
- Short-term orientation values the past and present and emphasizes respect for tradition and fulfilling social obligations.

Long-term orientation focuses on planning for the future, valuing saving and perseverance. Short-term orientation values traditions, respects the past and present, and fulfilling social duties.

GLOBE Framework for Assessing Cultures:

IMPORTANT

The GLOBE Framework for Assessing Cultures

- Assertiveness
- Future Orientation
- Gender differentiation
- Uncertainty avoidance
- Power distance
- Individual/collectivism
- In-group collectivism
- Performance Orientation
- Humane orientation

- *Assertiveness*: The extent to which a society encourages people to be tough, confrontational, assertive, and competitive versus modest and tender
- *Future Orientation*: The extent to which a society encourages and rewards future-oriented behaviors such as planning, investing in the future and delaying gratification

- *Gender differentiation*: The extent to which a society maximized gender role differences
- *Uncertainly avoidance*: Society's reliance on social norms and procedures to alleviate the unpredictability of future events
- *Power distance*: The degree to which members of a society expect power to be unequally shared
- *Individualism/Collectivism*: The degree to which individuals are encouraged by societal institutions to be integrated into groups within organizations and society
- *In-group collectivism*: The extent to which society's members take pride in membership in small groups such as their families and circles of close friends, and the organizations where they are employed
- *Performance orientation*: The degree to which society encourages and rewards group members for performance improvement and excellence
- *Humane orientation*: The degree to which a society encourages and rewards individuals for being fair, altruistic, generous, caring, and kind to others

The GLOBE framework evaluates cultures based on several dimensions:

1. Assertiveness: How much people express themselves and take charge.

2. Future Orientation: How much focus is on planning for the future.

3. Gender Differentiation: How much roles and expectations differ between genders.

4. Uncertainty Avoidance: How comfortable people are with ambiguity and uncertainty.

5. Power Distance: How much inequality in power and status is accepted.

6. Individual/Collectivism: How much individuals prioritize personal goals over group goals.

7. In-group Collectivism: How much loyalty and cooperation exist within specific groups.

8. Power Orientation: How much importance is placed on acquiring and using power.

9. Humane Orientation: How much kindness, generosity, and compassion are valued.

Lesson 7

ATTITUDES AT WORK

Overview

- Why is it important to know an individual's values? Although they do not have a direct impact on behavior, values strongly influence a person's attitudes. Knowledge of an individual's value system can provide insight into his/her attitudes. Managers should be interested in their employees' attitudes because attitudes give warnings of potential problems and because they influence behavior. Satisfied and committed employees, for instance, have lower rates of turnover and absenteeism. Given that managers want to keep resignations and absences down—especially among their more productive employees—they will want to do those things that will generate positive job attitudes.

- Managers should also be aware that employees will try to reduce cognitive dissonance. More importantly, dissonance can be managed. If employees are required to engage in activities that appear inconsistent to them or are at odds with their attitudes, the pressures to reduce the resulting dissonance are lessened when the employee perceives that the dissonance is externally imposed and is beyond his/her control or if the rewards are significant enough to offset the dissonance.

Importance of Values

1. Values lay the foundation for the understanding of attitudes and motivation because they influence our perceptions.
2. Individuals enter organizations with notions of what is right and wrong with which they interpret behaviors or outcomes—at times this can cloud objectivity and rationality.
3. Values generally influence attitudes and behavior.

Rights

- **Right: a** person's just claim or entitlement, Focuses on the person's actions or the actions of others toward the person
- **Legal rights:** defined by a system of laws
- **Moral rights:** based on ethical standards, Purpose: let a person freely pursue certain actions without interference from others

Attitudes

An attitude is a mental stage of readiness, learned and organized through experience, exerting a specific influence on a person's response to people, objects, and situations with which it is related.

"A persistent tendency to feel and behave in a particular way toward some object"

1. Attitudes are evaluative statements that are either favorable or unfavorable concerning objects, people, or events.
2. Attitudes are not the same as values, but the two are interrelated.
3. Three components of an attitude:
   - Cognition
   - Affect
   - Behavior

The belief that "discrimination is wrong" is a value statement and an example of the cognitive component of an attitude

4. Value statements set the stage for the more critical part of an attitude—its affective component. *Affect* is the emotional or feeling segment of an attitude. Example: "I don't like Jon because he discriminates again minorities."
5. The behavioral component of an attitude refers to an intention to behave in a certain way toward someone or something. Example: "I chose to avoid Jon because he discriminates."
6. Viewing attitudes as made up of three components helps with understanding of the potential relationship between attitudes and behavior, however, when we refer to *attitude* essentially we mean the affect part of the three components.
7. In contrast to values, your attitudes are less stable. Advertisements are directed at changing your attitudes and are often successful.

Types of attitudes

1. OB focuses our attention on a very limited number of job-related attitudes. Most of the research in OB has been concerned with three attitudes: job satisfaction, job involvement, and organizational commitment.

2. Job satisfaction
    - **Definition**: It is an individual's general attitude toward his/her job.
    - A high level of job satisfaction equals positive attitudes toward the job and vice versa.
    - Employee attitudes and job satisfaction are frequently used interchangeably.
    - Often when people speak of "employee attitudes" they mean "employee job satisfaction."

3. Job involvement
    - A workable definition: the measure of the degree to which a person identifies psychologically with his/her job and considers his/her perceived performance level important to self-worth.
    - High levels of job involvement is thought to result in fewer absences and lower resignation rates.
    - Job involvement more consistently predicts turnover than absenteeism

4. Organizational commitment
    - **Definition**: A state in which an employee identifies with a particular organization and its goals, and wishes to maintain membership in the organization.

    - Research evidence demonstrates negative relationships between organizational commitment and both absenteeism and turnover.
    - An individual's level of organizational commitment is a better indicator of turnover than the far more frequently used job satisfaction predictor because it is a more global and enduring response to the organization as a whole than is job satisfaction.
    - This evidence, most of which is more than two decades old, needs to be qualified to reflect the changing employee-employer relationship.
    - Organizational commitment is probably less important as a job-related attitude than it once was because the unwritten "loyalty" contract in place when this research was conducted is no longer in place.
    - In its place, we might expect "occupational commitment" to become a more relevant variable because it better reflects today's fluid workforce.

Job Satisfaction

Job satisfaction is the collection of feelings and beliefs people have about their current jobs. In addition to attitudes about a job as a whole, people can have attitudes about various aspects of their jobs, such as the kind of work, coworkers, or pay.

Job satisfaction is an important work attitude in organizational behavior because it affects a wide range of behaviors and contributes to workers' well-being. It is one of the most well researched work attitudes.

Measuring Job Satisfaction

There are several measures of job satisfaction, useful to researchers studying job satisfaction and to managers who wish to assess satisfaction levels. Most measures have workers respond to questions or statements about their jobs. The most widely used scales include the Minnesota Satisfaction Questionnaire, the Faces Scale, and the Job Descriptive Index.

Realize that some workers will be more satisfied that others with the same job because of different personalities and work values. Job satisfaction can be increased because it is determined not only by personalities but also by the situation.

Try to place newcomers in groups whose members are satisfied with their jobs.

Identify the facets of the job that are important to workers and try to increase their satisfaction by providing these facets.

Assess subordinates' levels of job satisfaction using scales to monitor their levels of job satisfaction. Take steps to improve the levels.

Realize the workers' job satisfaction levels depend on their perceptions of their jobs, not yours; changing some facets of the job may boost job satisfaction longer than others.

What Determines Job Satisfaction?

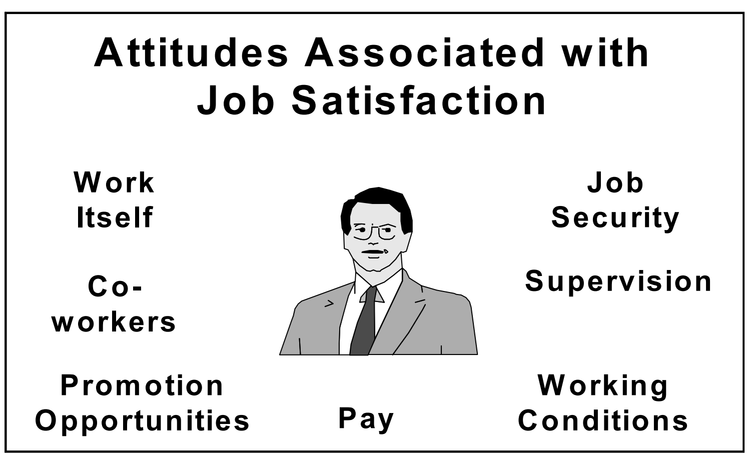
–Mentally Challenging Work
–Equitable Rewards
–Supportive Working Conditions
–Supportive Colleagues
–Personality - Job Fit
–Heredity/Genes

Job Satisfaction and Employee Performance

–Satisfaction and Productivity
–Satisfaction and Absenteeism
–Satisfaction and Turnover

Job Satisfaction is an emotional response to a job situation. Job Satisfaction determined by how well outcomes meet or exceed expectations. Job Satisfaction represents several related attitudes.

–The work itself
–Pay
–Promotion opportunities
–Supervision
–Coworkers



Outcomes of Job Satisfaction

•Satisfaction and Productivity
•Satisfaction and Turnover
•Satisfaction and Absenteeism
•Satisfaction and Citizenship Behavior

How Satisfied Are People in Their Jobs?

1. Most people are satisfied with their jobs in the developed countries surveyed.

2. However, there has been a decline in job satisfaction since the early 1990s. In the US nearly an eight percent drop in the 90s. Surprisingly those last years were one's of growth and economic expansion.

3. What factors might explain the decline despite growth:
    - Increased productivity through heavier employee workloads and tighter deadlines
    - Employees feeling they have less control over their work

4. While some segments of the market are more satisfied than others, they tend to be higher paid, higher skilled jobs which give workers more control and challenges.

The Effect of Job Satisfaction on Employee Performance

1. Managers' interest in job satisfaction tends to center on its effect on employee performance. Much research has been done on the impact of job satisfaction on employee productivity, absenteeism, and turnover.

2. Satisfaction and productivity:
    - Happy workers are not necessarily productive workers—the evidence suggests that productivity is likely to lead to satisfaction.
    - At the organization level, there is renewed support for the original satisfaction-performance relationship. It seems organizations with more satisfied workers as a whole are more productive organizations.

3. Satisfaction and absenteeism
    - We find a consistent negative relationship between satisfaction and absenteeism. The more satisfied you are, the less likely you are to miss work.
    - It makes sense that dissatisfied employees are more likely to miss work, but other factors have an impact on the relationship and reduce the correlation coefficient. For example, you might be a satisfied worker, yet still take a "mental health day" to head for the beach now and again.

4. Satisfaction and turnover
    - Satisfaction is also negatively related to turnover, but the correlation is stronger than what we found for absenteeism.
    - Other factors such as labor market conditions, expectations about alternative job opportunities, and length of tenure with the organization are important constraints on the actual decision to leave one's current job.
    - Evidence indicates that an important moderator of the satisfaction-turnover relationship is the employee's level of performance.

How Employees Can Express Dissatisfaction

1. There are a number of ways employees can express dissatisfaction
    - Exit
    - Voice
    - Loyalty
    - Neglect

2. *Exit:* Behavior directed toward leaving the organization, including looking for a new position as well as resigning.

3. *Voice:* Actively and constructively attempting to improve conditions, including suggesting improvements, discussing problems with superiors, and some forms of union activity.

Loyalty: Passively but optimistically waiting for conditions to improve, including speaking up for the organization in the face of external criticism, and trusting the organization and its management to "do the right thing."

Neglect: Passively allowing conditions to worsen, including chronic absenteeism or lateness, reduced effort, and increased error rate.
Exit and neglect behaviors encompass our performance variables—productivity, absenteeism, and turnover.

Voice and loyalty are constructive behaviors allow individuals to tolerate unpleasant situations or to revive satisfactory working conditions. It helps us to understand situations, such as those sometimes found among unionized workers, where low job satisfaction is coupled with low turnover.

Job Satisfaction and Customer Satisfaction

1. Evidence indicates that satisfied employees increase customer satisfaction and loyalty.

2. Customer retention and defection are highly dependent on how front-line employees deal with customers. Satisfied employees are more likely to be friendly, upbeat, and responsive. Customers appreciate that.

3. Dissatisfied customers can also increase an employee's dissatisfaction. The more employees work with rude and thoughtless customers, the more likely they are to be dissatisfied.

Lesson 8

PERSONALITY

Overview

- Individual differences can be divided into personality and ability differences. Understanding the nature, determinants, and consequences of individual differences is essential for managing organizational behavior. An appreciation of the nature of individual differences is necessary to understand why people behave in certain ways in an organization. A review of the personality literature offers general guidelines that can lead to effective job performance. As such, it can improve hiring, transfer, and promotion decisions. Because personality characteristics create the parameters for people's behavior, they give us a framework for predicting behavior. For example, individuals who are shy, introverted, and uncomfortable in social situations would probably be ill-suited as salespeople. Individuals who are submissive and conforming might not be effective as advertising "idea" people.

- Can we predict which people will be high performers in sales, research, or assembly-line work on the basis of their personality characteristics alone? The answer is no. Personality assessment should be used in conjunction with other information such as skills, abilities, and experience. However, knowledge of an individual's personality can aid in reducing mismatches, which, in turn, can lead to reduced turnover and higher job satisfaction.

- We can look at certain personality characteristics that tend to be related to job success, test for those traits, and use the data to make selection more effective. A person who accepts rules, conformity, dependence, and rates high on authoritarianism is likely to feel more comfortable in, say, a structured assembly-line job, as an admittance clerk in a hospital, or as an administrator in a large public agency than as a researcher or an employee whose job requires a high degree of creativity.

1. Organizational outcomes predicted by personality include job satisfaction, work stress, and leadership effectiveness. Personality is not a useful predictor of organizational outcomes when there are strong situational constraints. Because personality tends to be stable over time, managers should not expect to change personality in the short run. Managers should accept workers' personalities as they are and develop effective ways to deal with people.
2. Feelings, thoughts, attitudes, and behaviors in an organization are determined by the interaction of personality and situation.
3. The Big Five personality traits are extraversion (positive affectivity), neuroticism (negative affectivity), agreeableness, conscientiousness, and openness to experience. Other personality traits particularly relevant to organizational behavior include locus of control, self-monitoring, self-esteem, Type A and Type B personality, and the needs for achievement, affiliation, and power.
4. In addition to possessing different personalities, workers also differ in their abilities, or capabilities. The two major types of ability are cognitive and physical ability.
5. Types of cognitive ability can be arranged in a hierarchy with general intelligence at the top. Specific types of cognitive include: verbal, numerical, reasoning, deductive, ability to see relationships, memory, spatial, and perceptual.
6. There are two types of physical ability: motor skills (the ability to manipulate objects) and physical skills (a person's fitness and strength).
7. Both nature and nurture contribute to determining physical and cognitive ability. A third, recently identified, ability is emotional intelligence.
8. In organizations, ability can be managed by selecting individuals who have the abilities needed to accomplish tasks, placing workers in jobs that capitalize on their abilities, and training workers to enhance their ability levels.

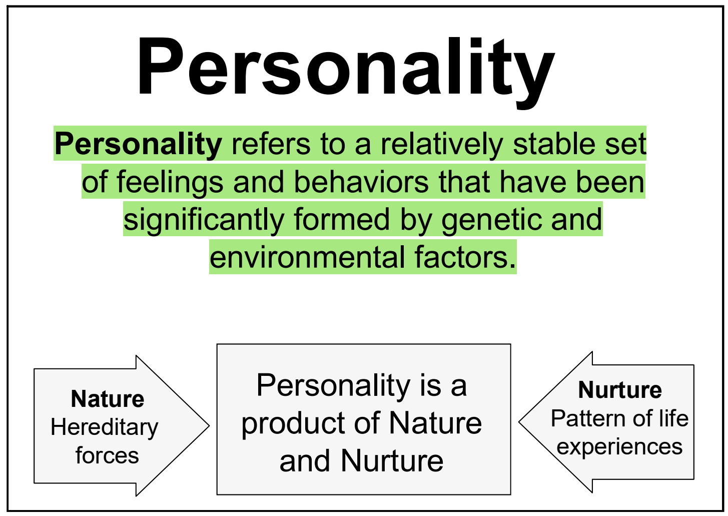
Personality

"Relatively stable pattern of behaviours and consistent internal states that explain a person's behavioural tendencies"

1. The sum total of ways in which an individual reacts and interacts with others.
2. Mean how people affect others and how they understand and view themselves, as well as their pattern of inner and outer measurable traits and ***Person-situation interaction***

Personality

"The relatively stable set of psychological attributes that distinguish one person from another"



The "Big Five" Personality Traits

1. A set of fundamental traits that is especially relevant to organizations.
2. The traits include agreeableness, conscientiousness, negative emotionality, extraversion, and openness.

The Nature of Personality

- Acknowledge and appreciate that workers' feelings, thoughts, attitudes, and behaviors are partially determined by their personalities, which are difficult to change—adjust your own behaviors to work with them.
- When trying to understand workers' attitudes and behaviors, remember that they are determined by the interaction of an individual's personality and the situation.
- If possible, structure the work environment to suit an individual's personality.
- Encourage an acceptance and appreciation of the diverse personalities in the organization.

The Big Five Model of Personality

Personality is typically described in terms of traits. A **trait** is a specific component of a personality that describes the particular tendencies a person has to feel, think, and act in a certain way. Thus, an individual's personality is a collection of traits, thought to be organized hierarchically. The **Big Five** model of personality places five general personality dimensions at the top of this hierarchy—extroversion, neuroticism, agreeableness, conscientiousness, and openness to experience

1. Extroversion Extraversion: How outgoing and sociable someone is.

Refers to the tendency to be sociable, friendly, and expressive. Extraversion, or **positive affectivity**, is one of the Big Five personality traits, and describes the predisposition of individuals to experience positive emotional states and feel good about themselves and the world. Extroverts are more sociable, affectionate, and friendly than introverts and experience higher levels of job satisfaction.

2. Emotional Stability Neuroticism: How easily someone gets upset or stressed.

Refers to the tendency to experience positive emotional states. Another Big Five trait, **neuroticism**, or **negative affectivity**, refers to people's dispositions to experience negative emotional states, feel distressed, and view the world around them negatively. They may play devil's advocate in an organization, pointing out problems with a proposed course of action. Individuals high on neuroticism often experience negative moods, feel stressed, and have a negative orientation at work. They are more critical of their own performance, a tendency that drives them to make improvements and excel in critical thinking and evaluation. In group decision making, these individuals exert a sobering influence by pointing out the negative aspects of a decision.

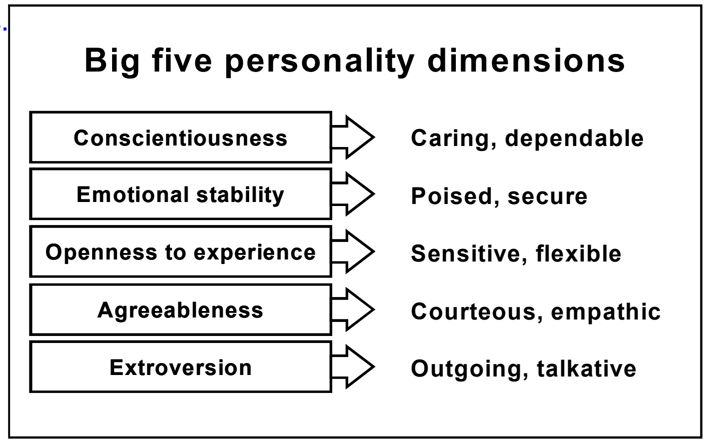
3. Agreeableness Agreeableness: How friendly and cooperative someone is.

Being courteous, forgiving, tolerant, trusting, and self-hearted. **Agreeableness** is a Big Five trait capturing the distinction between individuals who get along well with others and those who do not. Individuals high in agreeableness are caring, affectionate, and likable, whereas individuals low in this dimension are antagonistic, mistrustful, unsympathetic, and uncooperative. Agreeableness is likely to contribute to being a team player and is helpful in fostering good working relationships.

Conscientiousness: How organized and responsible someone is.

4. Conscientiousness

Is exhibited by those who are described as dependable, organized, and responsible. The Big Five trait of conscientiousness refers to the extent to which an individual is careful, scrupulous, and persevering. Individuals high on this dimension are organized and self-disciplined, whereas individuals low in conscientiousness may lack direction and self-discipline. Conscientiousness has been found to be a good predictor of performance in many jobs in a wide variety of organizations.



5. Openness to Experience Openness: How open-minded and curious someone is.

Reflects the extent to which an individual has broad interests and is willing to be a risk-taker. Openness to experience is a trait that refers to the extent to which an individual is original, is open to a wide variety of stimuli, has broad interests, and is willing to take risks, rather than being narrow-minded or cautious. For openness to experience to be translated into creative and innovative behavior in organizations, the organization must remove obstacles to innovation.

Other Organizationally Relevant Personality Traits

Other traits are important for understanding behavior in organizations.

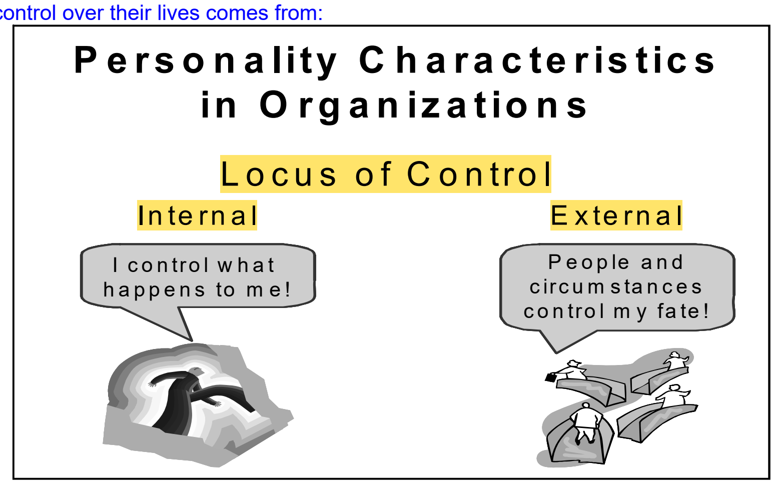
Locus of Control is about where people think control over their lives comes from:

Locus of Control

Internal: People who believe they control their own destiny, based on their actions and decisions.

External: People who think outside forces, like luck or fate, control their lives more than their own choices do.

Individuals who think that their own actions and behaviors have an impact in determining what happens to them have an internal locus of control. Individuals who believe that outside forces are largely responsible for their fate have an external locus of control. Internals are more easily motivated and need less direct supervision than externals.



Self-Monitoring is about how people manage and adjust their behavior to fit different social situations

Self-Monitoring

Self-monitoring refers to the extent to which people try to control the way they present themselves to others. Individuals high on self-monitoring behave in a socially acceptable manner.

They excel at managing other people's impressions of them. Low self-monitors are insensitive to cues concerning appropriate behavior and are not concerned about what others think of their behavior. High self-monitors interact well with different types of people; low self-monitors provide open, honest feedback.

Sources of self-efficacy

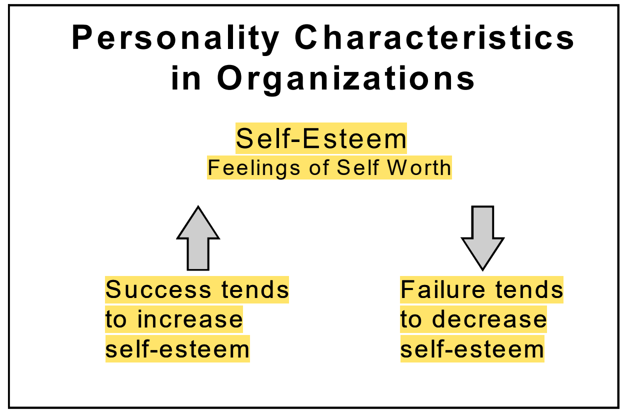
Self-efficacy is about how confident people feel in their ability to accomplish tasks and achieve goals.

–Prior experiences and prior success
–Behavior models (observing success)
–Persuasion
–Assessment of current physical & emotional capabilities

- **Self-Esteem**

Self-esteem is how much someone values and respects themselves. It's about feeling good about who you are and what you can do.

Self-esteem is the extent to which people have pride in themselves and their capabilities. Individuals with high self-esteem believe in their abilities and tend to set higher goals and perform more difficult tasks, whereas individuals with low self-esteem are full of self-doubt and apprehension. Still, people with low self-esteem may be just as capable as those with high self-esteem.



Personality characteristics create the parameters for people's behavior; they give us a framework for predicting behavior.

Type A and Type B Personalities

Type A:
People with a Type A personality are usually very competitive and always in a hurry. They like to be in control and often feel stressed.

Type A individuals have an intense desire to achieve, are extremely competitive, have a sense of urgency, are impatient, and can be hostile. A Type A personality is "aggressively involved in a chronic, incessant struggle to achieve more and more in less and less time, and, if required to do so, against the opposing efforts of other things or other persons.'' They are always moving, walking, and eating rapidly, are impatient with the rate at which most events take place, are doing do two or more things at once and cannot cope with leisure time. They are obsessed with numbers, measuring their success in terms of how many or how much of everything they acquire.

Type B:
People with a Type B personality are more relaxed and don't worry too much about competition. They take life at a slower pace and are generally calmer.

Type B individuals are more relaxed and easygoing. Type A individuals may get a lot accomplished in organizations, but they also are more easily frustrated, more involved in more conflicts, and more likely to develop coronary heart disease than Type B individuals. Type Bs never suffers from a sense of time urgency with its accompanying impatience and feels no need to display or discuss either their achievements or accomplishments unless such exposure is demanded by the situation.

Play for fun and relaxation, rather than to exhibit their superiority at any cost and can relax without guilt.

1. **Type A's operate under moderate to high levels of stress.**
   - They subject themselves to continuous time pressure, are fast workers, quantity over quality, work long hours, and are also rarely creative.
   - Their behavior is easier to predict than that of Type Bs.
2. **Are Type As or Type Bs more successful?**
   - Type Bs are the ones who appear to make it to the top.
   - Great salespersons are usually Type As; senior executives are usually Type Bs.

Personality Traits

- Realize that some workers are more likely to be positive and enthusiastic and some more likely to complain because of personality differences.
- Provide more direction for workers with less initiative to solve problems and who tend to blame others or the situation for problems.

- Provide more encouragement and support to workers with low self-esteem who belittle themselves and question their abilities.
- Realize that Type A personalities can be difficult to get along with and have difficulty in teams.
- Communicate to subordinates who are overly concerned being liked that sometimes honest feedback and be constructive criticism are necessary.

Lesson 9

EMOTIONS AND MOOD

Overview

- Can managers control the emotions of their colleagues and employees? No. Emotions are a natural part of an individual's makeup. Where managers err is if they ignore the emotional elements in organizational behavior and assess individual behavior as if it were completely rational. As one consultant aptly put it, "You can't divorce emotions from the workplace because you can't divorce emotions from people.'' Managers who understand the role of emotions will significantly improve their ability to explain and predict individual behavior.

- Do emotions affect job performance? Yes. They can hinder performance, especially negative emotions. That is probably why organizations, for the most part, try to extract emotions out of the workplace. Emotions can also enhance performance. How? Two ways. First, emotions can increase arousal levels, thus acting as motivators to higher performance. Second, emotional labor recognizes that feelings can be part of a job's required behavior. For instance, the ability to effectively manage emotions in leadership and sales positions may be critical to success in those positions.

- What differentiates functional from dysfunctional emotions at work? While there is no precise answer to this, it has been suggested that the critical moderating variable is the complexity of the individual's task. The more complex a task, the lower the level of arousal that can be tolerated without interfering with performance. While a certain minimal level of arousal is probably necessary for good performance, very high levels interfere with the ability to function, especially if the job requires calculative and detailed cognitive processes. Given that the trend is toward jobs becoming more complex, you can see why organizations are likely to go to considerable efforts to discourage the overt display of emotions—especially intense ones—in the workplace.

Work moods

How people feel when they perform their jobs, are more transitory than values and attitudes, changing from day to day, hour to hour, or minute to minute. Moods are categorized as either *positive* or *negative*. Positive moods include feeling excited, enthusiastic, active, strong, peppy, or elated. Negative moods include feeling distressed, fearful, scornful, hostile, jittery, or nervous. Moods can also be less intense. A worker might simply feel drowsy, sluggish, calm, placid, and relaxed.

Experiencing different moods depends on a worker's personality and the situation. Workers high on the trait of *positive affectivity* experience positive moods at work, whereas those high on the trait of *negative affectivity* experience negative moods. Both major and minor situational factors, such as receiving a promotion or coming to work in bad weather, can influence a worker's mood.

Mood has importance consequences for organizational behavior. Research suggests that positive moods promote creativity, result in helpfulness to coworkers and customers, and increase the performance of subordinates. Negative moods result in more accurate judgments (e.g., a performance appraisal). Both positive and negative moods influence decision making. Because managers can do many things to promote positive moods, work moods are receiving additional attention from researchers.

Emotions defined

"Feelings experienced towards an object, person or event that create a state of readiness"

– emotions demand attention and interrupt our train of thought
– emotions are directed toward something

– Emotions are a critical factor in employee behavior. Until very recently, the topic of emotions had been given little or no attention within the field of OB.

– The myth of rationality. Organizations have been specifically designed with the objective of trying to control emotions. A well-run organization was one that successfully eliminated frustration, fear, anger, love, hate, joy, grief, and similar feelings.
– The belief that emotions of any kind were disruptive. The discussion focused on strong negative emotions that interfered with an employee's ability to do his or her job effectively.

What Are Emotions?

1. *Affect* is a generic term that covers a broad range of feelings that people experience and encompasses both emotions and moods.
   - Emotions are intense feelings that are directed at someone or something. They are reactions, not a trait.
   - Moods are feelings that tend to be less intense than emotions and which lack a contextual stimulus. They are not directed at an object.
2. Emotions can turn into moods when you lose focus on the contextual object.
3. A related affect-term that is gaining increasing importance in organizational behavior is emotional labor. Originally developed in relation to service jobs. It is when an employee expresses organizationally desired emotions during interpersonal transactions.

Felt vs. Displayed Emotions IMPORTANT Felt emotions are what you truly feel inside, like happiness or sadness. Displayed emotions are the ones you show on the outside, like smiling or crying.

1. Emotional labor creates dilemmas for employees when their job requires them to exhibit emotions incongruous with their actual feelings. It is a frequent occurrence. For example, when there are people that you have to work with whom you find it very difficult to be friendly toward. You are forced to feign friendliness.
2. Felt emotions are an individual's actual emotions.
3. Displayed emotions are those that are organizationally required and considered appropriate in a given job. They are learned.
4. Key—felt and displayed emotions are often different. This is particularly true in organizations, where role demands and situations often require people to exhibit emotional behaviors that mask their true feelings.

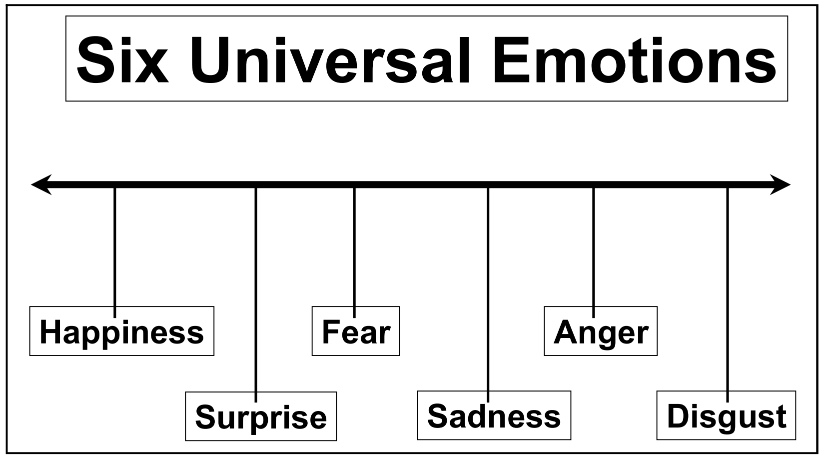
Emotion Dimensions

1. Variety The different types of emotions a person experiences, like happiness, sadness, anger, etc.
   - There are many emotions. Six universal emotions have been identified: anger, fear, sadness, happiness, disgust, and surprise.
   - Emotions are identified along a continuum from positive to negative. The closer any two emotions are to each other on this continuum, the more people are likely to confuse them.

2. Intensity How strong or weak an emotion feels, like feeling extremely happy or just a little bit sad.
   - People give different responses to identical emotion-provoking stimuli. Sometimes this can be attributed to personality.
   - People vary in their inherent ability to express intensity—from never showing feelings to displaying extreme happiness or sadness
   - Jobs make different intensity demands in terms of emotional labor. For example, air traffic controllers must remain calm even in stressful situations.

3. Frequency and duration How often someone feels a certain emotion and how long it lasts, like feeling happy every day or being sad for a week.
    - Emotional labor that requires high frequency or long duration is more demanding and requires more exertion by employees.
    - Whether or not the employee can successfully meet the emotional demands of a job depends on both the intensity of the emotions displayed and for how long the effort has to be made.

Can People Be Emotionless?



1. Some people have difficulty in expressing their emotions and understanding the emotions of others. Psychologists call this alexithymia.
2. People who suffer from alexithymia rarely cry and are often seen by others as bland and cold. Their own feelings make them uncomfortable, and they are not able to discriminate among their different emotions.

Are people who suffer from alexithymia poor work performers? Not necessarily. They might very well be effective performers, in a job requiring little or no emotional labor. Sales or customer service jobs would not be good career choices.

Gender and Emotions

1. It is widely assumed that women are more “in touch” with their feelings than men.
2. The evidence does confirm differences between men and women when it comes to emotional reactions and ability to read others.
    - Women show greater emotional expression than men, experience emotions more intensely, and display more frequent expressions of both positive and negative emotions.
    - Women also report more comfort in expressing emotions.
    - Women are better at reading nonverbal cues than are men.

These differences may be explained several ways:

- The different ways men and women have been socialized.
- Women may have more innate ability to read others and present their emotions than do men.
- Women may have a greater need for social approval and, thus, a higher propensity to show positive emotions such as happiness.

Women

- Can show greater emotional expression.
- Experience emotions more intensely.
- Display emotions more frequently.
- Are more comfortable in expressing emotions.
- Are better at reading others’ emotions.

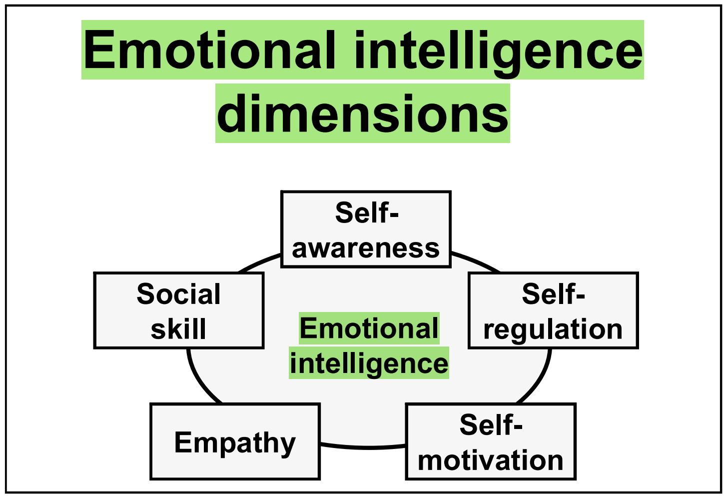
Men

- Believe that displaying emotions is inconsistent with the male image.
- Are innately less able to read and to identify with others’ emotions.
- Have less need to seek social approval by showing positive emotions.

Emotional Intelligence

Emotional intelligence is about understanding and managing your own emotions, as well as understanding and influencing the emotions of others.

EI refers to an assortment of non-cognitive skills, capabilities, and competencies that influence a person's ability to succeed in coping with environmental demands and pressures.



Knowing your own emotions, strengths, weaknesses, and values.

a. *Self-awareness*. Being aware of what you are feeling.

Controlling your emotions, impulses, and reactions, even in challenging situations.

b. *Self-management*. The ability to manage one's own emotions and impulses.

Having the inner drive to reach your goals and improve yourself, even if things don't always go smoothly.

c. *Self-motivation*. The ability to persist in the face of setbacks and failures.

Understanding and considering other people's feelings, perspectives, and needs.

d. *Empathy*. The ability to sense how others are feeling.

Building and maintaining positive relationships, communicating effectively, and working well with others.

e. *Social skills*. The ability to handle the emotions of others

- Several studies suggest EI may play an important role in job performance. EI, not academic I.Q., characterized high performers.
- The implications from the initial evidence on EI are that employers should consider it as a factor in selection, especially in jobs that demand a high degree of social interaction.

External Constraints on Emotions

Every organization defines boundaries that identify what emotions are acceptable and the degree to which they can be expressed. The same applies in different cultures.

1. **Organizational influences:**
    - There is no single emotional "set" sought by all organizations.
    - In the United States, there is a bias against negative and intense emotions. Expressions of negative emotions such as fear, anxiety, and anger tend to be unacceptable except under fairly specific conditions.
    - Consistent with the myth of rationality, well-managed organizations are expected to be essentially emotion-free.
2. **Cultural influences:**
    - Cultural norms in the United States dictate that employees in service organizations should smile and act friendly when interacting with customers. But this norm does not apply worldwide.
    - Cultures differ in terms of the interpretation they give to emotions. There tends to be high agreement on what emotions mean within cultures but not between cultures. For example, smiling is often seen as an expression of happiness by Americans. However, in Israel, smiling by cashiers is seen as being inexperienced.
    - Studies indicate that some cultures lack words for such standard emotions as anxiety, depression, or guilt.

OB Applications of Understanding Emotions

1. **Ability and Selection**

   Choosing people who can manage their emotions well can lead to better performance and teamwork.

   Emotions affect employee effectiveness. Ability and Selection: People who know their own emotions and are good at reading others' emotions may be more effective in their jobs.

2. **Decision Making**

   Being aware of emotions can help make better decisions and think about how others feel.

   Emotions are an important part of the decision-making process in organizations.

- Traditional approaches to the study of decision making in organizations have emphasized rationality. That approach is probably naïve. People use emotions as well as rational and intuitive processes in making decisions.
- Negative emotions can result in a limited search for new alternatives and a less vigilant use of information.
- Positive emotions can increase problem solving and facilitate the integration of information.

3. Motivation Knowing what emotions motivate employees can help keep them happy and productive.

Emotional commitment to work and high motivation are strongly linked.

- Motivation theories basically propose that individuals "are motivated to the extent that their behavior is expected to lead to desired outcomes."
- The image is that of rational exchange. People's perceptions and calculations of situations are filled with emotional content that significantly influences how much effort they exert.
- Not everyone is emotionally engaged in their work, but many are.

4. Leadership Leaders who understand their own and others' emotions can lead and inspire their teams better.

Emotions are important to acceptance of messages from organizational leaders.

- The ability to lead others is a fundamental quality sought by organizations.
- Effective leaders almost all rely on the expression of feelings to help convey their messages and is often the critical element that results in individuals accepting or rejecting a leader's message.
- When effective leaders want to implement significant changes, they rely on "the evocation, framing, and mobilization of emotions.''

5. Interpersonal Conflict Recognizing emotions can help solve arguments and improve relationships at work.

Conflict in the workplace and individual emotions are strongly intertwined.

- Whenever conflicts arise, you can be fairly certain that emotions are also surfacing.
- A manager's success in trying to resolve conflicts, in fact, is often largely due to his or her ability to identify the emotional elements in the conflict and to get the conflicting parties to work through their emotions.

6. Deviant Workplace Behaviors Understanding emotions can help spot and fix negative behaviors before they get worse.

Negative emotions can lead to employee deviance in the form of actions that violate established norms and threaten the organization and its members.

i. Productivity failures
ii. Property theft and destruction
iii. Political actions
iv. Personal aggression

Lesson 10

PERCEPTION

Overview

- Individuals behave in a given manner based not on the way their external environment actually is but, rather, on what they see or believe it to be. An organization may spend millions of dollars to create a pleasant work environment for its employees. However, in spite of these expenditures, if an employee believes that his or her job is lousy, that employee will behave accordingly. It is the employee's perception of a situation that becomes the basis for his or her behavior. The employee who perceives his/her supervisor as a hurdle reducer who helps him/her do a better job and the employee who sees the same supervisor as "big brother, closely monitoring every motion, to ensure that I keep working" will differ in their behavioral responses to their supervisor. The difference has nothing to do with the reality of the supervisor's actions; the difference in employee behavior is due to different perceptions.

- The evidence suggests that what individuals perceive from their work situation will influence their productivity more than will the situation itself. Whether or not a job is actually interesting or challenging is irrelevant. Whether or not a manager successfully plans and organizes the work of his or her employees and actually helps them to structure their work more efficiently and effectively is far less important than how employees perceive the manager's efforts. Similarly, issues like fair pay for work performed, the validity of performance appraisals, and the adequacy of working conditions are not judged by employees in a way that assures common perceptions, nor can we be assured that individuals will interpret conditions about their jobs in a favorable light. Therefore, to be able to influence productivity, it is necessary to assess how workers perceive their jobs.

- Absenteeism, turnover, and job satisfaction are also reactions to the individual's perceptions. Dissatisfaction with working conditions or the belief that there is a lack of promotion opportunities in the organization are judgments based on attempts to make some meaning out of one's job. The employee's conclusion that a job is good or bad is an interpretation. Managers must spend time understanding how each individual interprets reality and, where there is a significant difference between what is seen and what exists, try to eliminate the distortions. Failure to deal with the differences when individuals perceive the job in negative terms will result in increased absenteeism and turnover and lower job satisfaction.

- Perception and attribution are important topics because all decisions and behaviors in organizations are influenced by how people interpret and make sense of the world around them and each other. Perception is the process by which individuals select, organize, and interpret sensory input. Attribution is an explanation of the cause of behavior. Perception and attribution explain how and why people behave in organizations and how and why they react to the behavior of others.

Perception is how we interpret and understand the world around us through our senses.
It's the process of taking in information and making sense of it based on our experiences and beliefs.

  - Perception is the process by which people interpret the input from their senses to give meaning and order to the world around them. The three components of perception are the perceiver, the target, and the situation. Accurate perceptions are necessary to make good decisions and to motivate workers to perform at a high level, to be fair and equitable, and to be ethical.

Stereotypes are oversimplified and fixed ideas about a group of people. They often lead to generalizations that may not be true for everyone in that group.

  - The perceiver's knowledge base is organized into schemas, abstract knowledge structures stored in memory that allow people to organize and interpret information about a given target of perception. Schemas tend to be resistant to change and can be functional or dysfunctional. A stereotype is a dysfunctional schema because stereotypes often lead perceivers to assume erroneously that targets have a whole range of characteristics simply because they possess one distinguishing characteristic (e.g., race, age, or gender). In addition to the perceiver's schemas, the motivational state and mood also influence perception.

- Characteristics of the target also influence perception. Ambiguous targets are subject to a lot of interpretation by the perceiver; the more ambiguous the target, the more likely perceivers are to differ in their perceptions of it. The target's social status also affects how the target is perceived. Through impression management, targets can actively try to manage the perceptions that others have of them.
- The situation affects perception by providing the perceiver with additional information. One particularly important aspect of the situation is the target's salience—that is, the extent to which the target stands out in a group of people or things.

- Biases and problems in person perception include primacy effects, contrast effects, halo effects, similar-to-me effects, harshness, leniency, average tendencies, and knowledge-of-predictor bias. Inaccurate perceptions resulting from these biases can lead to faulty decision making.

- Attributions are important determinants of behavior in organizations because organization members react to other people's behavior based on what they think caused the behavior. Common external attributions for behavior include task difficulty and luck or chance. Like perceptions, attributions can be inaccurate because of biases, including the fundamental attribution error, the actor-observer effect, and self-serving attribution.

- Three ways in which organizations can promote accurate perceptions and attributions and effectively manage diverse employees include: securing top management's commitment to diversity, diversity training, and education. Organizations also need to take steps to eliminate and prevent both quid pro quo and hostile work environment.

What is Perception?

"A process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment"

Why is it Important?

- Because people's behavior is based on their perception of what reality is, not on reality itself.
- *The world that is perceived is the world that is behaviorally important.*

Factors Influencing Perception

- Perceiver
- Target
- Situation

When an individual looks at a target and attempts to interpret what he or she sees, that interpretation is heavily influenced by personal characteristics of the individual perceiver.

The more relevant personal characteristics affecting perception of the perceiver are attitudes, motives, interests, past experiences, and expectations.

Characteristics of the target can also affect what is being perceived. This would include attractiveness, gregariousness, and our tendency to group similar things together. For example, members of a group with clearly distinguishable features or color are often perceived as alike in other, unrelated characteristics as well. The context in which we see objects or events also influences our attention. This could include time, heat, light, or other situational factors.

A perceiver is someone who observes or interprets something. It's the person who is receiving and making sense of information through their senses.

The Nature of Perception

Perception is the process by which individuals select, organize, and interpret the input from their senses to give meaning and order to the world around them. The process of perception involves the **perceiver—**the person making the interpretation, the **target of perception—**what the perceiver interprets, and the **situation** in which perception takes place. The target can be an event, a situation, an idea, a noise, a group of people, or another person. **Person perception**, or the process of perceiving another person, plays a large role in organizational behavior.

Internal and External Attributions

Internal Attributions:
We think something happened because of a person's own qualities or actions.
For example, "She did well because she's really smart."

Causal explanations for behaviors can be either **internal attributions**, behavior caused by some characteristic of the target, or **external attributions**, behavior assigned to factors outside the individual. Common internal attributions include ability, effort, and personality. Poor performance may be attributed to lack of effort or ability, and poor relations with coworkers may be attributed to personality. Common external attributions include luck, chance, and easy tasks. A worker's accomplishment may be viewed as a stroke of luck.
Whether attributions are internal or external determines how people respond to behavior. High performance, attributed to ability, results in a promotion, but attributed to luck, results in no promotion. The attributions people make for their own behavior influence subsequent actions. A successful worker who attributes an outcome to luck remains unaffected, whereas attributing success to ability increases confidence.

External Attributions:
We think something happened because of outside factors.
For example,
"He did well because he had good luck."

The Link between Perception and Individual Decision Making

Individuals in organizations make decisions; they make choices from among two or more alternatives.

- Top managers determine their organization's goals, what products or services to offer, how best to finance operations, or where to locate a new manufacturing plant.
- Middle- and lower-level managers determine production schedules, select new employees, and decide how pay raises are to be allocated.
- Non-managerial employees also make decisions including whether or not to come to work on any given day, how much effort to put forward once at work, and whether or not to comply with a request made by the boss.
- A number of organizations in recent years have been empowering their non-managerial employees with job-related decision-making authority that historically was reserved for managers.
- There is a discrepancy between some current state of affairs and some desired state, requiring consideration of alternative courses of action.
- The awareness that a problem exists and that a decision needs to be made is a perceptual issue.
- Every decision requires interpretation and evaluation of information. The perceptions of the decision maker will address these two issues.
- Data are typically received from multiple sources.
- Which data are relevant to the decision and which are not?
- Alternatives will be developed, and the strengths and weaknesses of each will need to be evaluated.

Social Perception

Social perception is how we understand and interpret the behavior and characteristics of other people. It involves making judgments, forming impressions, and understanding social cues to make sense of others' thoughts, feelings, and intentions.

"The processes, through which individuals attempt to combine, integrate and interpret information about others". Social status, a target's real or perceived position in society or an organization, also affects perception. High-status targets are perceived as more credible, knowledgeable, and responsible than low-status targets. Organizations use a high-status target to make public announcements and presentations because the audience perceives that person as credible.

To ensure that women and minorities enjoy equal footing including social status, many organizations have adopted affirmative action programs. Yet, these programs may perpetuate the low status of women and minorities because others perceive and treat affirmative action hires as second-class citizens. This can result in not fully utilizing these workers' capabilities. After qualified employees left the company, Monsanto realized that affirmative action initiatives must include training programs to manage diversity, eliminate bias, and avoid the second-class citizen status that minorities inadvertently acquire.

Barriers to Social Perception

1. **Selective Perception**
   - Any characteristic that makes a person, object, or event stand out will increase the probability that it will be perceived.
   - It is impossible for us to assimilate everything we see—only certain stimuli can be taken in.

2. **Halo Effect**
   - The halo effect occurs when we draw a general impression on the basis of a single characteristic:
     a. This phenomenon frequently occurs when students appraise their classroom instructor.

     b. Students may give prominence to a single trait such as enthusiasm and allow their entire evaluation to be tainted by how they judge the instructor on that one trait.
   - The reality of the halo effect was confirmed in a classic study.
     a. Subjects were given a list of traits such as intelligent, skillful, practical, industrious, determined, and warm, and were asked to evaluate the person to whom those traits applied. When the word "warm" was substituted with "cold" the subjects changed their evaluation of the person.
     b. The experiment showed that subjects were allowing a single trait to influence their overall impression of the person being judged.
     c. Research suggests that it is likely to be most extreme when the traits to be perceived are ambiguous in behavioral terms, when the traits have moral overtones, and when the perceiver is judging traits with which he or she has had limited experience.

3. **Stereotyping**
   - Stereotyping—judging someone on the basis of our perception of the group to which he or she belongs
   - Generalization is not without advantages. It is a means of simplifying a complex world, and it permits us to maintain consistency. The problem, of course, is when we inaccurately stereotype.
   - In organizations, we frequently hear comments that represent stereotypes based on gender, age, race, ethnicity, and even weight.
   - From a perceptual standpoint, if people expect to see these stereotypes, that is what they will perceive, whether or not they are accurate.

Lesson 11

PERCEPTION, ATTITUDES AND PERSONALITY

Overview

Perception and attribution are important topics because all decisions and behaviors in organizations are influenced by how people interpret and make sense of the world around them and each other. Perception is the process by which individuals select, organize, and interpret sensory input. Attribution is an explanation of the cause of behavior. Perception and attribution explain how and why people behave in organizations and how and why they react to the behavior of others. This chapter makes the following points:

- Perception is the process by which people interpret the input from their senses to give meaning and order to the world around them. The three components of perception are the perceiver, the target, and the situation. Accurate perceptions are necessary to make good decisions and to motivate workers to perform at a high level, to be fair and equitable, and to be ethical.

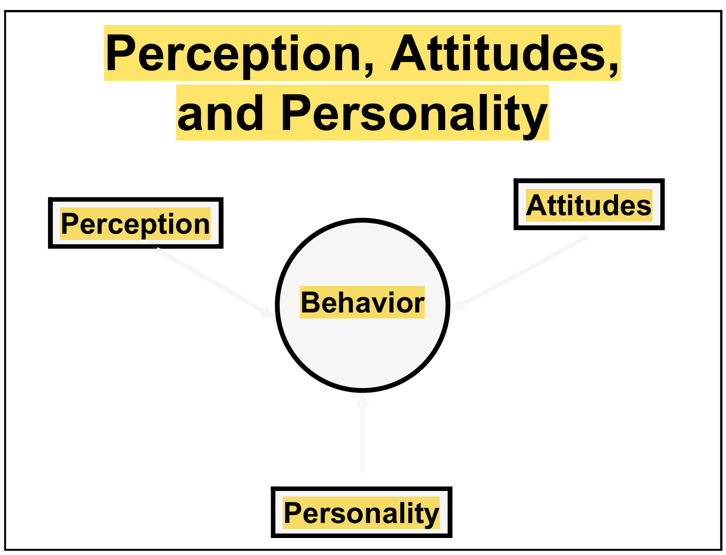
- The perceiver's knowledge base is organized into schemas, abstract knowledge structures stored in memory that allow people to organize and interpret information about a given target of perception. Schemas tend to be resistant to change and can be functional or dysfunctional. A stereotype is a dysfunctional schema because stereotypes often lead perceivers to assume erroneously that targets have a whole range of characteristics simply because they possess one distinguishing characteristic (e.g., race, age, or gender). In addition to the perceiver's schemas, the motivational state and mood also influence perception.

- Characteristics of the target also influence perception. Ambiguous targets are subject to a lot of interpretation by the perceiver; the more ambiguous the target, the more likely perceivers are to differ in their perceptions of it. The target's social status also affects how the target is perceived. Through impression management, targets can actively try to manage the perceptions that others have of them.

- The situation affects perception by providing the perceiver with additional information. One particularly important aspect of the situation is the target's salience—that is, the extent to which the target stands out in a group of people or things.

- Biases and problems in person perception include primacy effects, contrast effects, halo effects, similar-to-me effects, harshness, leniency, average tendencies, and knowledge-of-predictor bias. Inaccurate perceptions resulting from these biases can lead to faulty decision making.

- Attributions are important determinants of behavior in organizations because organization members react to other people's behavior based on what they think caused the behavior. Common external attributions for behavior include task difficulty and luck or chance. Like perceptions, attributions can be inaccurate because of biases, including the fundamental attribution error, the actor-observer effect, and self-serving attribution.



- Three ways in which organizations can promote accurate perceptions and attributions and effectively manage diverse employees include: securing top management's commitment to diversity, diversity training, and education. Organizations also need to take steps to eliminate and prevent both quid pro quo and hostile work environment.

Attributes

The Process through which individuals attempt to determine the causes of others behavior

Attribution Theory

People try to make sense of a situation by explaining its cause; this explanation is an **attribution**. **Attribution theory** describes how people explain the causes of their own and other people's behavior. To the extent that attributions are accurate, better organizational decisions can be made.
Supervisors make attributions for high or low performance. If a supervisor attributes high performance to exceptional ability, challenging work is assigned, but if it is attributed to luck, no change in assignment will be made. Incorrect attributions result in over challenging or under challenging assignments. Smooth day-to-day interactions often hinge on accurate attributions.

Internal and External Attributions

Causal explanations for behaviors can be either **internal attributions**, behavior caused by some characteristic of the target, or **external attributions**, behavior assigned to factors outside the individual. Common internal attributions include ability, effort, and personality. Poor performance may be attributed to lack of effort or ability, and poor relations with coworkers may be attributed to personality. Common external attributions include luck, chance, and easy tasks. A worker's accomplishment may be viewed as a stroke of luck.
Whether attributions are internal or external determines how people respond to behavior. High performance, attributed to ability, results in a promotion, but attributed to luck, results in no promotion. The attributions people make for their own behavior influence subsequent actions. A successful worker who attributes an outcome to luck remains unaffected, whereas attributing success to ability increases confidence.

1. Our perceptions of people differ from our perceptions of inanimate objects.
- We make inferences about the actions of people that we do not make about inanimate objects.
- Nonliving objects are subject to the laws of nature.
- People have beliefs, motives, or intentions.

2. Our perception and judgment of a person's actions are influenced by these assumptions.
Attribution theory suggests that when we observe an individual's behavior, we attempt to determine whether it was internally or externally caused. That determination depends largely on three factors:
- **Distinctiveness:** shows different behaviors in different situations.
- **Consensus:** Response is the same as others to same situation.
- **Consistency:** Responds in the same way over time.

3. Clarification of the differences between internal and external causation:
- Internally caused behaviors are those that are believed to be under the personal control of the individual.
- Externally caused behavior is seen as resulting from outside causes; that is, the person is seen as having been forced into the behavior by the situation.

4. *Distinctiveness* refers to whether an individual displays different behaviors in different situations. What we want to know is whether the observed behavior is unusual.
- If it is, the observer is likely to give the behavior an external attribution.
- If this action is not unusual, it will probably be judged as internal.

5. *Consensus* occurs if everyone who is faced with a similar situation responds in the same way. If consensus is high, you would be expected to give an external attribution to the employee's tardiness, whereas if other employees who took the same route made it to work on time, your conclusion as to causation would be internal.

6. *Consistency* in a person's actions. Does the person respond the same way over time? The more consistent the behavior, the more the observer is inclined to attribute it to internal causes.

7. Fundamental Attribution Error
   - There is substantial evidence that we have a tendency to underestimate the influence of external factors and overestimate the influence of internal or personal factors.
   - There is also a tendency for individuals to attribute their own successes to internal factors such as ability or effort while putting the blame for failure on external factors such as luck. This is called the "self-serving bias" and suggests that feedback provided to employees will be distorted by recipients.

8. Are these errors or biases that distort attribution universal across different cultures? While there is no definitive answer there is some preliminary evidence that indicates cultural differences:
   - Korean managers found that, contrary to the self-serving bias, they tended to accept responsibility for group failure.
   - Attribution theory was developed largely based on experiments with Americans and Western Europeans.
   - The Korean study suggests caution in making attribution theory predictions in non-Western societies, especially in countries with strong collectivist traditions.

Frequently Used Shortcuts in Judging Others

- **Selective Perception**
  - People selectively interpret what they see on the basis of their interest, background, experience, and attitudes.
- **Halo Effect**
  - A general impression about an individual is based on a single positive characteristic.
- **Contrast Effects**
  - Evaluations of a person's characteristics that are affected by comparisons with other people recently encountered who rank higher or lower on the same characteristics.
- **Projection**
  - Attributing one's own characteristics to other people
- **Stereotyping**
  - Judging someone on the basis of the group to which he/she belongs.

Specific Applications in Organizations

1. **Employment Interview**
   - Evidence indicates that interviewers make perceptual judgments that are often inaccurate.
   - In addition, agreement among interviewers is often poor. Different interviewers see different things in the same candidate and thus arrive at different conclusions about the applicant.
   - Interviewers generally draw early impressions that become very quickly entrenched. Studies indicate that most interviewers' decisions change very little after the first four or five minutes of the interview.
   - Because interviews usually have so little consistent structure and interviewers vary in terms of what they are looking for in a candidate, judgments of the same candidate can vary widely.

2. Performance Expectations

- Evidence demonstrates that people will attempt to validate their perceptions of reality, even when those perceptions are faulty.
- Self-fulfilling prophecy or Pygmalion effect characterizes the fact that people's expectations determine their behavior. Expectations become reality.
- A study was undertaken with 105 soldiers in the Israeli Defense Forces who were taking a fifteen-week combat command course. Soldiers were randomly divided and identified as having high potential, normal potential, and potential not known. Instructors got better results from the high potential group because they expected it confirming the effect of a self-fulfilling prophecy.

3. Performance Evaluation

- An employee's performance appraisal is very much dependent on the perceptual process.
- Although the appraisal can be objective, many jobs are evaluated in subjective terms. Subjective measures are, by definition, judgmental.
- To the degree that managers use subjective measures in appraising employees, what the evaluator perceives to be good or bad employee characteristics or behaviors will significantly influence the outcome of the appraisal.

4. Employee Effort

- An individual's future in an organization is usually not dependent on performance alone. An assessment of an individual's effort is a subjective judgment susceptible to perceptual distortions and bias.

Perception and Performance Appraisal

Objective and Subjective Measures

- Higher in the organizational hierarchy, it becomes more difficult to find objective measures or quantifiable evidence to use to measure performance.
- Therefore, organizations rely on subjective measures of effectiveness provided by managers.

Rater Errors

Sometimes individuals make similar judgments, even though job performance is varied. Some supervisors are overly harsh in appraisals, whereas others are overly lenient. Others rate everyone as average. One effect is that high performers do not receive the rewards they deserve and low performers do not improve performance. Biases make it difficult to compare employees rated by different supervisors. Should an employee with a good performance rating from a lenient supervisor be promoted over an employee with a poor rating from a harsh supervisor?

- **Leniency** – The tendency to perceive the job performance of ratees as especially good.
- **Harshness** – The tendency to perceive the job performance of ratees as especially ineffective.
- **Central tendency** – The tendency to assign most ratees to middle-range job performance categories.

Halo effect – The rating of an individual on one trait or characteristic tends to colour ratings on other traits or characteristics. A **halo effect** occurs when the perceiver's general impression of a target distorts perception of the target on specific dimensions. Halo effects can be positive or negative. A subordinate viewed positively may be rated high on work quality though the work is full of mistakes. Because of the halo effect, the subordinate will not receive the feedback necessary to improve performance. A negative impression may lead the supervisor to perceive the subordinate as uncooperative.

Similar-to-me effect – A rater gives more favorable evaluations to people who are similar to the rater in terms of background or attitudes. People tend to perceive those who are similar to themselves more positively than those who are dissimilar. Similar-to-me effect can adversely affect women and minorities trying to climb the corporate ladder. Members of an organization must be on guard for the similar-to-me bias in interacting with people from other cultures.

Misperception

Misperception is the cognitive process by which an individual selects and organizes, but misinterprets, environmental stimuli.

Lesson 12

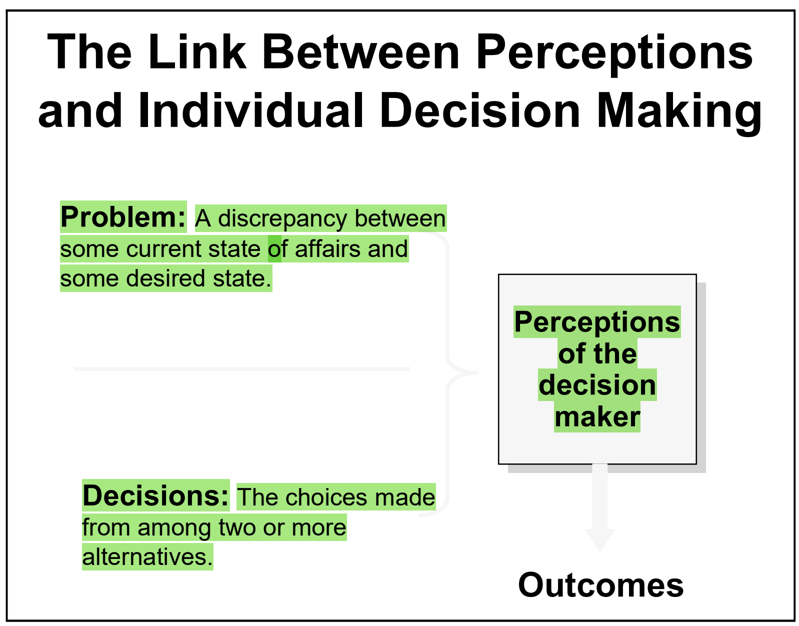
PERCEPTION AND DECISION MAKING

The Link between Perception and Individual Decision Making

1. Individuals in organizations make decisions; they make choices from among two or more alternatives.
   - Top managers determine their organization's goals, what products or services to offer, how best to finance operations, or where to locate a new manufacturing plant.
   - Middle- and lower-level managers determine production schedules, select new employees, and decide how pay raises are to be allocated.
   - Non-managerial employees also make decisions including whether or not to come to work on any given day, how much effort to put forward once at work, and whether or not to comply with a request made by the boss.
   - A number of organizations in recent years have been empowering their non-managerial employees with job-related decision-making authority that historically was reserved for managers.

2. Decision-making occurs as a reaction to a problem.
   - There is a discrepancy between some current state of affairs and some desired state, requiring consideration of alternative courses of action.
   - The awareness that a problem exists and that a decision needs to be made is a perceptual issue.

3. Every decision requires interpretation and evaluation of information. The perceptions of the decision maker will address these two issues.
   - Data are typically received from multiple sources.
   - Which data are relevant to the decision and which are not?
   - Alternatives will be developed, and the strengths and weaknesses of each will need to be evaluated.



Rational Decision-Making Model

"A decision-making model that describes how individuals should behave in order to maximize some outcomes"

Important

Steps in the Rational Decision-Making Model

1. Define the problem.
2. Identify the decision criteria.
3. Allocate weights to the criteria.
4. Develop the alternatives.
5. Evaluate the alternatives.
6. Select the best alternative.

The optimizing decision maker is rational. He or she makes consistent, value-maximizing choices within specified constraints.

The Rational Model IMPORTANT

***Step 1*: Defining the problem**
   - A problem is a discrepancy between an existing and a desired state of affairs.

- Many poor decisions can be traced to the decision maker overlooking a problem or defining the wrong problem.

Step 2: Identify the decision criteria important to solving the problem.

- The decision maker determines what is relevant in making the decision. Any factors not identified in this step are considered irrelevant to the decision maker.
- This brings in the decision maker's interests, values, and similar personal preferences

Step 3: Weight the previously identified criteria in order to give them the correct priority in the decision.

Step 4: Generate possible alternatives that could succeed in resolving the problem.

Step 5: Rating each alternative on each criterion.

- Critically analyze and evaluate each alternative
- The strengths and weaknesses of each alternative become evident as they are compared with the criteria and weights established in the second and third steps.

Step 6: The final step is to compute the optimal decision:

- Evaluating each alternative against the weighted criteria and selecting the alternative with the highest total score.

Assumptions of the Model

- *Problem clarity*. The decision maker is assumed to have complete information regarding the decision situation.
- *Known options*. It is assumed the decision maker is aware of all the possible consequences of each alternative.
- *Clear preferences*. Criteria and alternatives can be ranked and weighted to reflect their importance.
- *Constant preferences*. Specific decision criteria are constant and the weights assigned to them are stable over time.
- *No time or cost constraints*. The rational decision maker can obtain full information about criteria and alternatives because it is assumed that there are no time or cost constraints.
- *Maximum payoff*. The rational decision maker will choose the alternative that yields the highest perceived value

Bounded Rationality

Individuals make decisions by constructing simplified models that extract the essential features from problems without capturing all their complexity.

1. When faced with a complex problem, most people respond by reducing the problem to a level at which it can be readily understood.
   - This is because the limited information-processing capability of human beings makes it impossible to assimilate and understand all the information necessary to optimize.
   - People *satisfice*—they seek solutions that are satisfactory and sufficient.

2. Individuals operate within the confines of bounded rationality. They construct simplified models that extract the essential features.

3. How does bounded rationality work?
   - Once a problem is identified, the search for criteria and alternatives begins.

   The decision maker will identify a limited list made up of the more conspicuous choices, which are easy to find, tend to be highly visible, and they will represent familiar criteria and previously tried-and-true solutions.

- Once this limited set of alternatives is identified, the decision maker will begin reviewing it.
    a. The decision maker will begin with alternatives that differ only in a relatively small degree from the choice currently in effect.
    b. The first alternative that meets the "good enough" criterion ends the search.
- The order in which alternatives are considered is critical in determining which alternative is selected.
- Assuming that a problem has more than one potential solution, the satisfying choice will be the first acceptable one the decision maker encounters.

- Alternatives that depart the least from the status quo are the most likely to be selected.

Intuitive Decision-Making

"An unconscious process created out of distilled experience"

1. Intuitive decision-making has recently come out of the closet and into some respectability.
2. What is intuitive decision making?
    - It is an unconscious process created out of distilled experience. It operates in complement with rational analysis.
    - Some consider it a form of extrasensory power or sixth sense.
    - Some believe it is a personality trait that a limited number of people are born with.
3. Research on chess playing provides an excellent example of how intuition works.
    - The expert's experience allows him or her to recognize the pattern in a situation and draw upon previously learned information associated with that pattern to quickly arrive at a decision choice.
    - The result is that the intuitive decision maker can decide rapidly with what appears to be very limited information.
    - Eight conditions when people are most likely to use intuitive decision making:
        a. when a high level of uncertainty exists
        b. when there is little precedent to draw on
        c. when variables are less scientifically predictable
        d. when "facts" are limited
        e. when facts do not clearly point the way to go
        f. when analytical data are of little use
        g. when there are several plausible alternative solutions to choose from, with good arguments for each
        h. when time is limited, and there is pressure to come up with the right decision
    - Although intuitive decision making has gained in respectability, don't expect people—especially in North America, Great Britain, and other cultures where rational analysis is the approved way of making decisions—to acknowledge they are using it. Rational analysis is considered more socially desirable in these cultures.

Decision-Making Styles

1. Research on decision styles has identified four different individual approaches to making decisions.
2. People differ along two dimensions. The first is their way of thinking.
- Some people are logical and rational. They process information serially.
- Some people are intuitive and creative. They perceive things as a whole.

3. The other dimension is a person's tolerance for ambiguity
- Some people have a high need to minimize ambiguity.
- Others are able to process many thoughts at the same time.

4. These two dimensions, diagrammed, form four styles of decision making.
- Directive:

a. Low tolerance for ambiguity and seek rationality
b. Efficient and logical
c. Decisions are made with minimal information and with few alternatives assessed.
d. Make decisions fast and focus on the short-run.

- Analytic
  a. Greater tolerance for ambiguity
  b. Desire for more information and consideration of more alternatives
  c. Best characterized as careful decision makers with the ability to adapt to or cope with new situations
- Conceptual
  a. Tend to be very broad in their outlook and consider many alternatives
  b. Their focus is long range, and they are very good at finding creative solutions to problems.
- Behavioral
  a. Characterizes decision makers who work well with others
  b. Concerned with the achievement of peers and subordinates and are receptive to suggestions from others, relying heavily on meetings for communicating
  c. Tries to avoid conflict and seeks acceptance

5. Most managers have characteristics that fall into more than one. It is best to think in terms of a manager's dominant style and his or her backup styles.
- Business students, lower-level managers, and top executives tend to score highest in the analytic style.
- Focusing on decision styles can be useful for helping you to understand how two equally intelligent people, with access to the same information, can differ in the ways they approach decisions and the final choices they make.

Organizational Constraints on Decision Makers

1. The organization itself constrains decision makers. This happens due to policies, regulations, time constraints, etc.

2. Performance evaluation
- Managers are strongly influenced in their decision making by the criteria by which they are evaluated. Their performance in decision making will reflect expectation.

3. Reward systems
- The organization's reward system influences decision makers by suggesting to them what choices are preferable in terms of personal payoff.

4. Programmed routines
- All but the smallest of organizations create rules, policies, procedures, and other formalized regulations in order to standardize the behavior of their members.
- By programming decisions, organizations are able to get individuals to achieve high levels of performance without paying for the years of experience.

5. System-imposed time constraints
- Organizations impose deadlines on decisions.
- Decisions must be made quickly in order to stay ahead of the competition and keep customers satisfied.
- Almost all important decisions come with explicit deadlines.

6. Historical Precedents
- Decisions have a context. Individual decisions are more accurately characterized as points in a stream of decisions.
- Decisions made in the past are ghosts which continually haunt current choices. It is common knowledge that the largest determining factor of the size of any given year's budget is last year's budget.

Cultural Differences in Decision Making

1. The rational model makes no acknowledgment of cultural differences. We need to recognize that the cultural background of the decision maker can have significant influence on:
    a. selection of problems
    b. depth of analysis
    c. the importance placed on logic and rationality
    d. whether organizational decisions should be made autocratically by an individual manager or collectively in groups
2. Cultures, for example, differ in terms of time orientation, the importance of rationality, their belief in the ability of people to solve problems, and preference for collective decision making.

Ethics in Decision Making

1. Utilitarian criterion—decisions are made solely on the basis of their outcomes or consequences. The goal of utilitarianism is to provide the greatest good for the greatest number. This view tends to dominate business decision making.
2. Focus on rights—calls on individuals to make decisions consistent with fundamental liberties and privileges as set forth in documents such as the Bill of Rights.
3. An emphasis on rights means respecting and protecting the basic rights of individuals, such as the right to privacy, to free speech, and to due process.
4. Focus on justice—requires individuals to impose and enforce rules fairly and impartially. There is an equitable distribution of benefits and costs.
    Advantages and liabilities of these three criteria:
    - Utilitarianism
        a. Promotes efficiency and productivity
        b. It can result in ignoring the rights of some individuals, particularly those with minority representation in the organization.
    - Rights
        a. Protects individuals from injury and is consistent with freedom and privacy
        b. It can create an overly legalistic work environment that hinders productivity and efficiency.
    - Justice
        a. Protects the interests of the underrepresented and less powerful
        b. It can encourage a sense of entitlement that reduces risk taking, innovation, and productivity.
        c. Decision makers tend to feel safe and comfortable when they use utilitarianism. Many critics of business decision makers argue that this perspective needs to change.
5. Increased concern in society about individual rights and social justice suggests the need for managers to develop ethical standards based solely on non-utilitarian criteria.

Two Important Decision-Making Phases

A. Problem Identification

Problems that are visible tend to have a higher probability of being selected than ones that are important. Why?

- Visible problems are more likely to catch a decision maker's attention.
- Second, remember we are concerned with decision making in organizations. If a decision maker faces a conflict between selecting a problem that is important to the organization and one that is important to the decision maker, self-interest tends to win out.

The decision maker's self interest also plays a part. When faced with selecting a problem important to the decision maker or important to the organization, self interest tends to win out.

B. Alternative Development

1. Since decision makers seek a satisfying solution, there is a minimal use of creativity in the search for alternatives. Efforts tend to be confined to the neighborhood of the current alternative.
2. Evidence indicates that decision-making is incremental rather than comprehensive. Decision makers make successive limited comparisons. The picture that emerges is one of a decision maker who takes small steps toward his or her objective.

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Motivation is the reason why people do things. It's what drives them to act, work hard, and achieve goals.
It can come from wanting rewards, feeling satisfied, or having a personal desire to succeed.

Lesson 13

MOTIVATION-THE BASIC CONCEPT

Overview

Motivation is what makes people want to do things. It's the drive that pushes them to work hard and reach their goals.

- Motivating and rewarding employees is one of the most important and one of the most challenging activities that managers perform. Successful managers, such as Angel Lorenzo, in our chapter-opening Manager's Dilemma, understand that what motivates them personally may have little or no effect on others. Just because *you're* motivated by being part of a cohesive work team, don't assume everyone is. Or just because you're motivated by challenging work doesn't mean that everyone is. Effective managers who want their employees to put forth maximum effort recognize that they need to know how and why employees are motivated and to tailor their motivational practices to satisfy the needs and wants of those employees.
- To understand what motivation is, let's begin by pointing out what motivation is not. Why? Because many people incorrectly view motivation as a personal trait—that is, a trait that some people have and others don't. Although in reality a manager might describe a certain employee as unmotivated, our knowledge of motivation tells us that we can't label people that way. What we *do* know is that motivation is the result of the interaction between the person and the situation. Certainly, individuals differ in motivational drive, but overall motivation varies from situation to situation. As we analyze the concept of motivation, keep in mind that the level of motivation varies both between individuals and within individuals at different times.
- Motivation is the willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need. Although, in general, motivation refers to effort exerted toward any goal, we're referring to organizational goals because our focus is on work-related behavior. Three key elements can be seen in this definition: effort, organizational goals, and needs.

Effort:
How much energy and hard work a person puts into their tasks.

- The *effort* element is a measure of intensity or drive. A motivated person tries hard. But high levels of effort are unlikely to lead to favorable job performance unless the effort is channeled in a direction that benefits the organization. Therefore, we must consider the quality of the effort as well as its intensity. Effort that is directed toward, and consistent with, organizational goals is the kind of effort that we should be seeking. Finally, we will treat motivation as a need-satisfying process.

Organizational Goals:
The aims or objectives that the organization wants to achieve, which help guide and focus a person's efforts.

- A need refers to some internal state that makes certain outcomes appear attractive. An unsatisfied need creates tension that stimulates drives within an individual. These drives lead to a search behavior to find particular goals that, if attained, will satisfy the need and reduce the tension.

Need:
The internal desires or requirements that drive a person to act, such as the need for recognition, achievement, or job satisfaction.

We can say that motivated employees are in a state of tension. To relieve this tension, they exert effort. The greater the tension, the higher the effort level. If this effort leads to need satisfaction, it reduces tension. Because we're interested in work behavior, this tension-reduction effort must also be directed toward organizational goals. Therefore, inherent in our definition of motivation is the requirement that the individual's needs be compatible with the organization's goals. When the two don't match, individuals may exert high levels of effort that run counter to the interests of the organization. Incidentally, this isn't all that unusual. Some employees regularly spend a lot of time talking with friends at work to satisfy their social need. There's a high level of effort but little being done in the way of work.

Motivating high levels of employee performance is an important organizational consideration. Both academic researchers and practicing managers have been trying to understand and explain employee motivation for years. In this chapter, we're going to first look at the early motivation theories and then at the contemporary theories. We'll finish by looking at some current issues in motivation and then providing some practical suggestions managers can use in motivating employees

Work motivation explains why workers behave as they do. Four prominent theories about work motivation—need theory, expectancy theory, equity theory, and procedural justice theory—provide complementary approaches to understanding and managing motivation in organizations. Each theory answers different questions about the motivational process.

1. Work motivation refers to the psychological forces within a person that determine the direction of the person's behavior, level of effort, and level of performance in an organization in the face of obstacles. Motivation is distinct from performance; other factors besides motivation (e.g., ability and task difficulty) influence performance.
2. Intrinsically motivated behavior is behavior performed for its own sake. Extrinsically motivated behavior is behavior performed to acquire material or social rewards or to avoid punishment.
3. Need theory, expectancy theory, equity theory, and procedural justice theory are complementary approaches to understanding motivation. Each answers different questions about the nature and management of motivation in organizations.
4. Need theories of motivation identify the needs that workers are motivated to satisfy on the job. Two major need theories of motivation are Maslow's hierarchy of needs and Alderfer's existence-relatedness-growth theory.

Expectancy Theory:
This theory states that people are motivated when they believe their effort will lead to good performance and, in turn, lead to desired rewards.

5. Expectancy theory focuses on how workers decide what behaviors to engage in on the job and how much effort to exert. The three concepts in expectancy theory are valence (how desirable an outcome is to a worker), instrumentality (a worker's perception about the extent to which a certain level of performance will lead to the attainment of a particular outcome), and expectancy (a worker's perception about the extent to which effort will result in a certain level of performance). Valence, instrumentality, and expectancy combine to determine motivation.

Equity Theory:
This theory proposes that people are motivated when they perceive fairness in the workplace. They compare their own work inputs and outcomes to those of other.

6. Equity theory proposes that workers compare their own outcome/input ratio (the ratio of the outcomes they receive from their jobs and from the organization to the inputs they contribute) to the outcome/input ratio of a referent. Unequal ratios create tension inside the worker, and the worker is motivated to restore equity. When the ratios are equal, workers are motivated to maintain their current ratio of outcomes and inputs if they want their outcomes to increase.

Procedural Justice Theory:
This theory emphasizes that people are motivated when they believe the processes and methods used to make decisions in the organization are fair.

7. Procedural justice theory is concerned with perceived fairness of the procedures used to make decisions about inputs, performance, and distribution of outcomes. How managers treat their subordinates and the extent to which they provide explanations for their decisions influence workers' perceptions of procedural justice. When procedural justice is perceived to be low, motivation suffers because workers are not sure that their inputs and performance levels will be accurately assessed or that outcomes will be distributed in a fair manner.

Motivation

"A state of mind, desire, energy or interest that translates into action"

or

"The inner drive that directs a person's behavior toward goals"

Motivation is central to understanding and managing organizational behavior because it influences workers' behaviors, workers' level of effort, and their persistence in the face of obstacles. This chapter discusses the differences between motivation and performance and between intrinsic and extrinsic motivation. Several theories of work motivation are described: need theory, expectancy theory, equity theory, and procedural justice theory.

Defining Motivation

"The processes that account for an individual's intensity, direction and persistence of effort toward attaining a goal"

Key Elements

Intensity: how hard a person tries. Intensity is concerned with how hard a person tries. This is the element most of us focus on when we talk about motivation.
Direction: toward beneficial goal. Direction is the orientation that benefits the organization.

Persistence: how long a person tries. Persistence is a measure of how long a person can maintain his/her effort. Motivated individuals stay with a task long enough to achieve their goal.

Motivational Theories

IMPORTANT

Maslow's Hierarchy of Needs

Need Theory:
This theory suggests that people are motivated by their needs, such as the need for achievement, power, or belonging. When these needs are met, motivation increases.

Need theory is actually a collection of theories that focus on workers' needs as the sources of motivation. Need theories propose that workers seek to satisfy many of their needs at work, so their behavior at work is oriented toward need satisfaction. A **need** is a requirement for survival and well-being. Previous chapters have described two theories, Hertzberg's motivator-hygiene theory and McClelland's descriptions of the needs for achievement, affiliation, and power. Two other content theories will be discussed, the theories of Abraham Maslow and Clay Alderfer.

Maslow suggested that all people seek to satisfy the same five needs—physiological needs, safety needs, need to belong, esteem needs, and self-actualization needs. Maslow proposed that the needs be arranged in a hierarchy of importance, with the most basic or compelling needs—physiological and safety needs—at the bottom. Basic needs must be satisfied before an individual seeks to satisfy higher needs in the hierarchy. Maslow argued that once a need is satisfied, it is no longer a source of motivation.
Maslow's theory helps managers understand that workers' needs differ and that motivation for one worker is not motivation for another. Managers must identify a worker's needs and ensure satisfaction of these needs if desired behaviors are performed.

Organizations can help workers who are at different levels in Maslow's hierarchy satisfy personal needs while also achieving organizational goals and a competitive advantage. Realizing that researchers wanted to feel proud of their work, the Unocal Corporation instituted Creativity Week to recognize scientists whose projects benefit the organization. While meeting the esteem needs of its scientists, Unocal also reinforces its goal of innovation.

1. Physiological needs: food, drink, shelter, sexual satisfaction, and other physical requirements.

2. Safety needs: security and protection from physical and emotional harm, as well as assurance that physical needs will continue to be met.

3. Social needs: affection, belongingness, acceptance, and friendship.

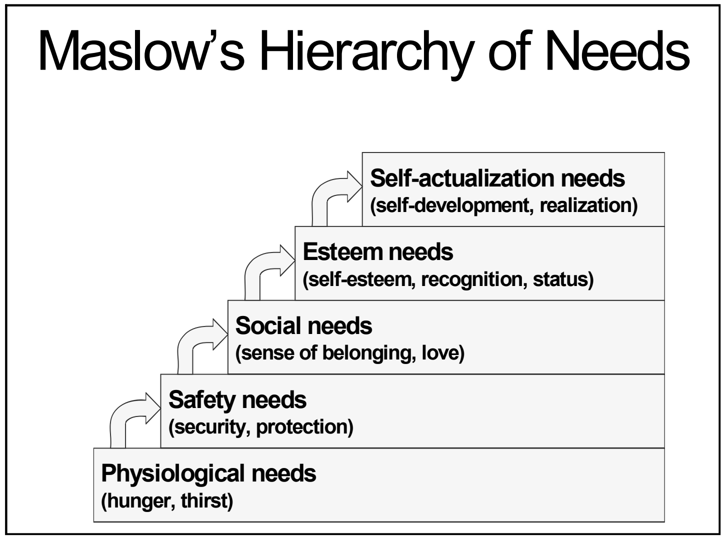
4. Esteem needs: internal esteem factors such as self-respect, autonomy, and achievement and external esteem factors such as status, recognition, and attention.

5. Self-actualization needs: growth, achieving one's potential, and self-fulfillment; the drive to become what one is capable of becoming.

In terms of motivation, Maslow argued that each level in the hierarchy must be substantially satisfied before the next is activated and that once a need is substantially satisfied it no longer motivates behavior. In other words, as each need is substantially satisfied, the next need becomes dominant. In terms of the individual moves up the needs hierarchy. From the standpoint of motivation, Maslow's theory proposed that, although no need is ever fully satisfied, a substantially satisfied need will no longer motivate an individual. If you want to motivate someone, according to Maslow, you need to understand what level that person is on in the hierarchy and focus on satisfying needs at or above that level. Managers who accepted Maslow's hierarchy attempted to change their organizations and management practices so that employees' needs could be satisfied.

In addition, Maslow separated the five needs into higher and lower levels. Physiological and safety needs were described as *lower-order needs*; social, esteem, and self-actualization were described as *higher-order needs*. The difference between the two levels was made on the premise that higher-order needs are satisfied internally while lower-order needs are predominantly satisfied externally. In fact, the natural conclusion from Maslow's classification is that, in times of economic prosperity, almost all permanently employed workers have their lower-order needs substantially met.

Maslow's need theory received wide recognition, especially among practicing managers during the 1960s and 1970s. This recognition can be attributed to the theory's intuitive logic and ease of understanding. Unfortunately, however, research hasn't generally validated the theory. Maslow provided no empirical support for his theory, and several studies that sought to validate it could not.



Basic assumptions

- Once a need is satisfied, its role declines
- Needs are complex, with multiple needs acting simultaneously
- Lower level needs must be satiated before higher level needs are activated
- Individual and environment influence employee behavior
- Individuals decide behavior, although environment can place constraints
- Individuals have different needs/goals
- Decide among alternatives based on perception of behavior leading to desired outcome
- More ways exist to satisfy higher level needs

Alderfer's ERG Theory

Clayton Alderfer's existence-relatedness-growth (ERG) theory is also a need theory of work motivation. Alderfer reduces the number of needs from five to three and states that needs at more than one level can be motivators at any time. Like Maslow, Alderfer proposes a hierarchy of needs. Yet, he believes that when an individual has difficulty satisfying a higher-level need, motivation to satisfy lower-level needs increase
A three-level hierarchical need theory of motivation that allows for movement up and down the hierarchy.

•Existence Needs
•Relatedness Needs
•Growth Needs

McGregor's Theory X and Theory Y

Douglas McGregor is best known for his formulation of two sets of assumptions about human nature: Theory X and Theory Y. Very simply, Theory X presents an essentially negative view of people. It assumes that workers have little ambition, dislike work, want to avoid responsibility, and need to be closely controlled to work effectively. Theory Y offers a positive view. It assumes that workers can exercise self-direction, accept and actually seek out responsibility, and consider work to be a natural activity. McGregor believed that Theory Y assumptions better captured the true nature of workers and should guide management practice.

What did McGregor's analysis imply about motivation? The answer is best expressed in the framework presented by Maslow. Theory X assumed that lower-order needs dominated individuals, and Theory Y assumed that higher-order needs dominated. McGregor himself held to the belief that the assumptions of Theory Y were more valid than those of Theory X. Therefore, he proposed that participation in decision making, responsible and challenging jobs, and good group relations would maximize employee motivation.

Unfortunately, there is no evidence to confirm that either set of assumptions is valid or that accepting Theory Y assumptions and altering your actions accordingly will make employees more motivated.

Under Theory X, the four assumptions held by managers are:

- Employees inherently dislike work and, whenever possible, will attempt to avoid it.
- Since employees dislike work, they must be coerced, controlled, or threatened with punishment to achieve goals.
- Employee will avoid responsibilities and seek formal direction whenever possible.

Under Theory Y, the assumptions are:

- Employees can view work as being as natural as rest or play.
- People will exercise self-direction and self-control if they are committed to the objectives.
- The average person can learn to accept, even seek, responsibility.
- The ability to make innovative decisions is widely spread throughout the population and is not necessarily the sole responsibility of those in management positions.

Theory Z

> ***"A management philosophy that stresses employee participation in all aspects of company decision-making"***

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Lesson 14

MOTIVATIONAL THEORIES

Overview

- The theories and approaches we're going to look at in this section represent current state-of-the-art explanations of employee motivation. Although these may not be as well known as some of the early theories of motivation, they do tend to have substantive research support. What are these contemporary motivation approaches? We're going to look at six: three-need theory, goal-setting theory, reinforcement theory, designing motivating jobs, equity theory, and expectancy theory.
- David McClelland and others have proposed the three-need theory, which says there are three needs that are major motives in work. These three needs include the need for achievement, which is the drive to excel, to achieve in relation to a set of standards, and to strive to succeed; the need for power which is the need to make others behave in a way that they would not have behaved otherwise; and the need for affiliation, which is the desire for friendly and close interpersonal relationships. Of these three needs, the need for achievement has been researched most extensively. What has this research showed us?

David McClelland's Theory of Needs

People with a high need for achievement are striving for personal achievement rather than for the trappings and rewards of success. They have a desire to do something better or more efficiently than it's been done before. They prefer jobs that offer personal responsibility for finding solutions to problems, in which they can receive rapid and unambiguous feedback on their performance in order to tell whether they're improving, and in which they can set moderately challenging goals. High achievers aren't gamblers; they dislike succeeding by chance. They are motivated by and prefer the challenge of working at a problem and accepting the personal responsibility for success or failure. An important point is that high achievers avoid what they perceive to be very easy or very difficult tasks. Also, a high need to achieve doesn't necessarily lead to being a good manager, especially in large organizations. A high achievement salesperson at Merck does not necessarily make a good sales manager and good managers in large organizations such as, the other two needs in the three-need theory haven't been researched as extensively as the need for achievement. However, we do know that the needs for affiliation and power are closely related to managerial success. The best managers tend to be high in t **Need theory** is actually a collection of theories that focus on workers' needs as the sources of motivation. Need theories propose that workers seek to satisfy many of their needs at work, so their behavior at work is oriented toward need satisfaction? A **need** is a requirement for survival and well-being. Previous chapters have described two theories, Hertzberg's motivator-hygiene theory and McClelland's descriptions of the needs for achievement, affiliation, and power (. Two other content theories will be discussed, the theories of Abraham Maslow and Clay Alderfer.

Need for achievement

- The desire to do something better or more efficiently, to solve problems, or to master complex tasks.
- High need for achievement people:
    - •Prefer individual responsibilities.
    - •Prefer challenging goals.
    - •Prefer performance feedback.

Need for affiliation

- The desire to establish and maintain friendly and warm relations with others.
- High need for affiliation people:
    - •Are drawn to interpersonal relationships.
    - •Seek opportunities for communication.

Need for power
- The desire to control others, to influence their behavior, or to be responsible for others.
- High need for power people:
    - •Seek influence over others.
    - •Like attention.
    - •Like recognition.

Goal-Setting Theory Goal setting theory is a concept in psychology that suggests that setting specific and challenging goals can motivate people to perform better. It emphasizes the importance of clear objectives and feedback in driving individuals toward achieving their aims.

Before a big assignment or major class project presentation, has a teacher ever said to you "Just do your best"? What does that vague statement, "do your best," mean? Would your performance on a class project have been higher if that teacher had said that you needed to score a 93 percent to keep your A in the class? Would you have done better in high school English if your parents had said, "You should strive for 85 percent or higher on all your work in English class" rather than telling you to do your best? Research on goal-setting theory addresses these issues, and the findings, as you'll see, are impressive in terms of the effect that goal specificity, challenge, and feedback have on performance.

There is substantial support for the proposition that specific goals increase performance and that difficult goals, when accepted, result in higher performance than do easy goals. This proposition is known as goal-setting theory.

Intention to work toward a goal is a major source of job motivation. Studies on goal setting have demonstrated the superiority of specific and challenging goals as motivating forces. Specific, hard goals produce a higher level of output than does the generalized goal of "do your best." The specificity of the goal itself acts as an internal stimulus. For instance, when a FedEx delivery truck driver commits to making 10 weekly round-trip hauls between Toronto and Buffalo, New York, this intention gives him a specific goal to try to attain. We can say that, all things being equal, the delivery person with a specific goal will outperform someone else operating with no goals or the generalized goal of "do your best. "You may have noticed what appears to be a contradiction between the research findings on achievement motivation and goal setting. Is it a contradiction that achievement motivation is stimulated by moderately challenging goals, whereas goal-setting theory says that motivation is maximized by difficult goals? No, and our explanation is twofold. First, goal-setting theory deals with people in general. The conclusions on achievement motivation are based on people who have a high achievement Given that no more than 10 to 20 percent of North Americans are naturally high achievers and that proportion is undoubtedly lower in underdeveloped countries, difficult goals are still recommended for the majority of employees. Second, the conclusions of goal-setting theory apply to those who accept and are committed to the goals. Difficult goals will lead to higher performance only if they are accepted.

Will employees try harder if they have the opportunity to participate in the setting of goals? Although we can't say that having employees participate in the goal-setting process is *always* desirable, participation is probably preferable to assigning goals when you expect resistance to accepting difficult challenges. In some cases, participatively set goals elicited superior performance; in other cases, individuals performed best when their manager assigned goals. But a major advantage of participation may be in increasing acceptance of the goal itself as a desirable one toward which to work.

Finally, people will do better when they get feedback on how well they're progressing toward their goals because feedback helps identify discrepancies between what they have done and what they want to do; that is, feedback acts to guide behavior. But all feedback isn't equally effective. Self-generated feedback—where the employee is able to monitor his or her own progress—has been shown to be a more powerful motivator than externally generated feedback.

Are there any contingencies in goal-setting theory, or can we just assume that difficult and specific goals always lead to higher performance? In addition to feedback, three other factors have been found to influence the goals-performance relationship. These are goal commitment, adequate self-efficacy, and national culture. Goal-setting theory presupposes that an individual is committed to the goal—that is, an individual is determined not to lower or abandon the goal. Commitment is most likely to occur when goals are made public, when the individual has an internal locus of control, and when the goals are self-set rather than assigned. Self-efficacy refers to an individual's belief that he or she is capable of performing a task. The higher your self-efficacy, the more confidence you have in your ability to succeed in a task. So, in difficult situations, we find that people with low self-efficacy are likely to reduce their effort or give up altogether, whereas those with high self-efficacy will try harder to master the challenge. In addition, individuals with high self-efficacy seem to respond to negative feedback with increased effort and motivation, whereas those with low self-efficacy are likely to reduce their effort when given negative feedback. Finally, goal-setting theory is culture bound. It is well adapted to countries such as the United States and Canada because its main ideas align reasonably well with North American cultures. It assumes that subordinates will be reasonably independent (not too high a score on power distance), that managers and employees will seek challenging goals (low in uncertainty avoidance), and that performance is considered important by both managers and subordinates (high in quantity of life). So don't expect goal setting to necessarily lead to higher employee performance in countries such as Portugal or Chile, where the country's cultural characteristics aren't like this.

Equity Theory

J. Stacy Adams developed equity theory, based on the premise that workers pay attention to the relationship between the **inputs** they contribute, such as skills, training, education, experience, effort, and time, and the **outcomes** they receive, such as pay, benefits, status, job satisfaction, job security, and promotions. Motivation is based on the perception of one's own outcome/input ratio compared to that of a similar individual or group, called a **referent**. Equity theory proposes that motivation is based on the worker's *perception* of the work situation.

Equity occurs when an individual's outcome/input ratio equals that of the referent. Because the comparison of these ratios (rather than absolute levels) determines whether equity is perceived, equity can exist if the referent receives more than the person making the comparison. When workers perceive ratios to be equal, they are motivated to maintain the status quo or increase inputs to receive greater outcomes.

Inequity***:*** Unequal ratios result in tension and a desire to restore equity. *Overpayment inequity* occurs when an individual perceives his or her outcome/input ratio is greater than the referent's. *Underpayment inequity* occurs when the individual perceives his or her ratio is less than the referent's. In either case, the individual is motivated to restore equity, according to equity theory.

Ways to Restore Equity

Once an individual experiences inequity, there are several ways to restore equity:

1. *Change inputs or outcomes*. Underpaid workers may try to reduce their inputs—by arriving late or by putting in less effort—or to increase outcomes. Overpaid workers may try to increase inputs or decrease outcomes.
2. *Change referent's inputs or outcomes.* Underpaid workers may try to reduce their referent's outcomes— by telling the boss a coworker doesn't deserve a bonus—or to get referents to increase inputs. Overpaid workers could try to increase or decrease the outcomes referents receive.
3. *Change perceptions of the situation*. Equity can be restored through changes in perception of the inputs and outcomes of the worker and the referent. A worker might realize that the referent had inputs that were overlooked (i.e., additional education) and/or that the worker received additional outcomes (i.e., a sense of accomplishment).
4. *Change the referent*. Usually referents chosen by workers are similar in characteristics such as age, background, experience, and education levels. Sometimes the worker realizes that the referent was inappropriate (e.g., older, more experienced, related to the boss, or superhuman). A change in the referent can restore equity.

5. *Leave the job or organization.* Leaving the organization restores equity. The worker can seek a more equitable work situation.

Expectancy Theory

Expectancy theory, developed by Victor Vroom, focuses on how workers make choices among alternative behaviors and levels of effort. With its emphasis on choices, expectancy theory focuses on workers' perceptions and thoughts or cognitive processes. By describing how workers make choices, expectancy theory provides managers with valuable insights on how to get workers to perform desired behaviors and how to encourage workers to exert high levels of effort.

Expectancy theory makes two assumptions: (1) workers are motivated to receive positive outcomes and avoid negative outcomes and (2) workers are rational, careful processors of information. Expectancy theory identifies three factors that determine motivation: valence, instrumentality, and expectancy. The most comprehensive and widely accepted explanation of employee motivation to date is Victor Vroom's expectancy theory. Although the theory has its critics, most research evidence supports it.

Expectancy theory states that an individual tends to act in a certain way based on the expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual. It includes three variables or relationships

This explanation of motivation might sound complex, but it really isn't that difficult to visualize. It can be summed up in the questions: How hard do I have to work to achieve a certain level of performance, and can I actually achieve that level? What reward will performing at that level get me? How attractive is the reward to me, and does it help me achieve my goals? Whether you are motivated to put forth effort (that is, to work) at any given time depends on your particular goals and your perception of whether a certain level of performance is necessary to attain those goals. Let's look at the theory's features and go through an example of how it works.

First, what perceived outcomes does the job offer the employee? Outcomes (rewards) may be positive—things such as pay, security, companionship, trust, fringe benefits, a chance to use talents or skills, or congenial relationships. Or the employee may view the outcomes as negative—fatigue, boredom, frustration, anxiety, harsh supervision, or threat of dismissal. Keep in mind that reality isn't relevant here. The critical issue is what the individual *perceives* the outcomes to be, regardless of whether the perceptions are accurate.

Second, how attractive are the outcomes or rewards to employees? Are they valued positively, negatively, or neutrally? This obviously is a personal and internal issue that depends on the individual's needs, attitudes, and personality. A person who finds a particular reward attractive—that is, values it positively—would rather get it than not get it. Others may find it negative and, therefore, prefer not getting it. Still others may be neutral about the outcome.

Third, what kind of behavior must the employee exhibit in order to achieve these rewards? The rewards aren't likely to have any effect on an individual employee's performance unless he or she knows, clearly and unambiguously, what must be done to achieve them. For example, what is "doing well" in terms of performance appraisal? What criteria will be used to judge the employee's performance?

Finally, how does the employee view his or her chances of doing what is asked? After an employee has considered his or her own skills and ability to control those variables that lead to success, what's the likelihood that he or she can successfully perform at the necessary level?

Frederick Hertzberg's motivation-hygiene theory proposes that intrinsic factors are related to job satisfaction and motivation, whereas extrinsic factors are associated with job dissatisfaction. Believing that an individual's relation to his or her work is a basic one and that his or her attitude toward work determines success or failure, Herzberg investigated the question "What do people want from their jobs?" He asked people for detailed descriptions of situations in which they felt exceptionally good or bad about their jobs.

Herzberg concluded from his analysis of the findings that the replies people gave when they felt good about their jobs were significantly different from the replies they gave when they felt badly. Certain characteristics were consistently related to job satisfaction (factors on the left side of the exhibit) and others to job dissatisfaction (factors on the right side). Those factors associated with job satisfaction were intrinsic and included things such as achievement, recognition, and responsibility. When people felt good about their work, they tended to attribute these characteristics to themselves. On the other hand, when they were dissatisfied, they tended to cite extrinsic factors such as company policy and administration, supervision, interpersonal relationships, and working conditions.

In addition, Herzberg believed that the data suggested that the opposite of satisfaction was not dissatisfaction, as traditionally had been believed. Removing dissatisfying characteristics from a job would not necessarily make that job more satisfying (or motivating). As shown in Exhibit 16.4, Herzberg proposed that his findings indicated the existence of a dual continuum: The opposite of "satisfaction" is "no satisfaction," and the opposite of "dissatisfaction" is "no dissatisfaction."

According to Herzberg, the factors that led to job satisfaction were separate and distinct from those that led to job dissatisfaction. Therefore, managers who sought to eliminate factors that created job dissatisfaction could bring about workplace harmony but not necessarily motivation. Because they don't motivate employees, the extrinsic factors that create job dissatisfaction were called hygiene factors. When these factors are adequate, people will not be dissatisfied, but they will not be satisfied (or motivated) either. To motivate people on their jobs, Herzberg suggested emphasizing motivators, the intrinsic factors that increase job satisfaction.

Hertzberg's theory enjoyed wide popularity from the mid-1960s to the early 1980s, but criticisms were raised about his procedures and methodology. Although today we say the theory was too simplistic, it has had a strong influence on how we currently design jobs.

Reinforcement Theory

Reinforcement theory says that people's behavior is shaped by what happens afterward.
If something good happens, they're likely to do it again. If something bad happens, they're less likely to do it again.

In contrast to goal-setting theory, reinforcement theory says that behavior is a function of its consequences. Goal-setting theory proposes that an individual's purpose directs his or her behavior. Reinforcement theory argues that behavior is externally caused. What controls behavior are reinforces, consequences that, when given immediately following a behavior, increase the probability that the behavior will be repeated.

The key to reinforcement theory is that it ignores factors such as goals, expectations, and needs. Instead, it focuses solely on what happens to a person when he or she takes some action. This idea helps explain why publishers such as Pearson Education provide incentive clauses in their authors' contracts.

Following reinforcement theory, managers can influence employees' behavior by reinforcing actions they deem desirable. However, because the emphasis is on positive reinforcement, not punishment, managers should ignore, not punish, unfavorable behavior. Even though punishment eliminates undesired behavior faster than non-reinforcement does, its effect is often only temporary and may later have unpleasant side effects including dysfunctional behavior such as workplace conflicts, absenteeism, and turnover.

Research has shown that reinforcement is undoubtedly an important influence on work behavior. But reinforcement isn't the only explanation for differences in employee motivation. Goals also affect motivation, as do levels of achievement needs, job design, inequities in rewards, and expectations.

Negative reinforcement

- Also known as avoidance.
- The withdrawal of negative consequences to increase the likelihood of repeating the desired behavior in similar settings.

Punishment

- The administration of negative consequences or the withdrawal of positive consequences to reduce the likelihood of repeating the behavior in similar settings.

Lesson 15

REWARD SYSTEMS

Overview and Learning Objectives

- Understand the nature of employee motivation.
- Recognize the importance of creating a workplace that inspires and supports employee motivation.
- Identify aspects of today's workplace that can affect employee motivation.
- Understand the nature of employee motivation.
- Recognize the importance of creating a workplace that inspires and supports employee motivation.
- Identify aspects of today's workplace that can affect employee motivation.
- Develop a vision to inspire your department or team.
- Set strategic imperatives to help your team live out its vision.
- Measure employee progress in meeting strategic imperatives.
- Inspire ongoing employee motivation for Continuous Improvement.
- Offer rewards that employees value.
- Distribute rewards fairly.
- Use monetary and recognition rewards fairly.
- Keep rewards from backfiring.
- Recognize positive reinforcement, negative reinforcement, and punishment.
- Rely on positive rather than negative reinforcement.
- Create a friendly company culture.
- Communicate regularly and appropriately with employees.
- Actively listen to employee concerns.
- Accept constructive feedback from employees.
- Recognize factors that can lead to poor employee performance.
- Understand what a manager can do to help unmotivated employees.
- Try new techniques to inspire motivation.

Work motivation explains why workers behave as they do. Four prominent theories about work motivation—need theory, expectancy theory, equity theory, and procedural justice theory—provide complementary approaches to understanding and managing motivation in organizations. Each theory answers different questions about the motivational process.

1. Work motivation refers to the psychological forces within a person that determine the direction of the person's behavior, level of effort, and level of performance in an organization in the face of obstacles. Motivation is distinct from performance; other factors besides motivation (e.g., ability and task difficulty) influence performance.
2. Intrinsically motivated behavior is behavior performed for its own sake. Extrinsically motivated behavior is behavior performed to acquire material or social rewards or to avoid punishment.
3. Need theory, expectancy theory, equity theory, and procedural justice theory are complementary approaches to understanding motivation. Each answers different questions about the nature and management of motivation in organizations.
4. Need theories of motivation identify the needs that workers are motivated to satisfy on the job. Two major need theories of motivation are Maslow's hierarchy of needs and Alderfer's existence-relatedness-growth theory.
5. Expectancy theory focuses on how workers decide what behaviors to engage in on the job and how much effort to exert. The three concepts in expectancy theory are valence (how desirable an outcome is to a worker), instrumentality (a worker's perception about the extent to which a certain level of performance will lead to the attainment of a particular outcome), and expectancy (a worker's perception about the extent to which effort will result in a certain level of performance). Valence, instrumentality, and expectancy combine to determine motivation.

6. Equity theory proposes that workers compare their own outcome/input ratio (the ratio of the outcomes they receive from their jobs and from the organization to the inputs they contribute) to the outcome/input ratio of a referent. Unequal ratios create tension inside the worker, and the worker is motivated to restore equity. When the ratios are equal, workers are motivated to maintain their current ratio of outcomes and inputs if they want their outcomes to increase.
7. Procedural justice theory is concerned with perceived fairness of the procedures used to make decisions about inputs, performance, and distribution of outcomes. How managers treat their subordinates and the extent to which they provide explanations for their decisions influence workers' perceptions of procedural justice. When procedural justice is perceived to be low, motivation suffers because workers are not sure that their inputs and performance levels will be accurately assessed or that outcomes will be distributed in a fair manner.

Following are the core concept of motivation:

Need theories: We introduced four theories that focused on needs. These were Maslow's hierarchy, two-factor, ERG, and McClelland's needs theories. The strongest of these is probably the last, particularly regarding the relationship between achievement and productivity. If the other three have any value at all, that value relates to explaining and predicting job satisfaction.

Goal-setting theory: There is little dispute that clear and difficult goals lead to higher levels of employee productivity. This evidence leads us to conclude that goal-setting theory provides one of the more powerful explanations of this dependent variable. The theory, however, does not address absenteeism, turnover, or satisfaction.

Reinforcement theory: This theory has an impressive record for predicting factors like quality and quantity of work, persistence of effort, absenteeism, tardiness, and accident rates. It does not offer much insight into employee satisfaction or the decision to quit.

Equity theory: Equity theory deals with all four dependent variables. However, it is strongest when predicting absence and turnover behaviors and weakest when predicting differences in employee productivity.

Expectancy theory: Our final theory focused on performance variables. It has proved to offer a relatively powerful explanation of employee productivity, absenteeism, and turnover, but expectancy theory assumes that employees have few constraints on their decision discretion. It makes many of the same assumptions that the rational model makes about individual decision-making .This acts to restrict its applicability.
For major decisions, such as accepting or resigning from a job, expectancy theory works well because people do not rush into decisions of this nature. They are more prone to take the time to carefully consider the costs and benefits of all the alternatives. However, expectancy theory is not a very good explanation for more typical types of work behavior, especially for individuals in lower-level jobs, because such jobs come with considerable limitations imposed by work methods, supervisors, and company policies. We would conclude, therefore, that expectancy theory's power in explaining employee productivity increases where the jobs being performed are more complex and higher in the organization (where discretion is greater).

Many people incorrectly view motivation as a personal trait—that is, some have it and others do not. Motivation is the result of the interaction of the individual and the situation.

Definition:

"Motivation is the processes that account for an individual's intensity, direction and persistence of effort toward attaining a goal"

We will narrow the focus to organizational goals in order to reflect our singular interest in work-related behavior.

The three key elements of our definition are intensity, direction, and persistence:

- *Intensity* is concerned with how hard a person tries. This is the element most of us focus on when we talk about motivation.
- *Direction* is the orientation that benefits the organization.
- *Persistence* is a measure of how long a person can maintain his/her effort. Motivated individuals stay with a task long enough to achieve their goal.

Work Motivation: The psychological forces that determine the direction of a person's behavior in an organization, a person's level of effort, and a person's level of persistence.
Direction of Behavior - Which behaviors does a person choose to perform in an organization?
Level of Effort - How hard does a person work to perform a chosen behavior?
Level of Persistence - When faced with obstacles, roadblocks, and stone walls, how hard does a person keep trying to perform a chosen behavior successfully?

Why is motivation important?

•Important in getting and retaining people
•The glue that links individuals to organizational goals
•Make individuals go beyond the job and be creative

MBO (Management by Objective)

1. Management by objectives emphasizes participatively set goals that are tangible, verifiable, and measurable. It is not a new idea. It originated more than 50 years ago.
2. MBO's appeal lies in its emphasis on converting overall organizational objectives into specific objectives for organizational units and individual members. MBO operationalizes objectives by devising a process by which objectives cascade down through the organization. *(Exhibit 7-1)*
3. Four ingredients common to MBO programs are: goal specificity, participative decision-making, an explicit time period, and performance feedback.
4. Goal specificity:
   - The objectives in MBO should be concise statements of expected accomplishments. Example – To cut departmental costs by seven percent, to improve service by ensuring that all telephone orders are processed within 24 hours of receipt, or to increase quality by keeping returns to less than one percent of sales.
5. Participative decision making:
   - The objectives in MBO are not unilaterally set by the boss and then assigned to employees.
   - The manager and employee jointly choose the goals and agree on how they will be measured.
6. An explicit time period:
   - Each objective has a specific time period in which it is to be completed.
   - Typically three months, six months, or a year
7. Performance feedback
   - MBO seeks to give continuous feedback on progress toward goals so that workers can monitor and correct their own actions.

The Procedures of MBO

1 The superior meets with the subordinate to develop and agree on subordinate objectives.
2. Periodic meetings monitor the subordinate's progress in achieving the objectives.
3. An appraisal meeting evaluates objectives and diagnoses reasons for success and failure.
4. The MBO cycle is repeated.

The steps of Management by Objectives (MBO) are:

Setting Objectives: The boss and employee meet to decide on the employee's goals.

Checking Progress: They have regular meetings to see how the employee is doing with their goals.

Reviewing Performance: They have a meeting to talk about how well the employee did and why.

Repeating the Cycle: They start the process over again with new goals.

MBO in Practice

1. Reviews of studies suggest that MBO is a popular technique—it is used in business, health care, educational, government, and nonprofit organizations.
2. MBO's popularity should not be construed to mean that it always works.
   - Where it has failed, the problems rarely lie with MBO's basic components.
   - Rather, factors such as unrealistic expectations regarding results, lack of top-management commitment, and an inability or unwillingness by management to allocate rewards based on goal accomplishment are the cause.

Money as a Motivator

- According to Maslow and Alderfer, pay should prove especially motivational to people who have strong lower-level needs.
- If pay has this capacity to fulfill a variety of needs, then it should have good potential as a motivator.
- They value their services and place high value on them
- Perceive money as symbol of their achievement
- Will not remain in low paying organization
- Very self – confident
- Know their abilities and limitations

The Meaning of Money

- ***Money and employee needs*** Money affects various needs, not just basic survival needs.
  –affects several needs, not just existence needs•
- ***Money and attitudes*** Having a positive attitude towards money is important. It's not seen as evil, but rather as a symbol of success. People believe money should be managed carefully and budgeted wisely.
  –Money ethic -- not evil, represents success, should be budgeted carefully
- ***Money and self-identity*** Money influences how we see ourselves. Some evidence suggests that men tend to identify more with money than women do.
  –Influences our self-perceptions
  –Evidence that man more than women identify with money

Pay and Motivation

1. Variable Pay Programs can take the form of piece-rate plans, wage incentives, profit sharing, bonuses, and gain-sharing.
2. A portion of an employee's pay is based on some individual and/or organizational measure of performance. Unlike more traditional base-pay programs, variable pay is not an annuity—there is no guarantee.
3. The fluctuation in variable pay programs makes them attractive to management. The organization's fixed labor costs turn into a variable cost reducing expenses when performance declines. Also, tying pay to performance recognizes contribution rather than being a form of entitlement.
4. Four widely used programs are piece-rate wages, bonuses, profit sharing, and gain sharing:
   - *Piece-rate wages*
     a. Around for nearly a century
     b. Popular as a means for compensating production workers
     c. Workers are paid a fixed sum for each unit of production completed.
     d. A pure piece-rate plan—the employee gets no base salary and is paid only for production. For example: Selling peanuts in ballparks works this way.
     e. Modified piece-rate plan—employees earn a base hourly wage plus a piece-rate differential.
   - *Bonuses*
     a. These can be paid exclusively to executives or to all employees.

b. Increasingly, bonus plans are taking on a larger net within organizations to include lower-ranking employees to reward production and increased profits.

- *Profit-sharing plans*
  a. Organization wide programs that distribute compensation based on some established formula designed around a company's profitability
  b. Direct cash outlays or, particularly in the case of top managers, allocated as stock options
- *Gain-sharing*
  a. This is a formula-based group incentive plan.
  b. Improvements in group productivity—from one period to another—determine the money allocated.
  c. Gain-sharing and profit sharing are similar but not the same thing. It focuses on productivity gains rather than profits.
  d. Gain-sharing rewards specific behaviors that are less influenced by external factors. Employees in a gain-sharing plan can receive incentive awards even when the organization is n0t profitable.

IMPORTANT

Lesson 16

REVIEW OF PART-I

Organizational Behavior	Interdisciplinary field dedicated to better understanding and managing people at work
Behavior function	Behavior is a function of both the Person and the Environment. B = f (P/E)
Organization	System of consciously coordinated activities of two or more people
E-business	Running the entire business via the Internet
Person-Job Fit	The extent to which the contributions made by the individual match the inducements offered by the organization
Ability	Mental and physical capabilities to perform various tasks
Intellectual Abilities	The capacity to do mental activities
Learning	A relatively permanent change in the behavior occurring as a result of experience
Skill	Specific capacity to manipulate objects
Intelligence	Capacity for constructive thinking, reasoning, problem solving
Self-Concept	Person's self-perception as a physical, social, spiritual being
Cognitions	A person's knowledge, opinions, or beliefs
Self-esteem	One's overall self-evaluation
Self-efficacy	Belief in one's ability to do a task
Learned helplessness	Debilitating lack of faith in one's ability to control the situation
Self-monitoring	Observing one's own behavior and adapting it to the situation
Value system	The organization of one's beliefs about preferred ways of behaving and desired end-states
Attitude	Learned predisposition toward a given object
Affective component	The feelings or emotions one has about an object or situation
Cognitive component	The beliefs or ideas one has about an object or situation.
Behavioral Component	How one intends to act or behave toward someone or something
Cognitive dissonance	Psychological discomfort experienced when attitudes and behavior are inconsistent
Job involvement	Extent to which an individual is immersed in his or her present job

Job satisfaction	An affective or emotional response to one's job
Value attainment	The extent to which a job allows fulfillment of one's work values
Organizational Citizenship Behaviors (OCBs)	Employee behaviors that exceed work role requirements
Personality	Stable physical and mental characteristics responsible for a person's identity
Proactive personality	Action-oriented person who shows initiative and perseveres to change things
Internal locus of control	Attributing outcomes to one's own actions
External locus of control	Attributing outcomes to circumstances beyond one's control
Emotions	Complex human reactions to personal achievements and setbacks that may be felt and displayed
Emotional Intelligence	Ability to manage oneself and interact with others in mature and constructive ways
Perception	Process of interpreting one's environment
Social Perception	The process through which individuals attempt to combine, integrate, and interpret information about others
Attribution	The Process through which individuals attempt to determine the causes of others behavior
Fundamental Attribution Bias	Ignoring environmental factors that affect behavior in attributing others' actions
Internal factors	Personal characteristics that cause behavior
External factors	Environmental characteristics that cause behavior
Stereotype	Beliefs about the characteristics of a group
Self-serving bias	Taking more personal responsibility for success than failure
Self-fulfilling Prophecy	Someone's high expectations for another person result in high performance
Impression Management	A process by which people attempt to manage or control the perceptions other form of them
Motivation	Psychological processes that arouse and direct goal-directed behavior
Content Theories of	

Motivation	Identify internal factors influencing motivation
Process Theories of Motivation	Identify the process by which internal factors and cognitions influence motivation
Needs	Physiological or psychological deficiencies that arouse behavior
Need hierarchy Theory	Five basic needs--physiological, safety, love, esteem, and self-actualization--influence behavior
ERG Theory	Three basic needs--existence, relatedness, and growth--influence behavior
Need for achievement	Desire to accomplish something difficult
Need for affiliation	Desire to spend time in social relationships and activities
Need for power	Desire to influence, coach, teach, or encourage others to achieve
Motivators	Job characteristics associated with job satisfaction
Hygiene factors	Job characteristics associated with job dissatisfaction
Equity theory	Holds that motivation is a function of fairness in social exchanges
Negative inequity	Comparison in which another person receives greater outcomes for similar inputs
Positive inequity	Comparison in which another person receives lesser outcomes for similar inputs
Equity sensitivity	An individual's tolerance for negative and positive equity
Expectancy theory	Holds that people are motivated to behave in ways that produce valued outcomes
Expectancy	Belief that effort leads to a specific level of performance.
Intrinsic motivation	Motivation caused by positive internal feelings

Lesson 17

FOUNDATIONS OF GROUP BEHAVIOR

Overview

Organizations are not just collections of individuals working alone; members are usually clustered into groups or teams. Groups can accomplish things that are difficult for individuals working alone. The use of groups poses special challenges for management. Thus, this focuses on the nature and functioning of work groups and teams, such as how work groups develop and how group membership affects individual behavior.

Two basic attributes define a group: (1) group members interact with one another; and (2) group members perceive that they can accomplish certain goals in a group. A **group** is a set of two or more people who interact to achieve certain goals or meet certain needs. Although members share some goals, they differ on others. A **group goal** is one that all or most group members agree on as a common goal.

Any predictions about a group's performance must begin by recognizing that work groups are part of a larger organization and those factors such as the organization's strategy, authority structure, selection procedures, and reward system can provide a favorable or unfavorable climate for the group to operate within. For example, if an organization is characterized by distrust between management and workers, it is more likely that work groups in that organization will develop norms to restrict effort and output than will work groups in an organization where trust is high. Managers should not look at any group in isolation. Rather, they should begin by assessing the degree of support external conditions provide the group. It is obviously a lot easier for any work group to be productive when the overall organization of which it is a part is growing and it has both top management's support and abundant resources. Similarly, a group is more likely to be productive when its members have the requisite skills to do the group's tasks and the personality characteristics that facilitate working well together.

A number of structural factors show a relationship to performance. Among the more prominent are role perception, norms, status inequities, the size of the group, its demographic makeup, the group's task, and cohesiveness.

There is a positive relationship between role perception and an employee's performance evaluation. The degree of congruence that exists between an employee and his or her boss in the perception of the employee's job influences the degree to which that employee will be judged as an effective performer by the boss. To the extent that the employee's role perception fulfills the boss's role expectations, the employee will receive a higher performance evaluation.

Norms control group member behavior by establishing standards of right and wrong. If managers know the norms of a given group, they can help to explain the behaviors of its members. Where norms support high output, managers can expect individual performance to be markedly higher than where group norms aim to restrict output. Similarly, acceptable standards of absenteeism will be dictated by the group norms. Status inequities create frustration and can adversely influence productivity and the willingness to remain with an organization. Among those individuals who are equity sensitive, incongruence is likely to lead to reduced motivation and an increased search for ways to bring about fairness (i.e., taking another job).

The impact of size on a group's performance depends upon the type of task in which the group is engaged. Larger groups are more effective at fact-finding activities. Smaller groups are more effective at action-taking tasks. Our knowledge of social loafing suggests that if management uses larger groups, efforts should be made to provide measures of individual performance within the group.

Work groups are the basic building blocks of an organization. Work groups use roles, rules, and norms to control their members' behavior, and they use several socialization tactics to turn newcomers into effective group members. Groups contribute to organizational effectiveness when group goals are aligned with organizational goals. This makes the following points:

1. Two attributes separate work groups from random collections of individuals in an organization. Members of a work group (a) interact with each other and (b) perceive the potential for mutual goal accomplishment. Work groups vary in whether they are formal or informal. Formal work groups include command groups, task forces, teams, and self-managed work teams. Informal work groups include friendship groups and interest groups.

2. Groups develop and change over time. The five-stage model of group development proposes that groups develop in five sequential stages: forming, storming, norming, performing, and adjourning. Research, however, has not indicated that there is a universal set of stages that all groups experience in the same order.

3. Four important characteristics of groups are size, composition, function, and status. Each has the potential to affect how a group achieves its goals, performs at a high level, and is effective in helping an organization attain its goals. Social facilitation is a characteristic effect that the presence of other group members has on individual performance such that having others present enhances performance of well-learned tasks and impairs performance of difficult tasks.

4. All groups, regardless of their type or characteristics, need to control their members' behaviors to be effective and attain their goals. Roles and rules can control behavior in groups.

5. A role is a set of behaviors or tasks that a person is expected to perform by virtue of holding a position in a group or organization. Roles have rights and responsibilities attached to them. Role relationships are the ways in which group and organizational members interact with each other to perform their specific roles.

6. Written rules specify behaviors that are required of group members or are forbidden. They also specify how particular tasks should be performed.

7. Groups also control their members' behavior by developing and enforcing group norms. Group norms are shared expectations for behaviors within a group. There are three bases for conformity to group norms: compliance, identification, and internalization.

8. To accomplish goals and perform at a high level, groups need both conformity to and deviance from norms. Whether group norms result in high levels of group performance depends on the extent to which group goals are consistent with organizational goals. To facilitate goal alignment, group members should benefit or be rewarded when the group performs at a high level and contributes to the achievement of organizational goals.

9. Group members learn roles, rules, and norms through the process of socialization. Collective, formal, sequential, fixed, serial, and divestiture socialization tactics tend to lead to an institutionalized role orientation. Individual, informal, random, variable, disjunctive, and investiture socialization tactics tend to lead to an individualized role orientation.

Groups Dynamics

Group

> ***"Two or more individuals interacting with each other in order to accomplish a common goal"***

A **group** is two or more individuals, interacting and interdependent, who perceive themselves as being a group and have come together to achieve particular objectives. A group is **effective** when it satisfies three criteria:

- **Production output:** the product of the group's work must meet or exceed standards of quality and quantity
- **Member satisfaction:** membership in the group must provide people with short-term satisfaction and facilitate their long-term growth and development
- **Capacity for continued cooperation:** how the group completes a task should maintain or enhance the group's ability to work together; groups that don't cooperate cannot survive

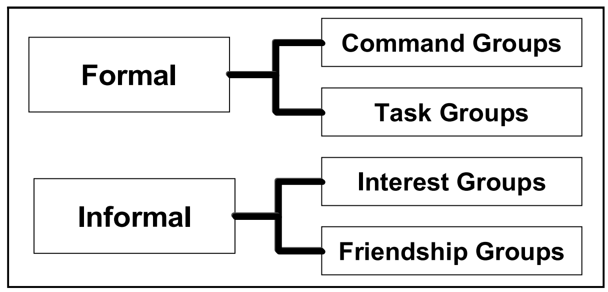
Team

"***A small number of people with complementary skills who are committed to a common mission, performance goals, and approach for which they hold themselves mutually accountable***"

One of the truly remarkable things about work groups/teams is that they can make 2+2=5. Of course, they also have the capability of making 2+2=3.

Types of Groups

Types of Work Groups



Work groups can be formal or informal. **Formal work groups** are established to achieve organizational goals. Managers form a product quality committee to handle health and safety concerns in a manufacturing organization. **Informal work groups** emerge naturally when group members perceive that a group can achieve goals or meet their needs. Coworkers eat lunch each day to satisfy needs for affiliation and friendship.
Formal work groups include command groups, task forces, teams, and self-managed work teams. A **command group** is a collection of subordinates who report to the same supervisor. Command groups are based on formal reporting relationships and often consist of departments.

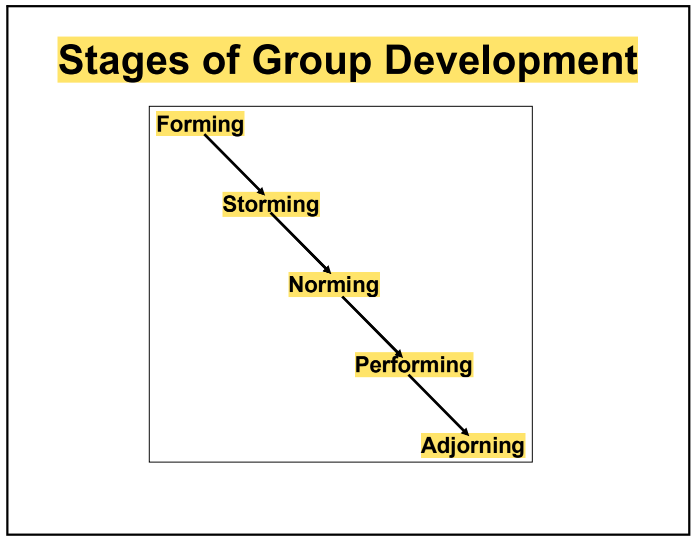
<u>**Formal Groups**</u>	<u>**Informal Groups**</u>
• Result from the demands and processes of an organization • Designated by the organization as a means to an end – **Command group** • Comprises subordinates reporting directly to a give supervisor – **Task group** • Comprises employees who work together to complete a particular task or project	• Result from natural groupings of people in work environments in response to social needs • Are important for their own sake – **Interest groups** • Comprises workers coming together to achieve a mutual objective – **Friendship groups** • Comprises workers who share something in common

Formal groups—those defined by the organization's structure, with designated work assignments establishing tasks a. The behaviors that one should engage in are stipulated by and directed toward organizational goals. b. An airline flight crew is an example of a formal group.	***Informal groups***—alliances that are neither formally structured nor organizationally determined a. Natural formations in the work environment in response to the need for social contact b. Three employees from different departments who regularly eat lunch together is an informal group.

Stages of Group Development

Forming: Group members meet and get to know each other.

Forming:



- Characterized by a great deal of uncertainty about the group's purpose, structure, and leadership.
- Members are trying to determine what types of behavior are acceptable.
- Stage is complete when members have begun to think of themselves as part of a group.
- Initial entry of members to a group.
- Members concern's include:
  a. Getting to know each other.
  b. Discovering what is considered acceptable behavior.
  c. Determining the group's real task.
  d. Defining group rules.

Storming: People start to disagree and argue about how things should be done.

Storming:

- One of intra-group conflict. Members accept the existence of the group, but there is resistance to constraints on individuality.
- Conflict over who will control the group.
- When complete, there will be a relatively clear hierarchy of leadership within the group.
- A period of high emotionality and tension among group members.
- Members concern's include:
  a. Formation of coalitions and cliques.
  b. Dealing with outside demands.
  c. Clarifying membership expectations.
  d. Dealing with obstacles to group goals.
  e. Understanding members' interpersonal styles.

Norming: The group starts to agree on rules and how to work together.

Norming:

- One in which close relationships develop and the group demonstrates cohesiveness.
- There is now a strong sense of group identity and camaraderie.

- Stage is complete when the group structure solidifies and the group has assimilated a common set of expectations of what defines correct member behavior.
- The point at which the group really begins to come together as a coordinated unit.
- Members concern's include:
- Holding the group together.
- Dealing with divergent views and criticisms.
- Dealing with a premature sense of accomplishment.

Performing: The group works well together and gets things done.

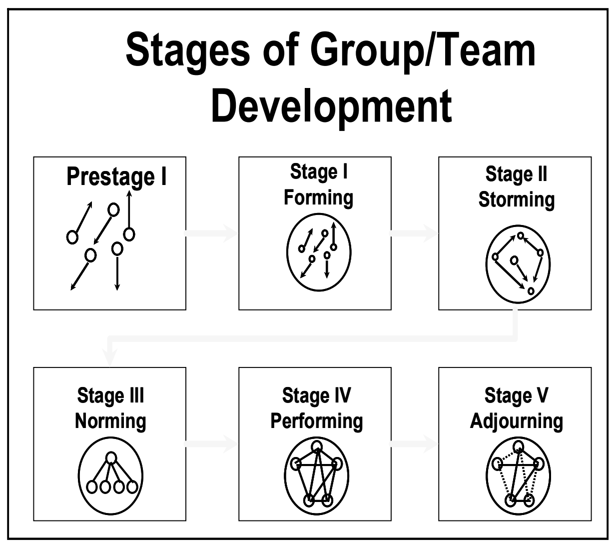
Performing:

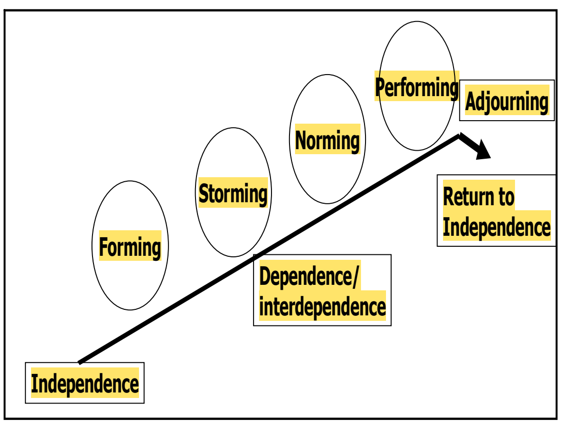
- The structure at this point is fully functional and accepted.
- Group energy has moved from getting to know and understand each other to performing.
- For permanent work groups, performing is the last stage in their development.
- Marks the emergence of a mature, organized, and well-functioning group.
- Members deal with complex tasks and handle internal disagreements in creative ways.
- Primary challenge is to continue to improve relationships and performance.

Adjourning: The group finishes its work and goes their separate ways.

Adjourning:

- For temporary committees, teams, task forces, and similar groups that have a limited task to perform, there is an adjourning stage.
- In this stage, the group prepares for its disbandment. Attention is directed toward wrapping up activities.
- Responses of group members vary in this stage. Some are upbeat, basking in the group's accomplishments. Others may be depressed over the loss of camaraderie and friendships.
- Particularly important for temporary groups.
- A well-integrated group is:
- Able to disband when its work is finished
- Willing to work together in the future





	Forming	Storming	Norming	Performing
Individual Issues	"How do I fit in?"	"What's my role here?"	"What do the others expect me to do?"	"How can I best perform my role?"
Group Issues	"Why are we here?"	"Why are we fighting over who's in charge and who does what?"	"Can we agree on roles and work as a team?"	"Can we do the job properly?"

Group Task and Group Productivity

The more complex the task, the more it is non-routine and requires a range of skills, the more important group process becomes!

- People can be more productive when working in groups than when working alone, if the obstacles to group productivity are avoided.
- **Synergy** is a biological term referring to an action of two or more substances that result in an effect that is more than the mere summation of the individual substances; the whole is more than the sum of its parts (2 + 2 = 5).
- **Process loss** is the difference between what is actually produced by a group and what could have been produced by the group when you consider its inputs (2 + 2 = 3).

Example of Synergy90

- The **social facilitation effect** can either enhance group productivity (synergy) or restrict it (process loss):
  - The performance of simple, routine tasks tends to be speeded up and improved by the presence of other people (*synergy*)
  - When tasks are complex and require closer attention, the presence of other people will hurt performance *(process loss*)

Process Losses

- **Production blocking** occurs when people get in each other's way as they try to perform a task
- **Group-maintenance roles** must be filled in order to smooth group relations, but these roles divert time and effort from producing and thus cause process loss
- **Social loafing** or **free riding** occurs when a group member decides to loaf, hoping that someone else will pick up the slack (usually occurs when group rewards are shared equally, without regard to individual performance)

Social loafing

In groups, individual performance is difficult to identify. There is a strong potential for **social loafing**, the tendency to exert less effort in a group. Social loafing can impact work-group effectiveness.

Social loafing occurs because workers feel that high-level performance goes unrewarded. This occurs because individual performance goes unidentified, and low-level performance goes unpunished. Motivation theories suggest that performance is high when outcomes are based on individual performance. Workers in a group believe that their efforts are unimportant and that others can do the work.

Social loafing results in performance below the group potential. Lack of motivation makes some workers exert less effort than if they worked individually. Social loafing by one leads to reduced effort by others. The **sucker effect** occurs when members, not inclined to social loafing, reduce efforts because they refuse to become the "suckers" of social loafers. This reflects the equity theory of motivation; inequity leads to restoring equity by changing inputs or outcomes.

Group Size and Social Loafing

Studies indicate that, as group size increases, group members put forth less effort. Identifying and rewarding individual performance are difficult, and members feel their efforts are unimportant in a large group. Group size contributes to other process losses, such as conflict and coordination problems.

Ways to Reduce Social Loafing

Managers can reduce or eliminate social loafing by *making individual contributions to a group identifiable* so that individual performance can be evaluated and appropriate outcomes delivered. Group members can complete peer evaluations, or the level of group supervision can increase.

When individual performance cannot be separated, managers can *make each individual feel that contribution to the group is valuable.* A manager can remind each member of unique contributions and indicate when group success or failure hinges on individual efforts. Managers can remind members that their selection hinged on their unique contributions. Keeping the group as small as possible reduces social loafing. If process losses increase with group size, managers should reduce size by dividing the work into two groups. Group members will no longer perceive their efforts as unidentifiable or unnecessary.

Lesson 18

UNDERSTANDING TEAMS

Overview

- Few trends have influenced employee jobs as much as the massive movement to introduce teams into the workplace. The shift from working alone to working on teams requires employees to cooperate with others, share information, confront differences, and sublimate personal interests for the greater good of the team.

- Effective teams have been found to have common characteristics. The work that the members do should provide freedom and autonomy, the opportunity to utilize different skills and talents, the ability to complete a whole and identifiable task or product, and doing work that has a substantial impact on others. The team requires individuals with technical expertise, as well as problem-solving, decision-making, and interpersonal skills; and high scores on the personality characteristics of extraversion, agreeableness, conscientiousness, and emotional stability. Effective teams are neither too large nor too small; typically, they range in size from 5–12 people. They have members who fill role demands, are flexible, and who prefer to be part of a group. They also have adequate resources, effective leadership, and a performance evaluation and reward system that reflects team contributions. Finally, effective teams have members committed to a common purpose, specific team goals, members who believe in the team's capabilities, a manageable level of conflict, and a minimal degree of social loafing.

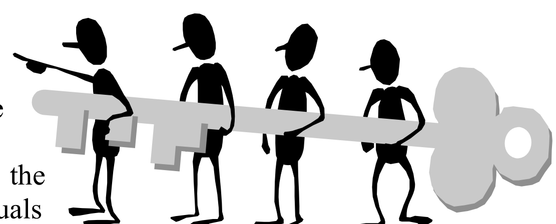
- Because individualistic organizations and societies attract and reward individual accomplishment, it is more difficult to create team players in these environments. To make the conversion, management should try to select individuals with the interpersonal skills to be effective team players, provide training to develop teamwork skills, and reward individuals for cooperative efforts.

- Once teams are mature and performing effectively, management's job is not over. This is because mature teams can become stagnant and complacent. Managers need to support mature teams with advice, guidance, and training if these teams are to continue to improve.

Teams

A team is a group of people who come together to work towards a common goal.
They collaborate, support each other, and use their individual skills and strengths to achieve success.

Teams are groups with greater interdependence--shared purpose and destiny. Can be higher performing than groups, but may not be



1. Twenty years ago, it made news because no one else was doing it. Today, it is the organization that does not use teams that has become newsworthy.
2. The current popularity of teams seems based on the evidence that teams typically outperform individuals when the tasks being done require multiple skills, judgment, and experience.
3. As organizations have restructured, they have turned to teams to better utilize employee talents.
4. The motivational properties of teams is a huge factor. The role of employee involvement as a motivator—teams facilitate employee participation in operating decisions.

Characteristics of Effective Teams

- Atmosphere and relationships
- Member participation
- Goal understanding & acceptance
- Listening and sharing information

- Handling conflicts and disagreements
- Decision making
- Evaluation and member performance
- Expressing feelings
- Division of labor
- Leadership
- Attention to process

Factors Affecting Teams

Four key components:

- Work design
- Team's composition
- The resources and other contextual influences that make teams effective
- Process variables reflects that things that go on in the team that influence effectiveness.

Work Design

- Effective teams need to work together and take collective responsibility to complete significant tasks.
- The work-design category includes variables like freedom and autonomy, the opportunity to utilize different skills and talents, the ability to complete a whole and identifiable task or product, and working on a task or project that has a substantial impact on others.
- The evidence indicates that these characteristics enhance member motivation and increase team effectiveness.

Composition

- Teams require three different types of skills:
  a. Technical expertise
  b. Problem-solving and decision-making skills
  c. Good listening, feedback, conflict resolution, and other interpersonal skills
- The right mix is crucial. It is not uncommon for one or more members to take responsibility to learn the skills in which the group is deficient, thereby allowing the team to reach its full potential.
- Many of the dimensions identified in the Big Five personality model have shown to be relevant to team effectiveness.
- Teams that rate higher in mean levels of extraversion, agreeableness, conscientiousness, and emotional stability tend to receive higher managerial ratings for team performance.

The variance in personality characteristics may be more important than the mean. A single team member who lacks a minimal level of, say, agreeableness can negatively affect the whole team's performance.

Allocating roles and diversity:

- Teams have different needs, and people should be selected for a team to ensure that there is diversity and that all various roles are filled.
- Managers need to understand the individual strengths that each person can bring to a team, select members with their strengths in mind, and allocate work assignments accordingly.

- *Size of teams:*
  - The most effective teams are neither very small (under four or five) nor very large (over a dozen). Effective teams—managers should keep them in the range of 5–12 people.
    a. Very small teams are likely to lack for diversity of views.
    b. Large teams have difficulty getting much done.

- *Member flexibility:*
    - This is an obvious plus because it greatly improves its adaptability and makes it less reliant on any single member.

- *Member preferences:*

    a. Not every employee is a team player.
    b. Given the option, many employees will select themselves out of team participation.

- High performing teams are likely to be composed of people who prefer working as part of a group.

Context

The contextual factors that appear to be most significantly are related to team performance:

Typical Effects of Size on Teams

TEAM SIZE

Dimension	**2-7 Members**	**8-12 Members**	**13-16 Members**
1. Demands on leader	Low	Moderate	High
2. Direction by leader	Low	Moderate	Moderate to high
3. Member tolerance of direction by leader	Low to moderate	Moderate	High
4. Member inhibition	Low	Moderate	High
5. Use of rules and procedures	Low	Moderate	Moderate to high
6. Time taken to reach a decision	Low	Moderate	High

- *Adequate resources:*
    a. All work teams rely on resources outside the group to sustain it.
    b. A scarcity of resources directly reduces the ability of the team to perform its job effectively.
    c. As one set of researchers concluded, "perhaps one of the most important characteristics of an effective work group is the support the group receives from the organization.''

- *Leadership and structure:*
    a. Agreeing on the specifics of work and how they fit together to integrate individual skills requires team leadership and structure.
    b. Leadership is not always needed. Self-managed work teams often perform better than teams with formally appointed leaders.
    c. On traditionally managed teams, we find that two factors seem influence team performance. Leaders who expect good things from their team are more likely to get them!
- *Climate of Trust:*
    a. Members of effective teams trust each other and exhibit trust in their leaders.
    b. When members trust each other they are more willing to take risks.
    c. When members trust their leadership they are more willing to commit to their leader's goals and decisions.
- *Performance evaluation and reward systems:*
    a. How do you get team members to be both individually and jointly accountable? The traditional, individually oriented evaluation and reward system must be modified to reflect team performance.
    b. Individual performance evaluations, fixed hourly wages, individual incentives are not consistent with the development of high-performance teams.

c. Management should consider group-based appraisals, profit sharing, gainsharing, small-group incentives, and other system modifications that will reinforce team effort and commitment.

Process

A Common Purpose:

a. Effective teams have a common and meaningful purpose that provides direction, momentum, and commitment for members.
b. This purpose is a vision. It is broader than specific goals.

- *Specific goals*:
  a. Successful teams translate their common purpose into specific, measurable, and realistic performance goals. They energize the team.
  b. Specific goals facilitate clear communication and help teams maintain their focus on results. Team goals should be challenging.

- *Team efficacy*:
  a. Effective teams have confidence in themselves and believe they can succeed—this is team efficacy. Success breeds success.
  b. Management can increase team efficacy by helping the team to achieve small successes and skill training.
  c. Small successes build team confidence.
  d. The greater the abilities of team members, the greater the likelihood that the team will develop confidence and the capability to deliver that confidence.

- *Conflict levels*:
  a. Conflict on a team is not necessarily bad. Teams that are completely void of conflict are likely to become apathetic and stagnant.
  b. Relationship conflicts—those based on interpersonal incompatibilities, tension, and animosity toward others—are almost always dysfunctional.
  c. On teams performing non-routine activities, disagreements among members about task content (called task conflicts) is not detrimental. It is often beneficial because it lessens the likelihood of groupthink.

- *Social loafing*:
  a. Individuals can hide inside a group. Effective teams undermine this tendency by holding themselves accountable at both the individual and team level.

Why teams

- Teams better utilize employee talents
- Teams are more flexible and responsive
- Teams are easy to assemble, deploy, refocus, and disband
- Teams facilitate employee participation
- Teams increase employee motivation
- Good when performing complicated, complex, inter-related and/or more voluminous work than one person can handle
- Good when knowledge, talent, skills, & abilities are dispersed across organizational members
- Empowerment & collaboration; not power & competition

Types of Teams

1. *Problem-Solving Teams*

- Twenty years ago, teams were just beginning to grow in popularity and most took similar form. They are typically composed of 5–12 hourly employees from the same department who met for

a few hours each week to discuss ways of improving quality, efficiency, and the work environment.
- Members share ideas or offer suggestions on how work processes and methods can be improved. Rarely are they given the authority to unilaterally implement their suggested actions.
- One of the most widely practiced applications during the 1980s was quality circles.

2. ***Self-Managed Work Teams***

Self-managed work teams bring together separate tasks, once performed by individuals led by a supervisor, giving team members responsibility for task accomplishment. This type of team exists at all organizational levels. Self-managed work teams motivate group members to perform at a higher level and increase job satisfaction.

The job characteristics model explains why combining tasks and giving teams responsibility increase motivation and satisfaction. Each member experiences higher levels of each core job dimensions that lead to motivation, satisfaction, and performance. Skill variety increases because the group has a variety of tasks. Task identity and significance increase because group members see how their activities fit together and result in a complete good or service. The group has the autonomy to decide how to perform tasks.

Self-managed work teams need the following conditions:

The group must be truly self-managing with the autonomy and authority to perform tasks. Some managers are reluctant to give up responsibilities.

Self-managed work teams are most effective when work is complex and results in a finished product. A number of different steps and procedures are required and an identifiable group output results.

Managers must support self-managed work teams with guidance and counseling. Managers should help team members settle differences.

To be successful, members of self-managed work teams must have the right skills and expertise for the job, which requires careful selection.

Team members must have the ability and desire to work closely with others.

Research is required regarding the factors that influence the success of self-managed teams. One study suggests that low performance may result from members' reluctance to discipline each other. Other studies indicate that success is due to the value members placed on the status of the team.

- Problem-solving teams did not go far enough in getting employees involved in work-related decisions and processes. This led to experimentation with truly autonomous teams.
- These groups of employees (typically 10–15 in number) perform highly related or interdependent jobs and take on many of the responsibilities of their former supervisors.
- This includes planning and scheduling of work, assigning tasks to members, collective control over the pace of work, making operating decisions, and taking action on problems.
- Fully self-managed work teams even select their own members and have the members evaluate each other's performance. As a result supervisory roles become less important.
- Business periodicals documented successful applications of self-managed teams. In spite of these impressive stories, a word of caution:
    a. Some organizations have been disappointed with the results from self-managed teams.
    b. Teams do not seem to work well during organizational downsizing.
    c. The overall research on the effectiveness of self-managed work teams has not been uniformly positive.
    d. Moreover, while individuals on teams do tend to report higher levels of job satisfaction, they also sometimes have higher absenteeism and turnover rates.
    e. The effectiveness of self-managed teams is situational dependent.

4. *Cross-Functional Teams*

- These are teams made up of employees from about the same hierarchical level, but from different work areas, who come together to accomplish a task.
  a. Many organizations have used horizontal, boundary-spanning groups for years.
  b. IBM created a large task force in the 1960s—made up of employees from across departments in the company—to develop the highly successful System 360.
  c. A task force is really nothing other than a temporary cross-functional team.
  d. The popularity of cross-discipline work teams exploded in the late 1980s.

5. *Virtual Teams*

Virtual teams have a significant amount of communication and interaction occurring electronically rather than face to face. Organizations use virtual teams to enable people who are separated by distance and living in different countries and time zones to work together. Synchronous technologies enable team members to communicate in real time and simultaneously such as video conferencing, teleconferencing, and electronic meetings. When asynchronous technologies are used, communication is delayed—e-mail, electronic bulletin boards, and Web sites.
Virtual teams face all the challenges of ordinary teams such as social loafing and the right balance between conformity and deviance. They also face the challenge of building trust and cohesiveness. To meet this challenge, some virtual teams schedule periodic face-to-face meetings.
Preliminary research suggests that some virtual teams can perform as well as teams that meet, but members may be less satisfied with the team experience and cohesiveness may be lower.

- The previous types of teams do their work face to face. Virtual teams use computer technology to tie together physically dispersed members in order to achieve a common goal.
  a. They allow people to collaborate online.
  b. Virtual teams can do all the things that other teams do.
  c. They can include members from the same organization or link an organization's members with employees from other organizations.
  d. They can convene for a few days to solve a problem, a few months to complete a project, or exist permanently.
- The three primary factors that differentiate virtual teams
  a. The absence of Para-verbal and nonverbal cues. These help clarify communication by providing increased meaning, but aren't available in online interactions.
  b. Limited social context. Virtual teams often suffer from less social rapport and less direct interaction among members.
  c. The ability to overcome time and space constraints. Virtual teams allow people to work together who might otherwise never be able to collaborate.

Turning individual into teams

1. Many people are not inherently team players. They are loners or want to be recognized for their own accomplishments.
2. There are also a great many organizations that have historically nurtured individual accomplishments. How do we introduce teams in highly individualistic environments?

Conflicts among Teams

Conflict on a team is not necessarily bad. Teams that are completely void of conflict are likely to become apathetic and stagnant. Relationship conflicts—those based on interpersonal incompatibilities, tension, and animosity toward others—are almost always dysfunctional. On teams performing no routine activities, disagreements among members about task content (called task conflicts) is not detrimental. It is often beneficial because it lessens the likelihood of groupthink. Effective teams will be characterized by an appropriate level of conflict.